HLB

2026 ESG Report

About this report

Report Summary

HLB published the HLB 2026 ESG Report to present its key ESG activities and achievements. Through this report, HLB communicates its sustainability initiatives, engages with stakeholders, and reinforces its commitment to becoming a trusted and respected company.

Reporting Standards

This report has been prepared in accordance with the GRI Standards 2021, with financial information presented on a consolidated basis under K-IFRS. As a UN Global Compact member, HLB supports its Ten Principles on human rights, labor, the environment, and anti-corruption, as well as the UN Sustainable Development Goals (SDGs). The report also references the SASB Standards and TCFD recommendations to address issues relevant to the pharmaceutical industry. The SASB, TCFD, and SDG content indices are available on pages 116–119. The independent assurance statement issued by the Korea Management Registrar (KMR) is provided on page 123.

Forward Looking Information and Limitations of Estimates

This report contains certain market outlooks, projections, and estimates based on external sources. Such information is based on data and assumptions available at the time of preparation and may differ from actual outcomes due to changes in market conditions, regulations, technologies, and the competitive environment. Forward-looking information and estimates should not be interpreted as definitive facts or guarantees of future performance. They are also excluded from the scope of third-party assurance.

Reporting Period

The reporting period is from January 1 to December 31, 2025, with selected data from the first half of 2026. Three-year quantitative data from 2023 to 2025 is also provided.

Publication Date: July 2026

Reporting Scope

Financial information is based on HLB’s consolidated financial statements under K-IFRS. Non-financial information covers HLB’s domestic operations, including HLB Healthcare and the HLB Seoul Office. Any differences in scope are specified in the relevant sections.

Report Assurance

This report was independently assured by the Korea Management Registrar (KMR) in accordance with AA1000AS v3, Moderate Level, Type 2.

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CEO Message

Dear Stakeholders,

50 Years of Experience

Since its founding in 1975 as a small lifeboat manufacturer in Ulsan, HLB has continuously transformed itself in pursuit of new possibilities. After building its foundation in shipbuilding and FRP manufacturing, the Company expanded into biotechnology and healthcare and has invested in anticancer drug development for more than two decades. Through global clinical trials, strategic partnerships, and pipeline expansion, HLB has strengthened its R&D capabilities and established itself as a leading Korean biotechnology company. Although our business has changed, our commitment to innovation and challenge has remained constant.

Growth Beyond Success

The theme of this year's HLB Forum, where we discuss the Group's drug development strategies and global industry trends, was "The DNA of Success, Continuous Innovation: An Unceasing Challenge."

I believe this statement captures both where HLB stands today and where we are headed. We value sustained growth over a single success. Challenge, failure, and perseverance have become part of HLB's DNA, shaping the company we are today.

The Beginning of a Greater Journey

Guided by our philosophy, "Human Life Better," HLB is committed to developing innovative treatments that improve patients' lives worldwide.

The rivoceranib and camrelizumab combination therapy for liver cancer and lirafugratinib for cholangiocarcinoma are currently undergoing U.S. FDA review. Their approval would mark an important milestone in HLB's nearly 20-year journey in anticancer drug development and the beginning of translating our R&D capabilities into commercial value.

Lirafugratinib, designated a Breakthrough Therapy by the FDA in 2023, demonstrated meaningful clinical efficacy in cholangiocarcinoma and completed its New Drug Application submission in January 2026. It is expected to offer a new treatment option for patients with limited alternatives.

HLB's future growth is not dependent on a single pipeline. The Group is also advancing next-generation platforms and treatments in oncology, cell therapy, and rare diseases. Verismo Therapeutics' solid-tumor CAR-T therapy has shown encouraging interim results, while HLB Therapeutics is preparing to announce global Phase 3 results for its neurotrophic keratitis treatment.

These developments demonstrate the growing strength of HLB's diversified portfolio and mark the beginning of our transformation into a global biopharmaceutical company.

An Integrated Diagnosis–Treatment–Prevention Value Chain

Beyond anticancer drug development, HLB Group is building an integrated biohealthcare value chain spanning disease diagnosis, treatment, and prevention. Our researchers are advancing technologies in precision genetic testing, companion diagnostics, peptides, and enzyme platforms to secure future growth engines.

Our goal is to help people detect disease earlier, receive more effective treatment, and maintain healthier lives.

Sustainable Growth

Sustainable growth requires more than innovative technologies and pipelines. HLB considers social responsibility, transparent governance, and effective non-financial risk management essential to long-term value creation.

Over the past year, we continued to strengthen ESG management, resulting in improved assessments from domestic and international ESG rating agencies and growing interest from global investors. We will remain committed to enhancing both corporate sustainability and long-term value.

We Will Make It Happen

HLB's journey has included both challenges and setbacks. Yet, guided by our determination to "Make It Happen," the dedication of our employees and the support of our stakeholders have enabled us to overcome difficulties and continue moving forward. HLB will build a better future together with all stakeholders, grounded in technology, trust, and a shared vision.

Thank you.

CEO **Hong-Chul Kim**

Company Profile

HLB History

1975
03 Established 'Kyungil Yacht Industry'

2000
12 Established 'Hyundai Lifeboat'
(Spun off from Hyundai Precision & Industries Co., Ltd)

2004
11 Advenchen Licenses-Out Chinese copyright of Rivoceranib to Hengrui Medicine
06 Advenchen acquires patent for Rivoceranib development materials

2005
09 Established Lifecord International USA
04 Renamed to Lifecord International
(formerly, 'Kukje Precision Industry')

2007
12 Elevar Therapeautics Licenses-In Global rights of Rivoceranib (Excluding China)

2008
11 Acquired 'Hyundai Lifeboats' and 'Inno GDN'
04 Established 'Hyundai Lifeboats' lifeboat division and Hyundai Yacht
03 Hyundai Lifeboat acquired by Hicel

2009
10 Established 'Hyundai Lifeboat Singapore subsidiary
03 Established 'HLB Networks'
03 Received the $10M Export Tower

2010
12 Selected as 'World Class Product' for lifeboats
03 Changed company name to HLB
(formerly InnoGDN)

2012
03 Received the $20M Export Tower

2013
01 Merged with Hyundai Lifeboat

2015
10 Acquired 'HLB Life Science'

2017
06 Ribvoceranib designated as orphan drug in US/EU (GC Stage 3)

2018
10 Acquired HLB Science
(Formerly, DanDi Bioscience)
02 Acquired 'Hwajin Medical' and merged with HLB Life Science

2019
11 Completed a triangular merger (HLB-Elevar Therapeutics-HLB USA)
11 Acquired 'HLB Global'
10 Rivoceranib selected as 'The Best of ESMO 2019' (GC Stage 3)

2020

09 Acquired 'HLB Pharmaceutical *(formerly Mediforum)*
03 Elevar acquired global rights to Apalea, a cytotoxic anticancer drug
02 Acquired global rights to Rivoceranib
02 Acquired 'Immunomic Therapeutics'

2021

12 Acquired HLB BioStep *(formerly Knotus)*
11 Acquired HLB Therapeutics (formerly GtreeBNT)
05 Established HLB Investment
04 Acquired Verismo Therapeutics

2022

12 Certified as 'Family-Friendly Company'
09 Next-generation CAR-T therapy SynKIR-110 designated as an orphan drug by the U.S FDA
04 Acquired the 'HLB Healthcare Business Division' *(formerly FA)*
02 Rivoceranib approved in China as first-line treatment for liver cancer

2026

05 HLB Pharmaceutical received approval for 'Elvitadi' , a prostate cancer generic drug
04 Verismo presented pre-clinical data for its hematologic cancer CAR-T Therapy at AACR
04 HLB Pharmaceutical began development of long-acting injectable with 'Memsgen'
04 HLB Group held its IR Day and Shareholder Meeting
03 HLB's cholangiocarcinoma drug granted 'Priority Review' by the U.S FDA
03 HLB LifeCare received regulatory approval for its continuous glucose monitor 'Picoring'
02 HLBLifeScience signed exclusive domestic distribution agreement for human tissue graft business
01 Immunomic Therapeutics received U.S FDA Clearance to initiate Phase 1 trial of its triple-negative breast cancer vaccine
01 HLB resubmitted its liver cancer drug application to U.S. FDA
01 HLB's lirafugratinib cholangiocarcinoma clinical paper demonstrated 'Best-In-Class Potential'

2023

12 Awarded 'Minister of SMEs and Startups Commendation' in the ESG category for excellence in sustainable management
07 Phase 3 liver cancer trial published in 'The Lancet'
06 Acquired 'HLB Panagene' *(formerly Panagene)*
05 Rivoceranib combination therapy selected among ASCO's 'Top 10 Research Highlights in Kidney and Bladder Cancer'
04 Established 'HLB ENG' (Spun off HLB Composite Materials Div.)
02 Acquired 'HLB Innovation' *(formerly PSMC)*

THE LANCET

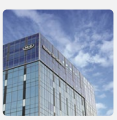
2024

12 Rivoceranib combination therapy approved in China for breast cancer treatment
12 Awarded 'Prime Minister Commendation' in ESG category for excellence in sustainable management
10 Acquired HLB Genex *(formerly Genofocus)*
11 Received the 'Minister of Trade, Industry and Energy Commendation' in ESG category at the 50th National Quality Management Convention
08 HLB's liver cancer therapy designated as orphan drug in Europe
08 Launched 'Inner Saenggak', a feminine care brand
07 Named one of the 'Asia-Pacific Climate Leaders'

Saengak

2025

12 Acquired "HLB New Drug Development Research Institute" (formerly HLB Science)
12 HLB Group established new headquarters in Hakdong
11 Global Phase 3 Results for HLB's liver cancer therapy published in 'The Lancet Oncology'
11 HLB Therapeutics secured European patent for the manufacturing process of RGN-259
11 Submitted U.S/ FDA Phase 1b/2a application for DD-S052P
11 HLB Group attracted KRW 206.9 billion in global investment
11 HLB Panagene obtained CE IVDR certification for three infectious disease products
07 HLB received 'Prime Minister Commendation' on 14th Population Day
01 HLB obtained FDA clearance for 'Lancet', a micro-blood sampling device
01 HLB LifeScience acquired 'Tinnico', a specialty materials company



HLB

HLB has established the HLB Bio Eco System (HBS), an integrated platform supporting the full pharmaceutical and biotechnology value chain—from R&D and clinical development to manufacturing, regulatory approval, and global commercialization. By connecting the specialized capabilities of Group companies, HBS improves development efficiency and strengthens the likelihood of successful drug development. Elevar Therapeutics and Immunomic Therapeutics, HLB's U.S.-based subsidiaries, contribute global expertise in oncology, immunotherapy, multinational clinical trials, and regulatory affairs. HLB headquarters serves as the Group's control tower, overseeing strategy, investment, R&D support, portfolio management, and collaboration among affiliates. Through HBS, HLB continues to strengthen its capabilities across drug development, manufacturing, distribution, and commercialization as it advances toward becoming a global biohealthcare company.

Category	Description
Company	HLB
CEO	Hong-Chul Kim (as of May 2026)
Year Established	1975
Address	(HQ) 10-5, Myeonghaksandanseo-ro, Yeon-dong-myeon, Sejong
	(Seoul Office) 662, Nonhyeon-ro, Gangnam-gu, Seoul
Business	Development of new anti-cancer drugs, In-vitro diagnostic kit, alcohol swab
Revenue	84.2 Billion KRW
Capital	66.4 Billion KRW
No. of Employees	151

Business Area

Bio·Pharmaceutical

- Elevar Therapeutics
  - Rivoceranib
  - Lirafugratinib
- Immunomic Therapeutics
  - UNITE® Platform

Quasi-drug

- HLB Healthcare
  - In-vitro diagnostic kit
  - Quasi drug
  - Femtech(feminine wash)

Investment

- HLB Investment
  - Venture capital investment
  - Mezzanine investment
  - M&A Advisory
  - Private Equity Funding(PEF)

Marine Business

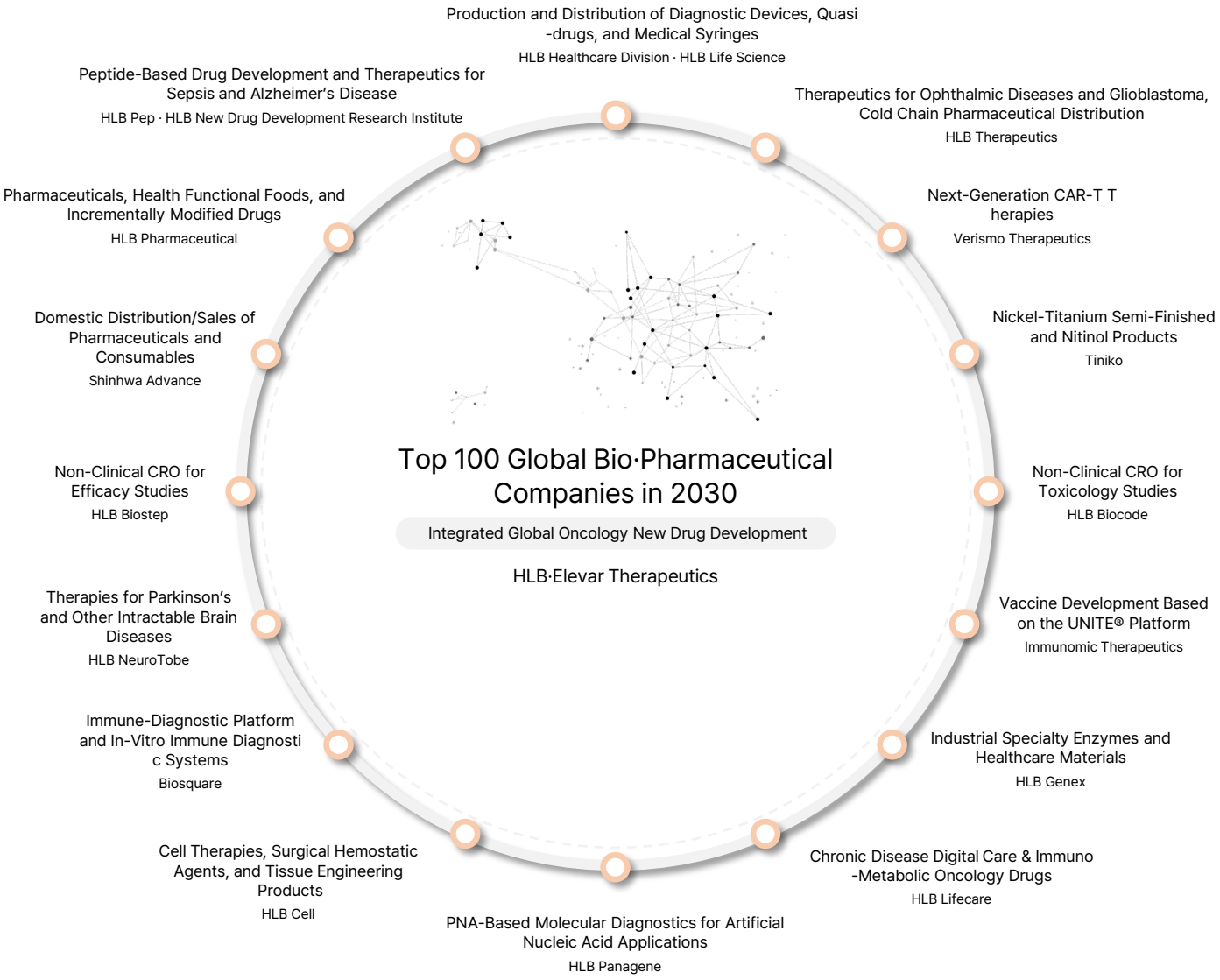
- HLB ENG
  - -Lifeboat/special-purpose vessels
  - Electric Vessels
  - GRE/GRP Pipe
- HLB Ocean Tech
  - Shipbuilding equipment
- Daehae Ship Engineering
  - HDPE Vessels
- Penguin Ocean Leisure
  - E-commerce
  - Marine Leisure Platform

HBS (HLB Bio Ecosystem)

HLB has established the HBS system to support the full drug development process—from R&D and clinical trials to manufacturing, regulatory approval, and commercialization—while creating synergies through collaboration among Group companies. More than a network of affiliates, HBS is an integrated bio ecosystem that connects each company's expertise and resources to improve development efficiency and increase the likelihood of success.

HLB and China's Hengrui Pharmaceuticals are jointly conducting clinical trials, sharing data, and collaborating on the global development of rivoceranib, expanding its potential across indications including gastric and liver cancer.

To secure next-generation treatment technologies, HLB acquired U.S.-based Immunomic Therapeutics and Verismo Therapeutics. These acquisitions have expanded the Group's portfolio into cancer vaccines, T-cell–enhancing immunotherapies, and CAR-T cell therapies, strengthening future growth beyond targeted anticancer drugs. Since 2023, the annual HLB Forum has served as a Group-wide platform for researchers and executives to share development progress, business strategies, and new collaboration opportunities. In 2025, the Forum expanded beyond R&D discussions to address the Group's 2030 vision and long-term growth strategy, further strengthening collaboration across the HLB bio network.

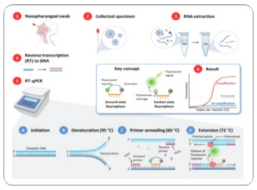


HLB Healthcare Division

The HLB Healthcare Business Division manufactures and sells diagnostic kits, medical supplies, personal care products, and veterinary pharmaceuticals to domestic and global customers. It is also expanding into femtech solutions that support women's health and well-being.

Category	Details
Company	HLB Healthcare Business Division
President	Yoon-Jae Nam
Year Established	2008
Location	10-5, Myeonghaksandanseo-ro, Yeon-dong-myeon, Sejong
Business	Manufacturing of in vitro diagnostic medical devices and pharmaceuticals
Employees	89

In Vitro Diagnostics and Biohealthcare



HLB is developing innovative products and services for disease prevention, diagnosis, and patient monitoring by utilizing nanomaterials in various forms, including graphene, carbon nanotubes, and magnetic beads.

Femtech Products for Women

HLB researches and develops a range of femtech products designed to support women's health and well-being, including women's health tests, pregnancy tests, ovulation tests, and fertility tests.

Recent Developments

U.S. FDA Approval for Lancet Sales

HLB's micro-blood collection device, the lancet, has received marketing approval as a medical device from the U.S. FDA. The lancet, a short and small needle encased in a plastic housing, was developed for drawing blood to measure blood glucose levels in diabetic patients or to collect samples for various disease screenings.The global lancet market is expected to grow at an annual rate of 9.22%, reaching approximately 4.017 trillion KRW by 2032.

Industry Growth Potential

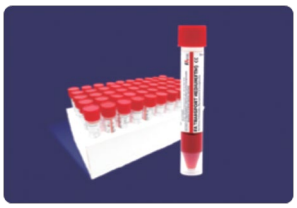
Market Outlook for In Vitro Diagnostics

As evidenced during the global COVID-19 pandemic in 2019—when at-home self-diagnostic kits became widely used—if demand for diagnostics exceeds hospital supply, the in vitro diagnostic (IVD) market is expected to diversify in product categories and expand in market size. In South Korea, the medical device market continues to grow steadily, with in vitro diagnostic devices accounting for three of the top five most-produced medical device categories. The number one category is high-risk infectious disease immunoassay reagents, followed by infectious disease diagnostic immunoassay reagents, and high-risk infectious disease genetic test reagents. According to Frost & Sullivan, the global IVD market is expected to grow from USD 99.22 billion in 2021 to a sustained CAGR of 6.9% through 2026. The highest growth rate is expected in the clinical chemistry and immunoassay sector, showing a year-over-year growth of 10.6% from 2021 to 2022. This is followed by the molecular diagnostics (MDx) market, expected to grow by 3.5%, and the point-of-care testing (POCT) market, expected to grow by 7.5% over the same period.

Key Products

In Vitro Diagnostic Medical Devices

Specimen Collection Swabs


Transport Media

Quasi-drugs (disinfectant products)

Alcohol Swab

Half Swab

Eol Swab

Saengak

Balancing Feminie Wash

Balancing Feminine Tissue

Balancing Feminine Wash

Balancing Feminine Inner Care Gel

Woman Life Better Saengak

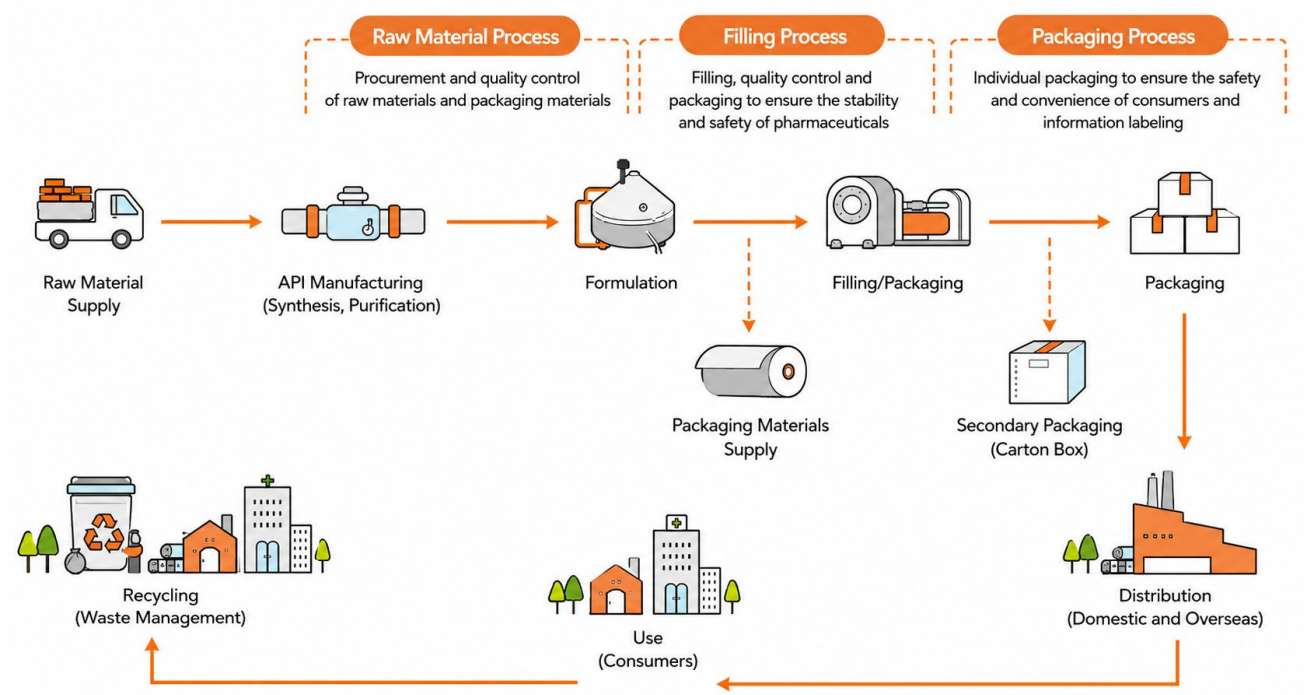
Inner Saengak Pregnancy Test Kit

Inner Saengak Ovulation Test Kit

Inner Saengak Vaginitis Test Kit

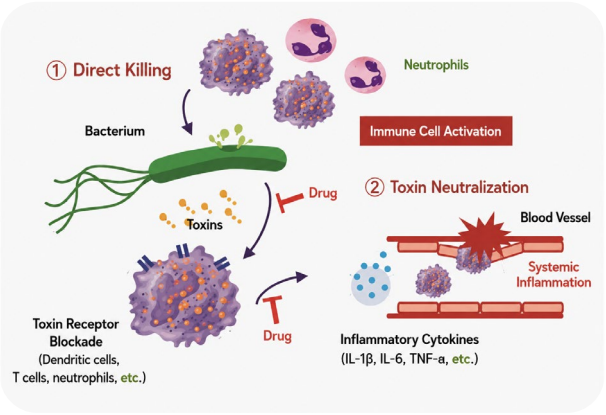
Production Process

One of the division's flagship products, the alcohol swab, is a disposable nonwoven fabric saturated with alcohol solution, used for disinfecting skin and wounds or sterilizing medical equipment to prevent disease and infection. The division is committed to expanding product development using eco-friendly materials and to building a low-carbon circular economy system through the adoption of recycled materials.



HLB New Drug Development Research Institute

The HLB New Drug Development Research Institute, incorporated into HLB in December 2025, develops first-in-class peptide-based therapies for infectious diseases, Alzheimer's disease, and other areas of unmet need. Its lead program, DD-S052P, is being developed for sepsis and Gram-negative superbugs under a U.S. FDA-approved global Phase 1b/2a clinical trial protocol.



Head of Research Institute

Jae-Hee Moon | Director

Professional Experience

- Director of Bio Strategy & Planning
- General Manager of Wellmarker Bio

Education

- Ph.D. Korea University
- M.S. Korea University
- B.S. Korea University

Category	Details
Company	HLB Drug Discovery and Development Research Institute
Head	Jae-Hee Moon
Year Established	2016
Address	51-9 Dongtansandan 1-gil, Hwaseong-si, Gyeonggi-do
Business	Development of innovative peptide-based therapeutics
Employees	6

DD-S052P (Sepsis Treatment)

DD-S052P is a novel drug candidate with a dual mechanism of action that directly kills bacteria and removes toxins. It is being developed as a treatment for superbug-related sepsis by controlling both bacterial death and the secondary immune response caused by toxins released during antibiotic treatment.

DD-A279 (Alzheimer's Disease Treatment)

DD-A279 is being developed as a novel Alzheimer's disease therapy that controls toxins responsible for neuronal death and cognitive impairment, thereby suppressing the production of inflammatory cytokines.

Leading Developer of Sepsis and Alzheimer's Disease Treatments

Sepsis Treatment	Alzheimer's Disease Treatment	Synergies with Domestic & Global Partners
• Completed a Phase 1 clinical trial of DD-S052P, a novel peptide-based antibiotic for sepsis • Dual mechanism combining direct antibacterial activity and toxin binding	• Discovered DD-A279, an Alzheimer's disease drug candidate • Removes disease-related toxic proteins and improves cognitive function	· Building an integrated global licensing-in and licensing-out infrastructure spanning R&D through commercialization, based on a new drug development network

Elevar Therapeutics (Subsidiary)

Elevar Therapeutics is HLB's U.S. subsidiary headquartered in New Jersey. The company develops and commercializes innovative treatments for cancer patients with significant unmet medical needs. The rivoceranib and camrelizumab combination therapy demonstrated a meaningful survival benefit in a global Phase 3 trial, supporting its potential as a first-line treatment for liver cancer. Lirafugratinib has also received Priority Review designation from the U.S. FDA for cholangiocarcinoma and is expanding into other FGFR2-altered solid tumors through a global Phase 2 basket trial.

Category	Description		
Company	Elevar Therapeutics		
CEO	Dong-Gun Kim		
Year Established	2005		
Address	One Bridge Plaza North Suite 850 Fort Lee, NJ		
Members	34		
Pipeline	1st line liver cancer	Rivoceranib + Camrelizumab	NDA
	3rd/4th line gastric cancer	Rivoceranib	Phase 3
	Recurrent or advanced breast cancer	Rivoceranib	Phase 2
	2nd line cholangiocarcinoma	Lirafrugratinib	NDA
	FGFR2-altered solid tumors	Lirafrugratinib	Phase 2

Key Executive

Professional Experience

- CEO of HLB

Education

- J.D. Harvard Law School
- A.B. Physics, Harvard University

Dong-gun Kim | CEO

Recent Developments

Rivoceranib Combination Therapy: Global Value in Liver Cancer

The rivoceranib–camrelizumab combination demonstrated meaningful survival improvement and a manageable safety profile in the global Phase 3 CARES-310 trial, with the final results published in *The Lancet Oncology*. Its clinical value was further recognized through inclusion as a first-line treatment option for unresectable hepatocellular carcinoma in the 2025 BCLC treatment strategy and ESMO guidelines. Based on this evidence, Elevar Therapeutics continues to advance the therapy as a new treatment option for liver cancer patients worldwide.

Expanding the Treatment Potential of Lirafrugatinib

Elevar Therapeutics received Priority Review designation from the U.S. FDA for the New Drug Application of Lirafugratinib, a treatment for advanced cholangiocarcinoma with FGFR2 fusions or rearrangements.The company has also initiated patient dosing in the global Phase 2 ReFocus202 basket trial for patients with FGFR2-altered solid tumors beyond cholangiocarcinoma, expanding the potential range of indications. Through the development of precision medicine-based therapies, Elevar aims to provide differentiated treatment options for patients with limited alternatives.

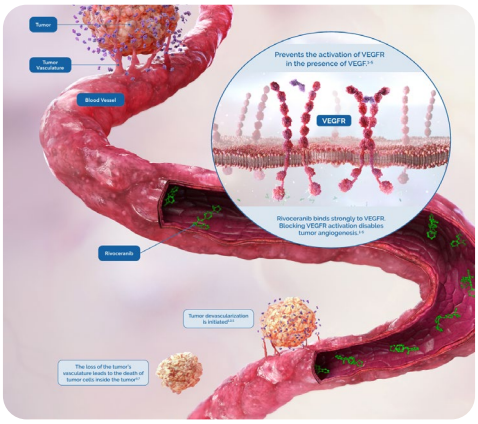
Business Area

Rivoceranib

Rivoceranib is an oral targeted therapy designed to inhibit tumor angiogenesis by selectively blocking VEGFR-2 and improving the tumor microenvironment. Its combination with camrelizumab is being studied for the complementary effects of vascular normalization and immune activation. In the global Phase 3 CARES-310 trial for first-line liver cancer, the combination achieved a median overall survival of 23.8 months and an objective response rate of 26.8% versus sorafenib. HLB continues clinical development across multiple cancer types to expand treatment options.

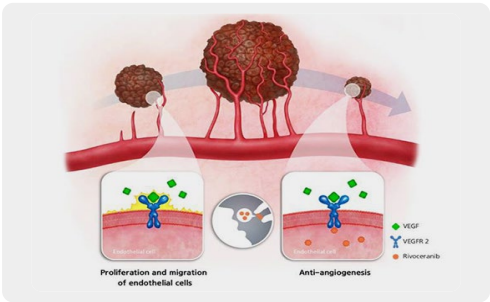
Website

MOA Image



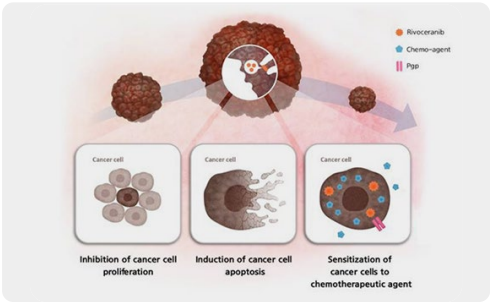
Inhibition of Angiogenesis

Rivoceranib is a small-molecule tyrosine kinase inhibitor (TKI) that selectively targets VEGFR, which is involved in tumor angiogenesis. By blocking receptor-mediated signaling in vascular endothelial cells, it inhibits cell proliferation and migration, thereby suppressing the formation of new blood vessels.



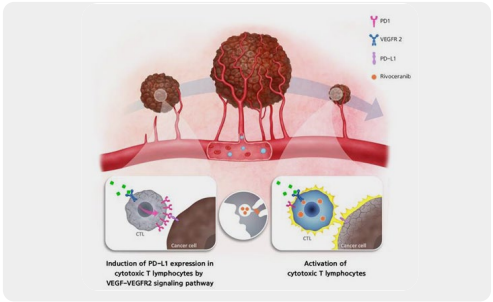
Antitumor Activity and Overcoming Drug Resistance

A major cause of anticancer treatment failure is multidrug resistance, in which cancer cells become resistant to several therapies at the same time. Resistant cancer cells may block drug uptake, increase the removal of anticancer agents from the cell, or alter drugs after they enter the cell, reducing their effectiveness. Rivoceranib inhibits the activity of P-glycoprotein, which is associated with multidrug resistance and drug efflux. This helps maintain intracellular drug concentrations and enhances antitumor activity.



Immune Activation and Enhanced Immunotherapy Effects

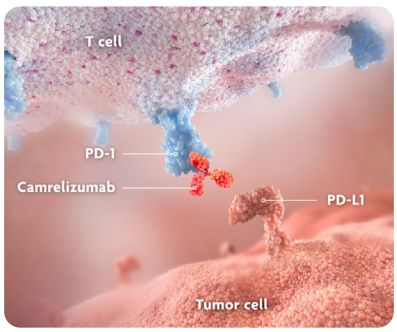
Rivoceranib reduces the expression of immune checkpoint molecules such as PD-1, Tim-3, and Lag-3 in cytotoxic T lymphocytes (CTLs). It also promotes the secretion of immune-activating factors, including IFN-γ and IL-2, helping stimulate antitumor immunity within the tumor microenvironment.Through these mechanisms, rivoceranib is expected to produce synergistic effects when combined with immune checkpoint inhibitors.

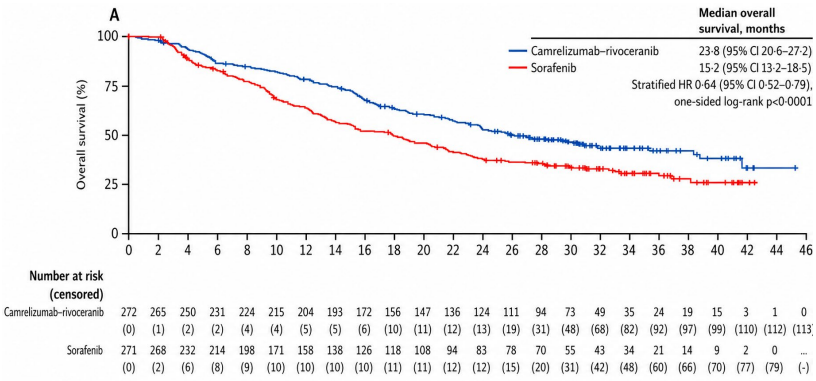


Camrelizumab

Camrelizumab is an immune checkpoint inhibitor that activates antitumor immune responses by blocking the interaction between PD-1 and PD-L1. In April 2021, the U.S. FDA granted camrelizumab Orphan Drug Designation for the treatment of hepatocellular carcinoma (HCC). In the overall population of the global Phase 3 CARES-310 trial, median overall survival was 23.8 months with camrelizumab plus rivoceranib, compared with 15.2 months with sorafenib, representing a 36% reduction in the risk of death (HR 0.64). Long-term follow-up also confirmed sustained survival benefits, supporting the combination's competitiveness as a first-line treatment for liver cancer.

Website MOA Image



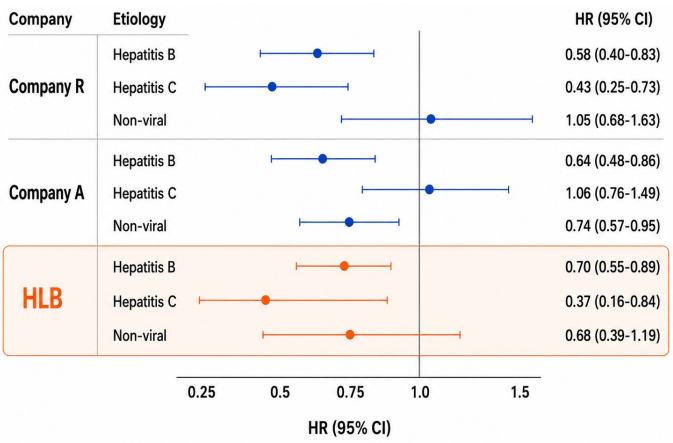


2025.

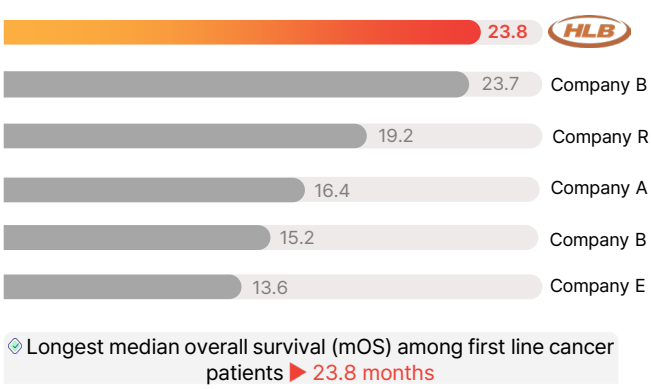
Comparison of First-Line Liver Cancer Clinical Data

The camrelizumab–rivoceranib combination reduced the risk of death across major liver cancer etiologies, with hazard ratios of 0.70 in patients with hepatitis B, 0.37 in those with hepatitis C, and 0.68 in patients with non-viral liver cancer. It also achieved a median overall survival of 23.8 months, the longest among the first-line treatments compared.These results demonstrate consistent treatment potential across diverse patient groups and support the combination's clinical value as a competitive first-line option for liver cancer.

Comparison of Survival Benefits by Liver Cancer

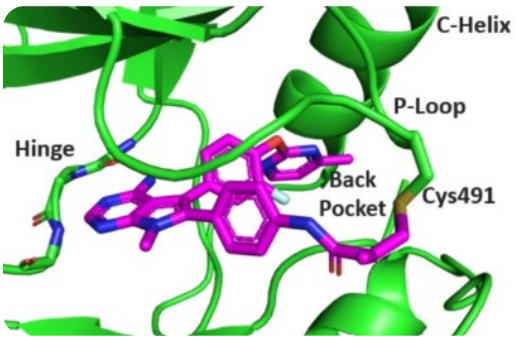


Comparison of Median Overall Survival(OS) in First-Line Liver Cancer Treatments



Lirafugratinib

Lirafugratinib is an oral targeted anticancer therapy that selectively inhibits FGFR2. It is being developed for patients with FGFR2 fusion- or rearrangement-positive cholangiocarcinoma (CCA) and other solid tumors. FGFR2 fusions and rearrangements occur particularly frequently in intrahepatic cholangiocarcinoma.Compared with conventional pan-FGFR inhibitors, lirafugratinib offers greater selectivity and fewer off-target adverse effects. It has demonstrated a strong response rate in clinical trials, and Elevar Therapeutics holds the global development and commercialization rights.



Website

MOA Image

Targeted Mechanism of Lirafugratinib

FGFR genetic alterations can occur as amplifications, mutations, fusions, or rearrangements. Among these, FGFR2 fusions and rearrangements drive abnormal signaling and are a key cause of intrahepatic cholangiocarcinoma. Lirafugratinib selectively targets these FGFR2 alterations. In clinical trials, it achieved an objective response rate of 46.5% and a median duration of response of 11.8 months, demonstrating the potential for improved efficacy over existing approved therapies. Its high FGFR2 selectivity also supports a predictable and manageable safety profile.

Precision Medicine Approach Targeting FGFR2 fusions and Rearrangements Among FGFR Genetic Alterations

1. Major Types of FGFR Genetic Alterations

1 Gene Amplification

2 Mutation

3 Fusion and Rearrangement

Partner Gene + FGFR2 → Abnormal Fusion

Persistent Signaling Activation

Lirafugratinib is a selective inhibitor targeting FGFR2 fusions and rearrangements. Following the completion of clinical trials in cholangiocarcinoma, its development is being expanded to patients with other solid tumors.

2. Key Value of Lirafugratinib

Best-in-Class Efficacy

- Objective response rate (ORR): 46.5%
- Median duration of response (mDOR): 11.8 months
- Demonstrated the potential for superior efficacy compared with existing approved therapies

Superior Safety Profile

- High selectivity for FGFR2
- Predictable and manageable safety profile

NDA Submission

- NDA submission completed
- Granted Priority Review by the U.S. FDA

Target Patient Population

- Clinical trial completed in FGFR2 fusion- or rearrangement-positive cholangiocarcinoma
- Development expanding to patients with other solid tumors

Key Elements

Median overall survival (mOS), a key efficacy measure in oncology, increased from 22.1 months to 23.8 months, approaching two years. This represents an 8.6-month improvement over sorafenib, the control arm in the CARES-310 study, and compares favorably with clinical results reported for existing liver cancer treatments.For treatment-related adverse events (TRAEs), including hypertension, the treatment discontinuation rate was 4.4% with the rivoceranib combination, compared with 4.8% in the control group, demonstrating a favorable benefit–risk profile. These findings represent the first significant results from combining an immune checkpoint inhibitor with an anti-angiogenic TKI in liver cancer and may support the regimen as a potential new first-line standard of care.

Marketing Elements

- Maximum extension of survival period by up to 23.8 months
- Confirmed superior efficacy in patients with impaired liver functions
- Suitable for use in high-risk patients prone to bleeding
- Effective treatment irrespective of the cause of onset

Global Expert Evaluations

Nanjing Medical Univ., China
Prof. Qin

The clinical results of Rivoceranib + Camrelizumab, with a favorable benefit–risk profile, support its potential as a new first-line treatment option for patients with unresectable HCC who have not previously received systemic therapy.

Memorial Sloan Kettering Cancer Center, U.S.
Prof. Abou-Alfa

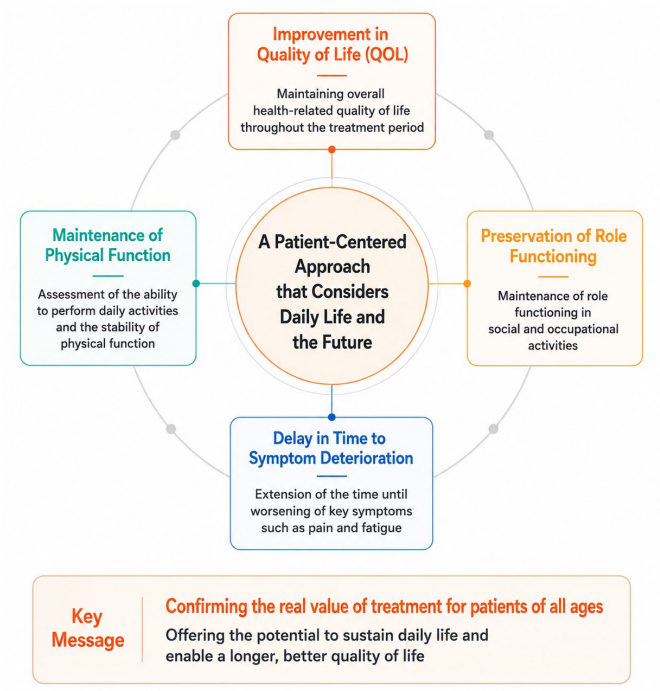
The rivoceranib and camrelizumab combination delivered the longest overall survival yet seen in liver cancer, presenting a new first-line treatment option.

Univ. of Hong Kong
Prof. Chan

The combination demonstrated strong efficacy and safety as a first-line liver cancer therapy and has high potential to change how advanced liver cancer is treated.

Patient-Centered Treatment Value

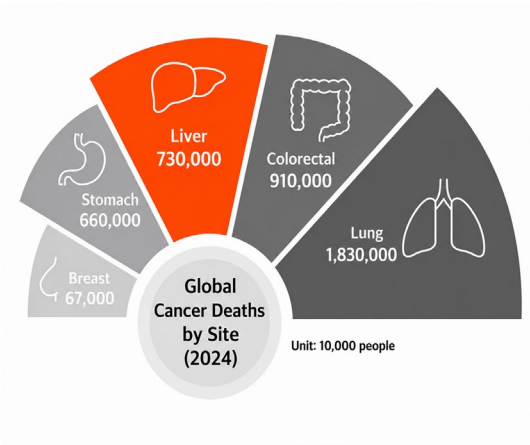
The CARES-310 study evaluated not only overall survival and tumor response, but also patients' quality of life and ability to maintain daily activities during treatment. Assessments covered health-related quality of life, physical functioning, social and work-related roles, and time to symptom deterioration.
By examining these outcomes across different age groups, the study considered treatment value beyond survival—highlighting the potential to help patients maintain a more stable daily life.



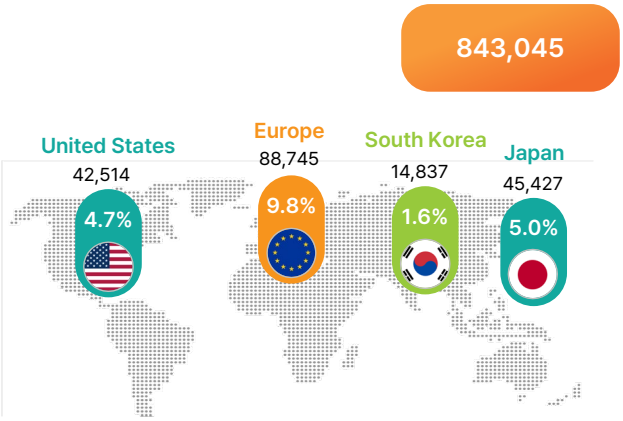
Market Size

Liver cancer remains one of the most significant contributors to the global cancer burden. According to the International Agency for Research on Cancer (IARC) GLOBOCAN 2024 estimates, there were 843,045 new liver cancer cases and 732,489 deaths worldwide, making liver cancer the seventh most commonly diagnosed cancer and the third leading cause of cancer-related death globally. Approximately 70% of all new cases occur in Asia, highlighting the region's disproportionately high disease burden. Given its high mortality rate and limited treatment options, there is a growing global demand for more effective first-line therapies and innovative treatment approaches.

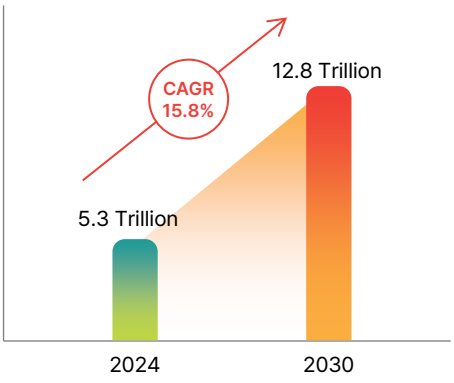
Global Number of Deaths by Cancer Type [1]



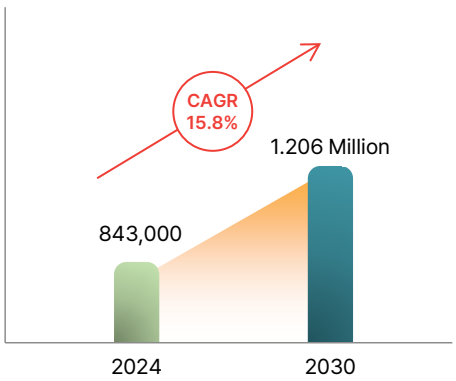
Global Number of New Liver Cancer Patients(2024)



Global Market Growth Potential



Global liver Cancer Outlook [2]



1) https://doi.org/10.3322/caac.70090

2) a forecast of how much liver cancer will affect people worldwide in the future

Immunomic Therapeutics (Subsidiary)

Immunomic Therapeutics, founded in 2005 and based in Maryland, is a developer of immune cell and vaccine therapies. Through its UNITE platform, which activates immune responses by effectively targeting specific antigens, the company is developing DNA and RNA based vaccines for difficult-to-treat cancers such as glioblastoma and Merkel cell carcinoma. The company is also integrating artificial intelligence across the R&D process to accelerate drug development. By 2030, it aims to become a publicly listed global biotech innovator with a valuation exceeding USD 1 billion.

Category	Details		
Company	Immunomic Therapeutics		
CEO	Dong-Gun Kim		
Year Established	2005		
Address	15010 Broschart Road Suite 250, Rockville, MD		
No. of Employees	16		
Pipeline	Glioblastoma	ITI-1000	Phase 2
	Glioblastoma	ITI-1001	Phase 1
	Skin Cancer	ITI-3000	Phase 1
	Triple Negative Breast Cancer	ITI-5000	Phase 1
	Japanese Cedar Pollen Allergy	ITI-9001	Phase 1
	Colorectal Cancer & Glioblastoma	ITI-1771	Preclinical
	Cervical Cancer	ITI-2000	Preclinical
	Metabolic & Immune Modulation	ITI-8000	Preclinical

Key Executive

Dong-gun Kim | CEO

Professional Experience

- CEO of HLB

Education

- J.D. Harvard Law School
- A.B. Physics, Harvard University

Recent Developments

TNBC Vaccine Enters FDA-Approved Phase 1 Trial

Immunomic Therapeutics initiated first-patient dosing in the U.S. Phase 1 VITALITI trial of ITI-5000, a UNITE®-based self-amplifying RNA cancer vaccine. The study will assess its safety, tolerability, and preliminary immune activity, alone and with standard adjuvant therapy, in patients with stage 2 or 3 TNBC. ITI-5000 targets CT83 and HERV-K to induce T-cell-based antitumor responses.

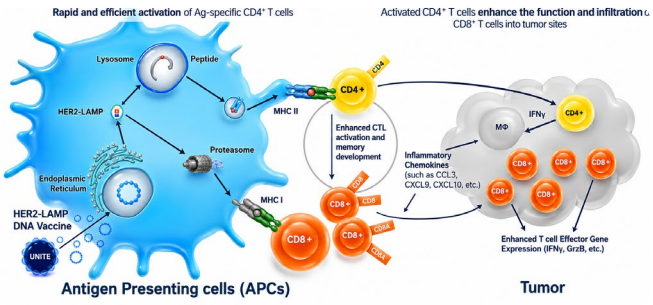
Japanese Cedar Pollen Allergy Immunotherapy

Immunomic Therapeutics received clinical trial authorization from Japan's PMDA for ITI-9001, a UNITE® platform-based self-amplifying RNA therapy, establishing the foundation for a Phase 1 trial in Japanese cedar pollen allergy. This milestone expands the application of the company's technology beyond oncology into allergic diseases and advances the development of an innovative therapy that could improve the quality of life of patients in Japan.

UNITE®

UNITE, short for Universal Intracellular Targeted Expression, is a next-generation immunotherapy platform that precisely delivers specific antigens to the lysosomes of dendritic cells, enhancing antigen presentation and immune activation. The platform activates a broad range of immune cells, including cytotoxic T cells, memory T cells, and B cells, to generate strong and sustained immune responses. It can be applied across oncology, infectious diseases, and allergies, and when combined with self-amplifying RNA technology, may induce effective immune responses at lower doses.Based on these capabilities, UNITE is considered Immunomic Therapeutics' core platform for addressing diseases with significant unmet medical needs.

Mechanism of Action



ITI 1000 – Immunotherapy for Glioblastoma

ITI-1000 is an immunotherapy under development for patients with glioblastoma multiforme, an aggressive brain cancer with a high risk of recurrence. It is designed to use a patient's own immune cells to better recognize and attack cancer cells. A Phase 2 study is currently underway in patients with newly diagnosed glioblastoma. Through ITI-1000, Immunomic Therapeutics aims to provide a new treatment option for patients who may not benefit sufficiently from existing therapies, while improving survival and quality of life.

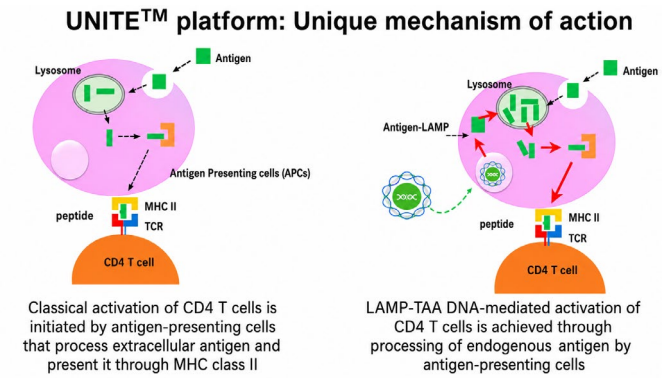
ITI 1001 – DNA Immunotherapy Vaccine for Glioblastoma

ITI-1001 is a ready-to-use immunotherapy vaccine being developed for patients with newly diagnosed glioblastoma. Unlike personalized therapies, it is designed for use without patient-specific manufacturing. Using the UNITE® platform, ITI-1001 helps the immune system recognize and target multiple glioblastoma-associated antigens. A Phase 1 study is evaluating its safety, tolerability, immune response, and preliminary therapeutic potential.

ITI 3000 – DNA Immunotherapy for Rare Skin Cancer

ITI-3000 is a DNA-based immunotherapy vaccine under development for Merkel cell carcinoma, a rare but aggressive skin cancer with a high risk of recurrence. Using the UNITE® platform, it is designed to help the immune system recognize and attack virus-associated targets linked to Merkel cell carcinoma. In a first-in-human Phase 1 study in virus-positive patients, ITI-3000 showed a generally favorable safety and tolerability profile, along with evidence of a meaningful immune response.

ITI 3000 Mechanism of Action



HLB ENG (Subsidiary)

Over the past 50 years, HLB ENG has built more than 8,000 safe vessels. Starting from the construction of special-purpose vessels using a wide range of composite materials such as FRP, aluminum, and HDPE, the company has expanded into the development of eco-friendly propulsion vessels and autonomous vessels, growing into a leading company in future-oriented shipbuilding. In addition, HLB ENG manufactures high-quality marine Water Line and SOx Scrubber GRE/GRP pipes, and is recognized as a trusted partner in the application and manufacturing of composite materials.

Vessel Business

Special-purpose vessels

Passenger Vessels

Public Vessels

Leisure Boats

Materials Business

Onshore Pipe

Offshore Pipe

Marine Pipe

Marine Pipe

Eco-friendly Vessel

Hydrogen fuel cell vessels

Wind farm support vessels(CTV)

Electric propulsion vessels

Category	Details
Company	HLB ENG
CEO	Gee-won Kim
Year Established	1975
Address	216-53 Dangwol-ro, Onsan-eup, Ulju-gun, Ulsan
Business Area	Design and construction of lifeboats and special-purpose vessels; manufacturing of GRE/GRP pipes
Revenue	Approx. KRW 18.6 billion
No. of Employees	58

Green Revenue

Category	Unit	2023	2024	2025
Electric Propulsion Vessels	KRW million	1,717	783	404

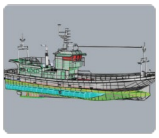
*Cumulative Data

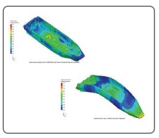
Shipbuilding Track Record	Ship Ballast Line
8,339 vessels	205vessels
SOx Scrubber Line Construction	**GRE Lining Work Performance**
628vessels	115cases

Daehae Ship Engineering (Subsidiary)

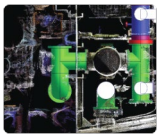
Daehae Ship Engineering provides integrated ship design and engineering services, including structural analysis, 3D modeling, supervision, and construction support for passenger, special-purpose, government, leisure, and fishing vessels. The company is also developing next-generation vessel technologies. Its independently developed HDPE high-speed powerboat was selected as an Outstanding R&D Innovation Product by Korea's Ministry of Oceans and Fisheries in 2024.

Business Areas


Concept & production design


Structural & fluid dynamics analysis

Technical consulting & inspection


3D scanning & reverse engineering

Key Technologies & Product Areas

Eco-friendly and autonomous vessels

Passenger & special-purpose vessels

HDPE & AL Vessels

Fishing & leisure vessels

Category	Description
Company	Daehae Ship Engineering
CEO	Gee-won Kim
Year Established	2017
Address	97 Centum Jungang-ro, Haeundae-gu, Busan
Revenue	Approx. KRW 2.3 billion
No. of Employees	16

Category	Unit	2023	2024	2025
Revenue	KRW million	1,845	5,195	2,314
HDPE Vessel		-	2,039	-
Revenue Share	%	-	39.2	-

Recent Developments

Built Korea's first HDPE Coast Guard rescue boat

Signed final contract for Iceland electric vessel development project

Growing Demand for High-Value Vessels amid Stronger Environmental Regulations

Stricter IMO carbon regulations are driving demand for fuel-efficient, eco-friendly vessels powered by LNG, methanol, and ammonia, as well as energy-saving technologies. Daehae Ship Engineering is leveraging its accumulated design and engineering expertise to respond to this market shift and strengthen vessel safety, efficiency, and technological competitiveness.

HLB Ocean Tech (Subsidiary)

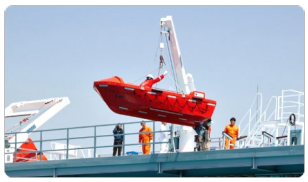
HLB OceanTech is a specialized provider of equipment for ships and offshore plants, backed by extensive experience and technical expertise in the marine industry. As a trusted partner in domestic and global markets, the company is expanding its focus to eco-friendly marine equipment powered by clean energy sources such as hydrogen.

Category	Details
Company	HLB Ocean Tech
CEO	Gee-won Kim
Year Established	1992
Address	135-56 Jinsan-daero, Jinyeong-eup, Gimhae
Revenue	Approx. KRW 2.71 billion
No. of Employees	64

*Cumulative Data

Davit Production	Marine Project Constructions
3,558vessels	**44cases**
Special-Purpose Vessels	Deck Crane Supply
173vessels	**252vessels**

Lifeboat & Rescue boat davit



Marine Crane

Special Ship Equipment

Offshore Equipment

Release System

HLB Investment (Subsidiary)

HLB Investment

HLB Investment is a subsidiary of HLB established in 2021 with capital of KRW 10 billion to identify and support promising Korean biotechnology and healthcare companies.Recognizing biotechnology and healthcare as key future growth industries for Korea, HLB Investment focuses on ventures and startups with strong technology and expertise in senior healthcare, digital healthcare, and innovative drug development. It invests in promising Korean companies from the Pre-Series A to Series B stages and also provides investment and M&A advisory services.

(주)네오켄바이오 atheon bio NeuroVenti

ARONTIER Progeneer TXINNO BIOSCIENCE

DYPHI soldoc Tsens

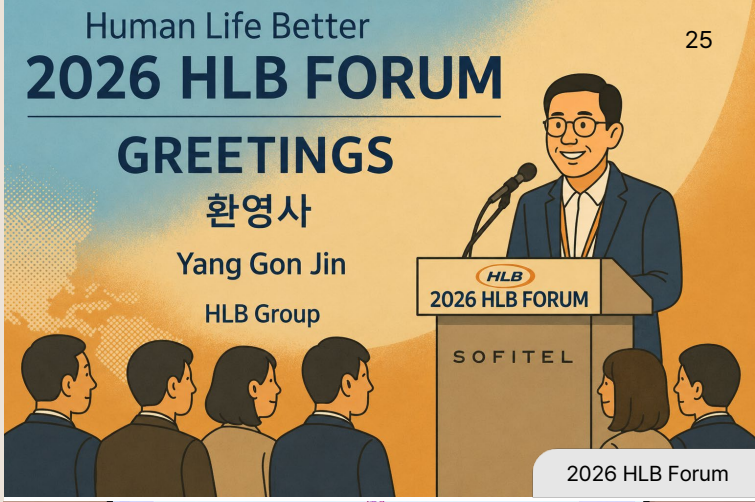
Category	Description
Company	HLB Investment
CEO	Sang-hoon Lee
Year Established	2021
Address	6F, Jangppeol Building, 5, Nonhyeon-ro 128-gil, Gangnam-gu, Seoul, Korea
Assets Under Management	Approx. 10 Billion KRW
No. of Employees	10
Business Areas	Venture capital investment, Mezzanine investment, M&A advisory, Private equity funding (PEF)

Category	New Drug Pipeline	Silver·Digital Healthcare
Investment Volume	5.5 Billion KRW	2.5 Billion KRW
Investment Amount	Approx. 1 Billion KRW per company	Approx. 500 million KRW per company
Investment Objective	Bolt-on acquisitions for group and affiliates	Pipeline Portfolio Expansion
Investment Sectors	New drug development materials, diagnostic devices, health functional foods, etc.	Senior healthcare, digital healthcare, diagnostic, preventive, and therapeutic devices
Portfolio Companies	Neoken Bio, Atteon Bio, Neuroventi, Arontier, etc.	Defy, Soldoc, etc.

Highlights

Bio Highlights 26

ESG Highlights 29



2026 HLB Forum

2025 Michael Porter Award

2025 Ministry of Interior & Safety Award

2026 ASCO Annual Meeting

Bio Highlights

HLB Group held the fourth HLB Forum on May 12, 2026, bringing together its affiliates to share the Group's future strategy. Evolving beyond its original R&D-focused format, the Forum has become a broader strategic platform designed to strengthen collaboration and create synergies across the Group.

Under the theme "The DNA of Success, Continuous Innovation: An Unceasing Challenge," the Forum covered the development of core and strategic pipelines, major business plans across the diagnosis–prevention–treatment value chain, open innovation investments, and presentations by leading researchers and business leaders.

Key updates included the completion of U.S. FDA NDA submissions for Elevar Therapeutics' liver cancer treatment rivoceranib and cholangiocarcinoma treatment lirafugratinib, marking progress toward global commercialization. Verismo Therapeutics also presented encouraging interim clinical results for its next-generation CAR-T therapy in solid tumors, while HLB Therapeutics shared updates on the global Phase 3 development of RGN-259 for neurotrophic keratitis.

01

FDA Approval and Two Major Milestones

- Rivoceranib (Liver Cancer Treatment)
- Lirafugratinib (Bile Duct Cancer Treatment)
- Completion of NDA Submission to the FDA for Rivoceranib and Lirafugratinib

02

Next-Generation Therapeutic Development Achievements

- Verismo CAR-T therapy showed promising clinical outcomes in interim results
- Immunomic RNA vaccine platform and pipeline development strategy sharing

03

Expansion of New Pipeline

- HLB Therapeutics ophthalmology pipeline (RGN-259) Global Phase 3 results announcement
- HLB BioPharma pipeline expansion and platform reinforcement
- HLB Genex enzyme platform-based business expansion

04

AI-Driven Drug Development Strategy

- Demonstrating success in AI-powered daily operations
- AI-based drug discovery and synergy prediction
- Next-generation modeling and optimization strategy

05

Global Commercialization and Investment Strategy

- FDA approval and global regulatory strategy
- U.S./China/Japan market entry strategy and pipeline expansion
- Bio & healthcare investment trends and new investment opportunities

HLB Advances Global Approval for Rivoceranib

HLB is advancing FDA approval of the rivoceranib–camrelizumab combination through Elevar Therapeutics. In the global Phase 3 CARES-310 trial, the combination achieved a median overall survival of 23.8 months versus 15.2 months with sorafenib. Its clinical value has also been recognized through inclusion in major liver cancer treatment guidelines.

Lirafugratinib as Second Key Pipeline

HLB completed the U.S. FDA NDA submission for lirafugratinib, strengthening its oncology portfolio. In patients with FGFR2 fusion- or rearrangement-positive cholangiocarcinoma, the therapy achieved an objective response rate of 46.5% and a median duration of response of 11.8 months.

Progress in Next-Generation CAR-T Therapy

Verismo Therapeutics is developing SynKIR-110, a next-generation CAR-T therapy for solid tumors. Encouraging interim clinical results have demonstrated its potential in a field where effective CAR-T treatment options remain limited.

Expansion into RNA Vaccine Immunotherapy

Immunomic Therapeutics is advancing RNA vaccine and immunotherapy programs for cancer treatment. Its triple-negative breast cancer vaccine entered Phase 1 development, expanding HLB's portfolio beyond targeted therapies into next-generation immune-based treatments.

Rare Eye Disease Treatment Development

HLB Therapeutics completed a global Phase 3 study of RGN-259 for neurotrophic keratitis. The program expands HLB's pipeline beyond oncology into rare ophthalmic diseases with significant unmet medical needs and limited treatment options.

Integrated Growth Through HBS

HLB Group is building an integrated biohealthcare value chain spanning diagnosis, prevention, and treatment. Through HBS, its affiliates combine capabilities in oncology, cell therapy, vaccines, diagnostics, peptides, and enzymes to strengthen Group-wide collaboration and development efficiency.

Expansion of Rivoceranib Indications

At ASCO 2025, HLB presented multiple studies of rivoceranib across nine cancer types. The findings supported its potential for use in broader patient populations and additional indications beyond its current development focus.

2025 ASCO ANNUAL MEETING

- Entry into Global Treatment Standards through ESMO Guidelines

  The rivoceranib–camrelizumab combination was included as a first-line treatment option in the ESMO guidelines for hepatocellular carcinoma. Supported by strong clinical evidence, including a median overall survival of 23.8 months, this recognition highlights the regimen's global clinical value and HLB's growing R&D competitiveness.

- Expanding Lirafugratinib into a Tumor -Agnostic Therapy

  HLB is expanding lirafugratinib beyond cholangiocarcinoma to other solid tumors with FGFR2 fusions or rearrangements. A Phase 2 study in non-cholangiocarcinoma patients was presented at ASCO 2026, supporting its potential as a precision therapy across multiple cancer types.

- Securing a Next-Generation Immuno-Oncology Platform

  Through Immunomic Therapeutics, HLB is advancing RNA vaccine-based cancer immunotherapies. In 2026, the U.S. FDA cleared a Phase 1 trial of ITI-5000 for triple-negative breast cancer, marking meaningful progress in the Group's expansion into next-generation immune-based treatments.

- Expansion into Preventive Cancer Vaccines

  HLB's vaccine portfolio is expanding beyond cancer treatment toward prevention. Related research has shown that a triple-negative breast cancer vaccine induced immune responses in approximately 74% of participants, while also demonstrating favorable tolerability without serious safety concerns.

- Diversifying the Bio Portfolio across Modalities

  HLB's pipeline now spans targeted anticancer drugs, cell therapies, RNA vaccines, rare-disease treatments, molecular diagnostics, peptides, and enzyme platforms. At the 2026 HLB Forum, this diversification was presented as a core strategy for sustainable growth beyond dependence on a single technology or pipeline.

- Building an AI-Based Drug Development System

  At the 2026 HLB Forum, HLB outlined plans to apply AI across drug development, including target discovery, combination therapy prediction, and clinical success optimization. The Group is also expanding collaboration with AI-focused biotech companies to shorten development timelines and improve R&D efficiency.

- Accelerating Expansion of the Global Bio Network

  HLB is strengthening its global R&D network through Elevar Therapeutics, Immunomic Therapeutics, and Verismo Therapeutics. Participation by experts from leading institutions, including Stanford University, the University of Pennsylvania, and Moffitt Cancer Center, further supported open innovation and international collaboration across the Group.

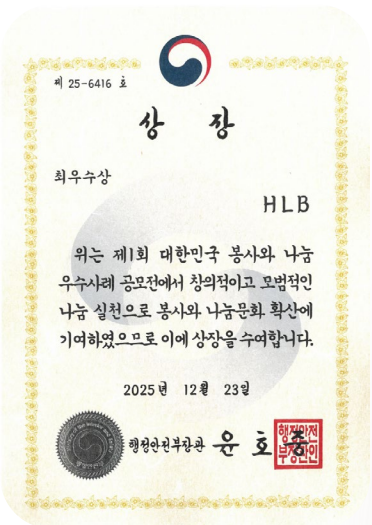
ESG Highlights

Receipient of the 12th Michael Porter Award for Excellence in 『ESG Disclosure』

HLB was selected as a recipient of the ESG Disclosure Excellence Award at the 12th Michael Porter Awards, organized by the Institute for Industrial Policy Studies (IPS).The awards recognize companies and institutions that create both economic and social value based on Professor Michael Porter's competitive strategy framework. Since 2022, HLB has continuously published ESG reports and strengthened transparent ESG disclosure. These efforts to improve disclosure quality and stakeholder communication were highly recognized.

Recipient of the 1st Korea Volunteerism and Sharing Award in 『 Best Practice』

HLB received the Grand Prize at the 1st Korea Volunteerism and Sharing Best Practice Awards, hosted by the Ministry of the Interior and Safety and organized by the Korea Volunteer Center Association.The awards recognize outstanding examples of corporate, institutional, and community-led volunteer and sharing initiatives. HLB was highly evaluated for its employee-participation social contribution activities and community-tailored sharing programs, which have contributed to creating social value.



Initiatives·Certifications·Awards

HLB has expanded its participation in global sustainability initiatives since joining the UN Global Compact (UNGC) in 2022. Since 2023, it has participated in CDP and publicly endorsed the Women's Empowerment Principles (WEPs).
In 2024, HLB also joined the UNGC Forward Faster initiative, advancing key agendas such as climate action, gender equality, and living wages. Through these initiatives, HLB continues to strengthen its ESG management system in line with global standards and create sustainable value through stakeholder engagement.

Award/Organization	Date	Description
CoREi (Corporate Renewable Energy Initiative)	2024.07	A council established for companies to collaboratively expand renewable energy procurement and improve policies, to help realize net zero and environmental protection.
K-RE100	2024.03	A voluntary renewable energy initiative through which companies commit to sourcing 100% of the electricity used from renewable energy sources.
CDP (Carbon Disclosure Project)	2023.06	A global project, active in over 91 countries with more than 18,700 companies participating, that discloses information on greenhouse gas emissions, climate change, water, biodiversity, and related risks/opportunities.
WEPs (Women's Empowerment Principles)	2023.06	A joint initiative by UN Women and the UN Global Compact that offers guidance and implementation measures to promote gender equality and empower women.
TCFD (Task Force on Climate-related Financial Disclosures)	2023.05	Established by the Financial Stability Board (FSB) in 2015 to recommend companies disclose climate-related information and incorporate it into organizational decision-making.
TNFD (Task Force on Nature-related Financial Disclosures)	2023.05	A global task force launched in 2021 to recommend that organizations disclose biodiversity/nature-related information and incorporate it into business and investment decision-making.
UNGC (UN Global Compact)	2022.03	A principles-based corporate responsibility framework outlining 10 core principles in the areas of human rights, labor, environment, and anti-corruption.
UNGC Forward Faster	2024.04	An initiative launched in 2023 to accelerate corporate contributions to the achievement of the UN SDGs through action in five focus areas including Climate Action, Gender Equality, Living Wage, Water Resilience, and Finance & Investment.
ISO 37001 (Anti-Bribery Management System)	2023.06	An international standard setting out requirements for establishing, implementing, maintaining, and improving an anti-bribery management system to prevent potential bribery risks inside and outside the organization, practice ethical management, and build a transparent operational system.
ISO 45001 (Occupational Health and Safety Management System)	2024.04	An international standard specifying requirements for a systematic approach to occupational health and safety to proactively prevent potential workplace risks and manage them effectively.

HLB operates flexible work arrangements, reduced hours, and satellite offices to support work–life balance and a family-friendly workplace. These efforts earned HLB the Group's first Family-Friendly Certification in 2022.
HLB has also strengthened ESG management and transparency through board-centered governance, ethical and compliance systems, and stakeholder engagement.

Award/Organization	Date	Description
12th Michael Porter Award	2025.12	Recognized for excellence in ESG disclosure quality and stakeholder communication
Grand Prize at the 1st Korea Volunteerism and Sharing Best Practice Awards 2025 *(Ministry of the Interior and Safety)*	2025.12	Received the Grand Prize in recognition of contributions to social value creation
14th Population Day Prime Minister's Commendation (Ministry of Health and Welfare)	2025.07	Awarded to individuals and companies contributing to the creation of a work–family balance–friendly environment, fostering an age-friendly society, and implementing childbirth promotion programs.
2024 Prime Minister's Commendation for Excellence in Sustainability Management (Korea Productivity Center)	2024.12	Awarded to 21 companies in recognition of outstanding ESG management performance and execution, demonstrating leadership in sustainable business and social responsibility.
2024 Sejong-Type "Happy Workplace" Excellent Company (Sejong Special Self-Governing City)	2024.12	Recognizes exemplary Sejong-based companies that actively create a discrimination-free, employee-friendly work environment.
2024 Sejong City Work–Life Balance Excellent Company (Sejong Special Self-Governing City)	2024.12	Awarded to companies in Sejong City that demonstrate best practices in supporting work–life balance for employees.
2024 National Quality Management Award – Minister of Trade, Industry and Energy Commendation (Korean Standards Association)	2024.11	Recognizes companies that have improved national competitiveness through the establishment of quality management systems and continuous quality innovation.
2024 K-ESG Management Awards – Grand Prize (Dong-A Ilbo)	2024.10	Awarded to companies among over 500 domestic firms that achieved notable ESG management results.
2024 Asia-Pacific Climate Leader (Statista)	2024.06	Recognizes companies that have achieved significant greenhouse gas reductions in proportion to revenue, jointly selected by the Financial Times and Statista.
Global Small Giant – 1000+ Project Enterprise (Ministry of SMEs and Startups)	2024.04	Selected as an export-leading SME with high growth potential, receiving preferential access to marketing, financing, and other support programs.
2023 Excellent Partner Award (Korea Abbott Diagnostics)	2024.02	Recognized as a partner that has demonstrated outstanding performance and contributed to enhancing the competitiveness of the client company.
2023 Korea Management Awards – Report of the Year (Korea Management Association Consulting)	2023.12	Selected as one of ten companies with outstanding sustainability reports, assessed jointly by the Korea Management Association and Sustainalytics.

Based on these achievements, HLB received the Prime Minister's Commendation for Sustainable Management from the Korea Productivity Center in 2024, gaining external recognition for its ESG efforts. HLB will continue to make ESG a core competitive strength and build a sustainable growth foundation with employees, shareholders, customers, communities, and other stakeholders.aa

Category	Membership	Overview
2023 Minister of SMEs and Startups Commendation for Excellence in Sustainability Management (Korea Productivity Center)	2023.12	Awarded to companies that have actively fulfilled social responsibility and contributed to enhancing industrial competitiveness through exemplary management.
2023 Korea Sustainability Conference – Best Sustainability Report (Korean Standards Association)	2023.11	Selected as one of 19 outstanding company reports through evaluation by 4,495 stakeholders and experts.
2023 K-ESG Management Awards – Grand Prize (Dong-A Ilbo)	2023.09	Chosen among over 500 domestic companies with notable ESG management activities and achievements.
2023 Leading Company in Sustainability (Statista)	2023.05	Selected by Statista for outstanding sustainability performance among over 1,200 publicly disclosed companies.
Family-Friendly Excellent Company (Ministry of Gender Equality and Family)	2022.12	Recognizes companies and public institutions that exemplary operate family-friendly systems enabling work–life balance for employees.
Trade Day – 20 Million Dollar Export Tower (Korea International Trade Association)	2022.12	Awarded to companies achieving more than USD 20 million in exports in the given year.
Minister of SMEs and Startups Commendation for Innovation-Driven Growth Contribution (Ministry of SMEs and Startups)	2022.05	Granted to companies or individuals who contribute to national competitiveness through innovation, new technologies, and pioneering new markets.
Taxpayers' Day – Exemplary Taxpayer Citation (Daejeon Regional Tax Office)	2022.03	Commended for faithfully fulfilling tax obligations, fostering a sound tax payment culture, and engaging in community sharing activities.
Top Sales Award (Sejong Chamber of Commerce and Industry)	2021.12	Awarded to companies achieving more than KRW 10 billion in sales in the previous year.
Minister of Trade, Industry and Energy Commendation for Regional Industry Promotion (MOTIE)	2021.10	Recognizes companies contributing to regional industrial promotion, industrial complex development, and balanced regional growth.
Trade Day – Prime Minister's Commendation (KITA)	2020.12	Commended for contributions to trade promotion and development, awarded to companies and individuals.

ESG Strategy

ESG Management System 34

- ESG Roadmap
- ESG Governance Structure
- ESG Working-level Council
- CFO Leadership

S&P Global

47 DJBIC Korea

36 → 47 in 2024

MSCI

BBB

BB → BBB in 2024

Sustainalytics

22 Medium Risk

23 → 22 in 2024

Sustinvest

AA

AA → AA in 2024

Social Value (SV) 36

- SV Measurement Results
- Performance Details
- SV Measurement Areas
- Economic, Environmental, Social Contributions

Social Value Creation Performance

51.6 Billion KRW

Econ 51.6B / Env -300M / Social 300M

34%

Up 34% from 2024 ▲

UNGC Forward Faster 37

- SDGs Aligned Investment Performance
- SDGs Aligned Investment Target

SDGs Linked Investment Performance

83.5 Billion KRW

40%

of total investment in 2025

Double Materiality Assessment 39

- Materiality Assessment Process
- Impact by Material Issue
- Key ESG Issues

1st Key Issue

Workplace Safety & Health Management

1st → 1st in 2025

2nd Key Issue

Stakeholder Communication

5th → 2nd in 2025

ESG Management System

HLB adopted its ESG 1.0 Management System in 2022, establishing three strategic directions and twelve key ESG focus areas, which have since been in operation. In 2025, through the double materiality assessment, the previous social strategy of "Practicing Human Rights Management" was replaced with a new core issue: "Occupational Safety and Health Management." From ESG 3.0, starting in 2026, HLB will incorporate updates such as the 2040 Carbon Neutrality Roadmap amendments and DEI core indicators. The companymanages its ESG management system and roadmap by integrating the results of materiality assessments and the key evaluation metrics used by ESG rating agencies.

Mission	**Human Life Better**
Vision	**Become a Global Top 100 Pharmaceutical and Biotechnology Company by 2030**
ESG Vision	**Ethical Business in Action, Responsible Corporate Citizenship, and Compassionate Capitalism**

Strategic Direction	Environmental	Social	Governance
	Climate Crisis Response	Reinforce Occupational Safety System	Enhance Shareholder Value
Key Tasks	Carbon neutrality & renewable energy expansion	Integration of Human Rights Mgmt.	Strengthen anti-corruption & compliance
	resource circulation & pollution reduction	Supply Chain ESG Risk Mgmt.	Co-Prosperity and Fair Trade
	Eco-friendly Process Improvement	Strengthen occup. safety system	Advance board-centered risk management
	Biodiversity Protection	Expansion of Social Contribution Activities	Enhance shareholder value

ESG Roadmap

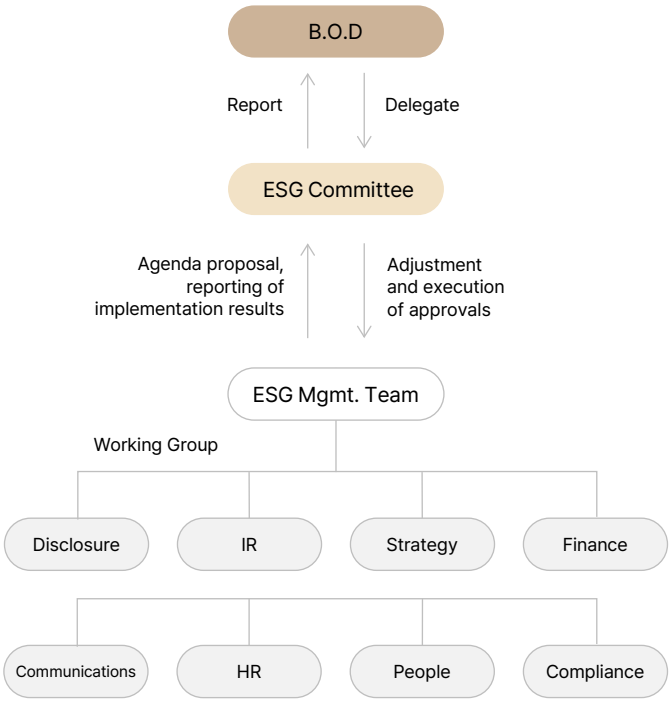
■ Completed ■ In Progress

Category	ESG 1.0 2022 - 2024	ESG 2.0 2025 - 2027	ESG 3.0 2028 - 2030
Environmental	■ Build environmental mgmt. system ■ Disclose carbon neutrality roadmap ■ Install solar energy facilities ■ Secure 600t of carbon credits ■ Conduct materiality assessment ■ Build Scope 1/2 inventory Assess climate-related financial impacts	■ Join K-RE100 ■ Measure natural capital risk ■ Acquire Green Technology Certification ■ Secure Green Premium (900MWh) ■ Build Scope 3 inventory ■ Achieve RE50 for Scope 1/2 Achieve CDP B grade	■ Acquire ISO 14001 ■ Acquire Eco-friendly product certification ■ Measure PCF (Product Carbon Footprint) ■ Conduct LCA (Life Cycle Assessment) ■ Achieve RE100 for Scope 1/2 ■ Obtain SBTi GHG Target Approval Achieve CDP A grade
Social	■ Build occupational safety mgmt. system ■ Build major accident prevention frameworks ■ Transition all employees to regular contracts ■ Create Junior Board ■ Obtain Family-Friendly Certification ■ Adopt Supplier Code of Conduct ■ join UNGC & WEPs	■ Acquire ISO 45001 ■ Introduce monthly 4-day workweek ■ Establish People & Compliance team ■ Conduct human rights impact assessments ■ Join UNGC Forward Faster ■ Allocate 30% of investments to UN SDGs ■ Achieve EcoVadis Silver Medal	■ Acquire ISO 30414 ■ Acquire ISO 27001 ■ Operate Supply Chain Due Diligence ■ Conduct Partner Co-Prosperity Program ■ Employ Above the Mandatory Employment Rate for Persons with Disabilities ■ Allocate 50% of investments to UN SDGs ■ Achieve EcoVadis Gold Medal
Governance	■ Establish ESG Committee ■ Establish Nomination Committee ■ Strengthen board independence measures ■ Abolish golden parachute clauses ■ Acquire ISO 37001 ■ Achieve KCGS B grade ■ Achieve MSCI BB rating	■ Establish Audit Committee ■ Establish Remuneration Committee ■ Implement board & IND Dir. Evaluation ■ Integrate ESG KPIs in exec. compensation ■ Achieve Sustinvest AA ■ Achieve KCGS B+ ■ Achieve MSCI BBB	■ Acquire ISO 37301 ■ Appoint Female Directors ■ Publish Corporate Governance Report ■ Achieve Excellent Grade in CP Evaluation ■ Provide Predictability for Cash Dividends ■ Achieve KCGS A ■ Achieve MSCI A

ESG Governance

HLB integrates financial performance and ESG considerations into its management strategy. Since 2021, the Company has operated an ESG Committee under the Board, comprising all independent directors, to review key policies such as carbon neutrality, social contribution, occupational health and safety, stakeholder communication, and board transparency. The ESG Management Team, reporting directly to the CEO and Group Vice Chairman, leads company-wide initiatives in collaboration with relevant departments.

ESG Governance



Board of Directors

ESG Committee

- Review and final approval of ESG-related key policies, strategies, and annual plans
- Final review and approval of ESG report
- Review and approve major ESG-related investments and activities
- Monitor ESG activities, manage and supervise policy implementation

ESG Management Team

- Company-wide ESG strategy planning and establishment
- Set and manage implementation tasks
- Publication/disclosure of reports and internal and external communication
- ESG-related issues and status of implementation reports to the board/committee

Working Group

- Implement ESG assignments within each department; provide progress reports to the ESG Management Team.

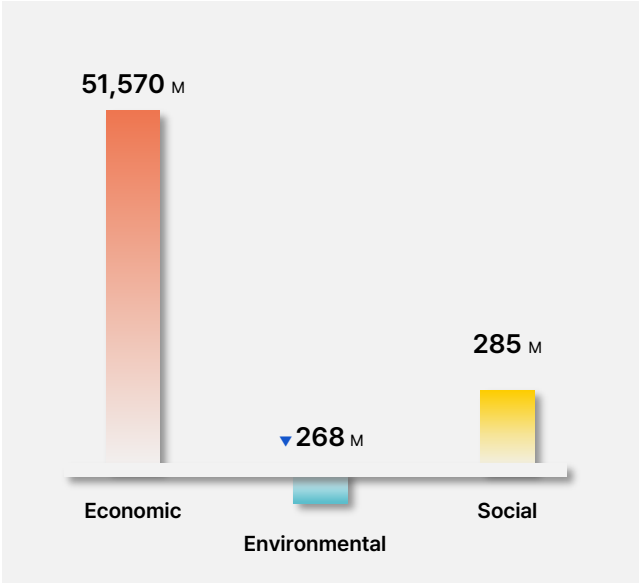
CFO Leadership Education

HLB completed the CFO Leadership program organized by the Korea Compliance Association to strengthen its ESG and compliance capabilities. The program covered ESG disclosure and regulatory trends, sustainability strategy, internal controls, risk management, and ethical and compliance management. By enhancing management expertise, HLB is proactively responding to evolving regulations and creating sustainable value for stakeholders.

Social Value (SV)

HLB pursues Triple Bottom Line (TBL) management, aiming to create economic, social, and environmental value in a balanced manner as the foundation for sustainable growth. Accordingly, HLB quantitatively measures its socioeconomic contributions by converting social value creation outcomes into monetary terms and conducted a valuation based on its 2025 performance.Certain environmental and social activities, as well as individual products and services, were excluded from the scope due to data limitations. The formulas and criteria applied were developed with reference to domestic and international social value measurement organizations and related research.

Measurement Results



Performance Details

M=million(KRW)

Category	Area	2024	2025	YoY
Econ.	Employment	37,761 M	51,604 M	▲ 37%
	Subtotal	37,761 M	51,604 M	▲ 37%
Env.	Products/ Services	16 M	25 M	▲ 56%
	Processes	(91) M	(293) M	▼ 221%
	Subtotal	(75) M	(268) M	▼ 256%
Social	Labor/Shared Growth	563 M	98 M	▼ 83%
	Social Contribution	140 M	187 M	▲ 34%
	Subtotal	703 M	285 M	▼ 59%
Total		**38,389 M**	**51,612 M**	▲ 34%

Measurement Areas

Economic

Employee salaries, Retirement benefits, Welfare expenses

Environmental (Products & Services)

Share of renewable energy self-generation, carbon credits, green premiums

Environmental (Processes)

GHG emissions, water usage costs, waste emissions

Social (Labor & Shared Growth)

Disability employment & levy payments, training costs, employee health support

Social (Social contribution)

Donations toward vulnerable groups, community programs, cultural and arts sponsorship, medical assistance

Economic Performance

HLB created approximately KRW 51.6 billion in economic value, up 37% year on year. This reflects its contribution to local communities and the economy through direct employment, including salaries and employee benefits.

Environmental Performance

HLB contributed to climate action and carbon neutrality through solar power generation and expanded renewable energy use. The Company also continued to increase clean energy procurement and improve energy efficiency.

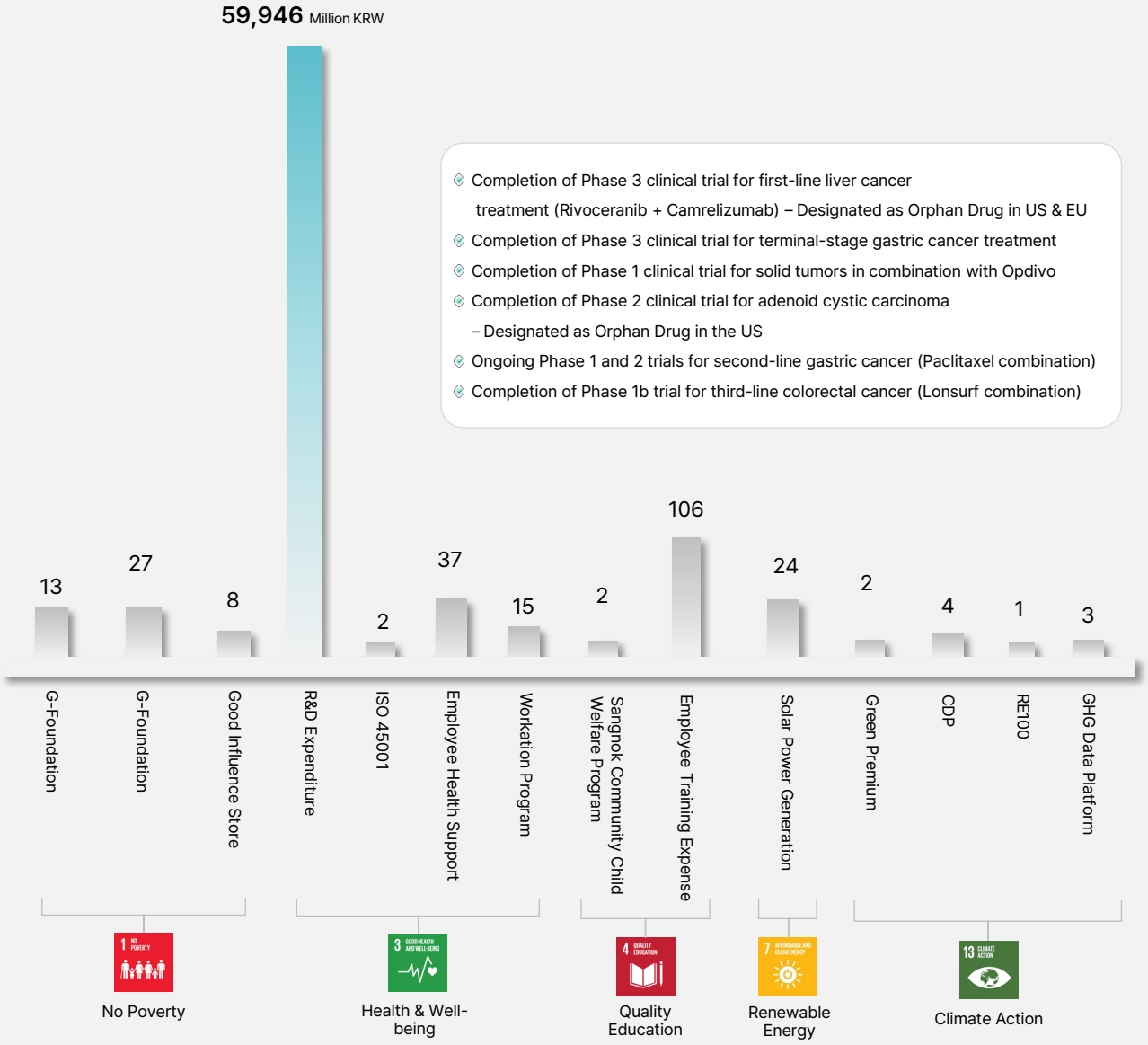
Social Performance

HLB created social value through employee training, family-friendly programs, occupational health and safety management, and community initiatives. It continues to prioritize workplace safety while strengthening community partnerships and stakeholder communication.

UNGC Forward Faster

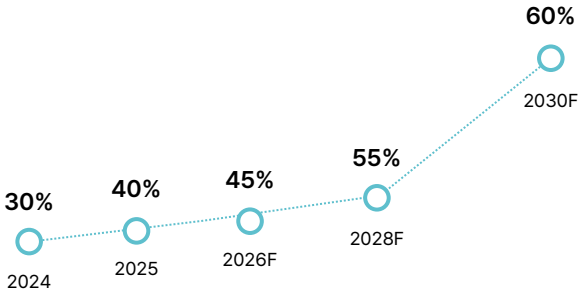
HLB joined the UN Global Compact's Forward Faster initiative in 2024. Launched in 2023, the initiative accelerates progress toward the UN SDGs across five action areas. HLB focuses on Living Wage, Gender Equality, and Sustainable Finance, reporting its progress to the UNGC annually.

SDGs Linked Investment Performance (2025)



SDGs Linked Investment Targets

To advance its Sustainable Finance commitment under Forward Faster, HLB aligned its 2025 investments with the UN SDGs. In 2025, SDG-aligned investments accounted for 39% of total investment, with a target to increase this share to 60% by 2030.



1) Calculation method:
SDGs-linked investment ratio = (2025 SDG-linked investment) ÷ (Capital expenditure + R&D + M&A/Investment + Operating expenses)

Total SDGs-linked Investment

83.5 billion KRW

SDGs-linked Investment Ratio

39.5% Of total corporate investments

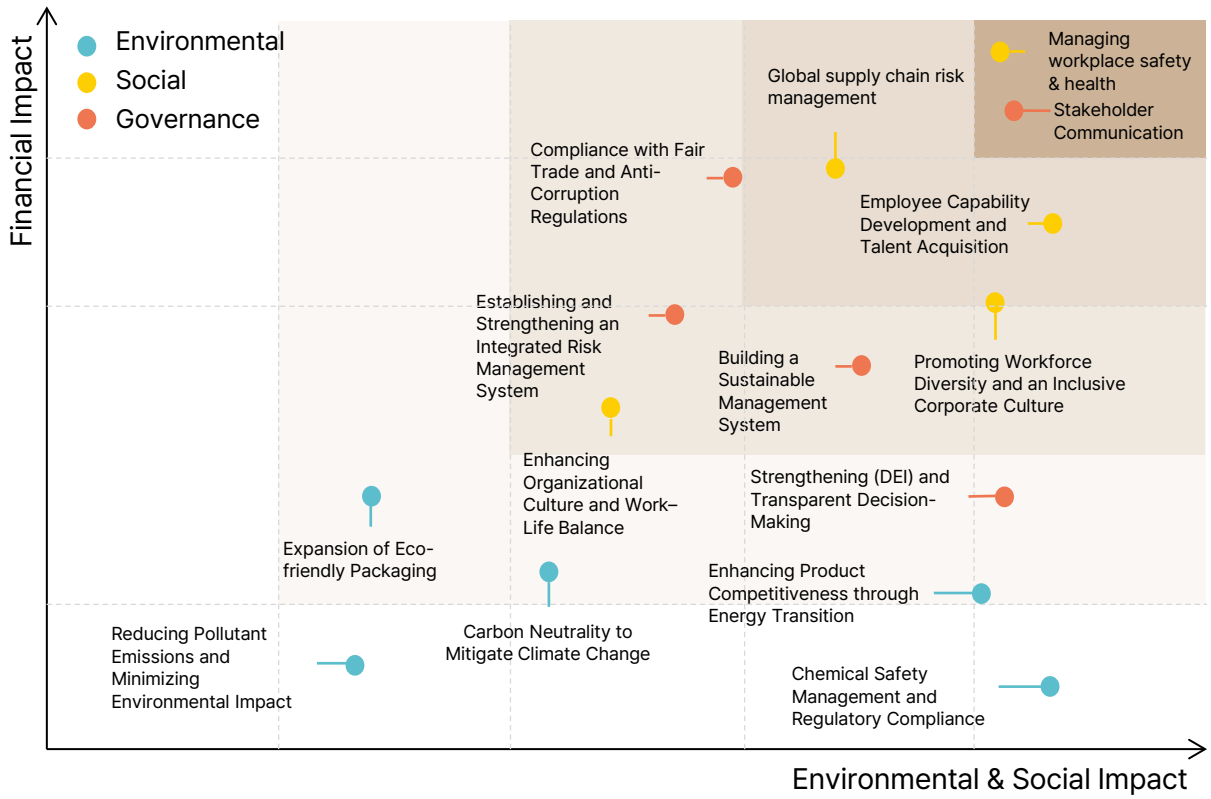
23,126 Million KRW

- Land 7.4B
- Buildings 2.15B
- Machinery 1.53B
- In-progress Construction 7.56B
- Right-to-use Assets 1.37B
- Others 1.33B

Double Materiality Assessment

HLB conducts an annual double materiality assessment to review the major issues that may arise across its business operations, examining both the company's impact on the environment and the environment's impact on the company. HLB's materiality assessment is carried out in compliance with the Global Reporting Initiative (GRI) guidelines, based on which two critical issues have been identified. The assessment results are reported each year to the Board of Directors and the ESG Committee as formal agenda items.

Materiality Assessment Results



Assessment Process

STEP 01

Building the Issue Pool through Internal and External Environment Analysis: HLB identified a customized pool of sustainability issues by mapping external disclosure requirements with internal corporate risks and long-term strategic priorities.

STEP 02

Issue Review and Topic Selection

Using both the GRI-based issue pool (for external evaluations) and HLB's internal risk/strategy-driven pool, the company reviewed and consolidated topics, removing overlaps, and narrowing the list to 15 material topics.

STEP 03

Impact Analysis with Employees and External Stakeholders

HLB conducted an online survey targeting both internal and external stakeholders to gather opinions on sustainability topics. The survey results were used to evaluate significance and prioritize issues.

- Survey Period: February 2-6, 2026
- Participants: 351 stakeholders (employees, partners, shareholders, etc..)
- Assessment: Importance ratings for 15 sustainability topics

STEP 04

Prioritization and Key Focus Areas

By aligning global ESG standards with HLB's business context, two top-priority topics ("First Tier") were selected from the 15 topics for focused management.

Materiality by Key Issue

Material Topic	Impact		Direction		Change in Ranking	GRI	Page
	Env/Social	Financial	Opp.	Risk			
① Workplace Health & Safety Management	Medium	High		✓	1st → 1st	GRI 403	56-58
② Stakeholder Communication	High	Medium	✓		5th → 2nd	GRI 2-29	90-91
③ Talent Development & Recruitment of Outstanding Talent	Medium	Medium	✓		9th → 3rd	GRI 401, 404	63-64
④ Establishing a Stable System to Respond to Supply Chain Risks	High	Medium		✓	6th → 4th	GRI 414	79
⑤ Building a Diverse and Inclusive Corporate Culture	Medium	Medium	✓		4th → 5th	GRI 405	66-68
⑥ Establishing a Sustainable System through ESG Management	Medium	Medium	✓		3rd → 6th	GRI 2-9	37-38
⑦ Compliance with Fair Trade and Anti-Corruption Regulations	Low	High		✓	2nd → 7th	GRI 205	98-99
⑧ Establishing an Integrated Risk Management System for Potential Risks	Medium	Medium		✓	12th → 8th	GRI 2-12	92-94
⑨ Organizational Culture Improvement & Work-Life Balance	Medium	Medium	✓		7th → 9th	GRI 401, 402	66-77
⑩ Securing Board Diversity & Transparent Decision-Making Structure	Medium	Medium	✓		11th → 10th	GRI 405	84-88
⑪ Strengthening Product Competitiveness through Renewable Energy Transition	Medium	Low	✓		14th → 11th	GRI 302	49
⑫ Chemical Safety Management & Regulatory Compliance	Medium	Low		✓	13th → 12th	GRI 306	106
⑬ Expansion of Eco-Friendly Packaging	Low	Low	✓		8th → 13th	GRI 301	81
⑭ Carbon Neutrality for Climate Change Mitigation	Low	Low		✓	10th → 14th	GRI 305	46-48, 105
⑮ Reduction of Pollutant Emissions & Minimization of Environmental Impact	Low	Low		✓	15th → 15th	GRI 305	50, 105-106

Key Issues (Environmental)

Topic	Opp/Risk	Business Case	Impact	Short-term Strategy	Long-term Strategy	Major Achievement
Enhancing Competitiveness through Energy Transition	Meet customer & investor expectations	Lower production costs and strengthen green competitiveness	Facilitate exports to advanced markets, including the United States and Europe	Achieve RE50 for Scope 1 and 2 emissions	Secure renewable energy through direct PPA agreements	Achieved a 22% renewable energy transition rate
Chemical Management & Regulatory Compliance	Reduce legal and operational risks	Prevent emissions and strengthen compliance	Minimize regulatory risks	Establish a chemical management system that exceeds regulatory requirements	Reduce chemical use and ensure compliance with applicable laws and regulations	No violations due to continued regulatory compliance
Expansion of Eco-Friendly Packaging	Enhance brand value and ESG competitiveness	Adopt FSC-certified, recyclable packaging	Improve product reliability and export competitiveness	Expand sustainable packaging materials	Transition to eco-friendly packaging	Reduced packaging waste and environmental impact
Carbon neutrality to mitigate climate change	Reduce carbon costs and climate risks	Install renewable energy facilities, secure RECs, Green Premium, and PPA agreements	Strengthen global competitiveness	Scope 1–2 Carbon Neutrality (80%)	Scope 3 Carbon Neutrality (10%)	Scope 1–2 emissions reduced by 7%
Reducing Pollutant Emissions & Environmental Impact	Reduce environmental and operational risks	Promote resource circulation	Lower environmental compliance costs	Expand recyclable materials	Build circular resource management system	Established pollutant & waste inventory

Key Issues (Governance)

Topic	Opp/Risk	Business Case	Impact	Short-term Strategy	Long-term Strategy	Major Achievement
Communicating with stakeholder	Strengthen trust and investor confidence	Annual General Meeting, IR·NDR, Corporate Day	Recognizing the importance of disclosing personal information to stake holders and gathering requirements	Expansion of communication channels and implementation of corporate value-up programs	Implementation of shareholder return policy	Materiality assessment conducted, IR Day held Shareholder briefing held, HLB Bio Forum hosted
Strengthening risk management system	Strengthen enterprise risk management	Benchmark the integrated risk management systems of global leading companies	Communicate the company's non-financial value through ESG reports, the corporate website, and other channels	Expand ESG reporting to subsidiaries and gain inclusion in global ESG indices	Publish corporate governance reports, establish ESG funds, and pursue impact investment	Published ESG reports and improved ESG ratings
Compliance with regulations on fair trade, anti-corruption	Reduce legal and reputational risks	ISO 37001 & ISO 37301	Strengthen compliance management	ISO 37301 maintained ISO 37001 renewed	Advance compliance program	Maintained ISO 37001 and strengthened compliance system(2026)
Establishing a sustainable system through ESG	Strengthen ESG governance	Publish ESG reports and corporate governance reports, improve ESG ratings, and receive external ESG recognition	Risk management failures may result in financial losses and possible trading suspension	Enhance the risk management framew.ork	Obtain ISO 31000 certification and establish an internal risk management system	Established enterprise risk management framework
Ensuring Board DEI & Establishing a Transparent Decision-Making System	Improve investor confidence and governance assessments to enhance capital-raising competitiveness and corporate value	Appoint directors based on expertise, operate the Board Skills Matrix, expand separate elections for Audit Committee members, and appoint outside directors	Generate positive impacts through transparent decision-making and an audit system based on diversity and independence	Increase the number of separately elected Audit Committee members, raise the proportion of outside directors, and strengthen board expertise and diversity	Establish a global-standard board and audit governance structure combining diversity in nationality and expertise with an independent audit function	Increased board diversity and strengthened governance

Key Issues (Social)

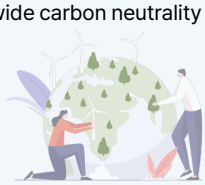
Topic	Opp/Risk	Business Case	Impact	Short-term Strategy	Long-term Strategy	Major Achievement
Workplace Safety Management	Reduce workplace accidents, legal risks, and operational disruptions	Strengthen safety standards, employee awareness, and regulatory compliance	Improve employee protection and business continuity	ISO 45001 renewed, Enhance workplace inspections and safety training	Establish a proactive, prevention-focused safety culture	Maintained zero major workplace accidents and strengthened safety programs
Employee Capability Development & Talent Acquisition	Attract, develop, and retain skilled employees	Expand job-specific training and talent development programs	Improve workforce expertise and organizational performance	Increase employee training and development opportunities	Build a strong talent pipeline and develop future leaders	Increased training participation and strengthened talent acquisition
Global Supply Chain Resilience	Minimize supply shortages, delivery delays, and supplier-related risks	Strengthen supplier cooperation and supply chain monitoring	Ensure stable procurement and uninterrupted operations	Improve supplier risk assessment and response systems	Establish a resilient and diversified global supply chain	Strengthened supply chain monitoring and risk management
Workforce Diversity & Inclusive Culture	Improve employee engagement, innovation, and talent retention	Promote equal opportunities and an inclusive workplace environment	Expand diversity and inclusion initiatives	Embed DE&I principles across the corporate culture	Improved diversity programs and inclusive workplace practices	Expanded Female Board Representation, Conducted Human Rights Impact Assessment, Operated H-Board (Junior Board)
Organizational Culture & Work–Life Balance	Increase employee satisfaction, engagement, and retention	Promote flexible work arrangements and employee well-being programs	Improve productivity and strengthen organizational commitment	Expand work–life balance and employee support programs	Build a healthy, flexible, and employee-centered culture	Renewal of Family-Friendly Company Certification

Short-term(~2028) / Mid-long term(~2035)

ESG Performances

Environmental 44

HLB is expanding its use of renewable energy through on-site solar power generation and renewable energy procurement. The Company continues to implement its carbon neutrality roadmap, targeting RE100 for domestic operations, Scope 1 and 2 carbon neutrality, and company-wide carbon neutrality including Scope 3 emissions by 2040.



GHG Emission (Market-Based)

549 tCO_2e

Scope 1+2

Renewable Energy Transition Rate

22%

Solar Power Generation: 109MWh

Green Premium Purchase: 150MWh

Energy Intensity

14.95 GJ/100M KRW

GHG Intensity

0.652 tCO_2e/100M KRW

Social 55

HLB fosters an inclusive workplace based on Diversity, Equity & Inclusion (DE&I). Women represent over 50% of employees, with female managers accounting for 42% in 2025. The Company also promotes work-life balance and strengthens human rights management through flexible work programs, family-friendly policies, and regular assessments.

Flexible Work Utilization Rate

54%

vs. 11.5% average for Korean companies with fewer than 300 employees in 2025

Human Rights Impact Assessment Score

91.7

Up 1.7 points from 90 in 2024▲

% of Female Employees

61%

23% points ▲ the Korean corporate average

% of Female Managers

42%

20% points ▲ the Korean corporate average

Governance 83

HLB operates five Board committees, all composed entirely of independent directors, ensuring transparency and independence in Board decision-making. The Company also actively engages with global stakeholders through regular communication to enhance shareholder value and strengthen shareholder rights.

Ratio of Independent Directors in Board of Directors

38%

3 of 8 directors, as of December 2025

Ratio of Independent Directors in Committee Members

100%

ESG, Audit, Compensation, Outside Director Recommendation, Related Party Transaction Committees

Global Stakeholder Engagement

65 cases

NDR, Conferences, Corporate day, etc

Board Evaluation Score

70

Self-Assessment 40 / Corporate Governance 0 / External Assessment 30

Environmental

Environmental Policy 45

2040 Net-zero Roadmap 46

Climate Risk 48

Energy 49

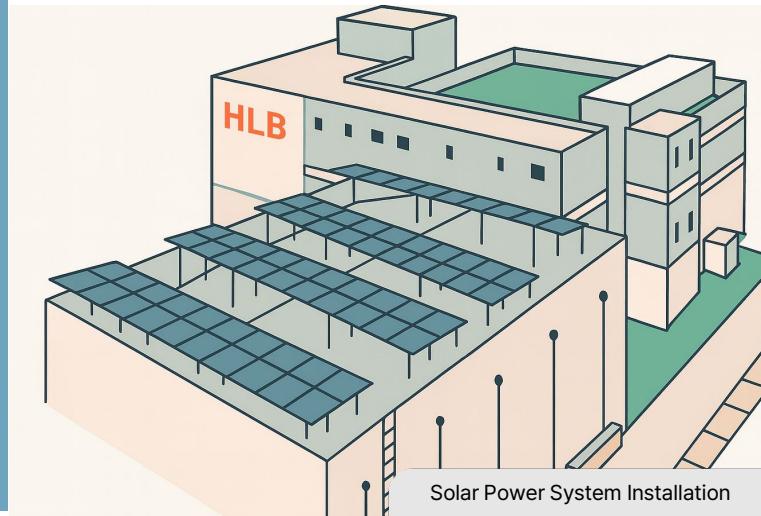
Eco-friendly Activities 50

Biodiversity 51

Plogging Campaign

Tree Planting at Bukhansan National Park

Use of Upcycled Products at the Headquarters Café



Solar Power System Installation

Environmental Policy

HLB establishes annual environmental goals in areas including GHG emissions, energy, waste, and resource circulation, and manages performance data systematically against targets. Through its environmental management system, the company ensures full compliance with environmental laws while executing overall environmental management operations.

Environmental Targets & Implementation Status (2025)

Indicator		Unit	Target	Performance	Reduction vs. Target
GHG Emissions	Scope 1	tCO_2e	150	135	10% ▲
	Scope 2		500	483	3% ▲
Energy Consumption	Direct Energy	TJ	2,500	2,110	16% ▲
	Indirect Energy		10,000	10,475	1% ▼
Water Withdrawal	Municipal Water	Ton	6,500	6,432	1% ▲
Waste Generation	General Waste	Ton	130	119.2	8% ▲
	Designated Waste		0.5	0.4	20% ▲

Key Environmental Management Initiatives

Waste Reduction

- Recycling of industrial and general domestic waste
- Enhancing waste treatment with in-house partners
- Formation of Environmental Improvement Committee & campaign activities

Water Pollution Control

- 100% reuse of water used in pressure testing
- Participation in water quality improvement initiatives
- Regular facility inspections & leak prevention activities
- Designated storage areas for waste to prevent secondary water pollution

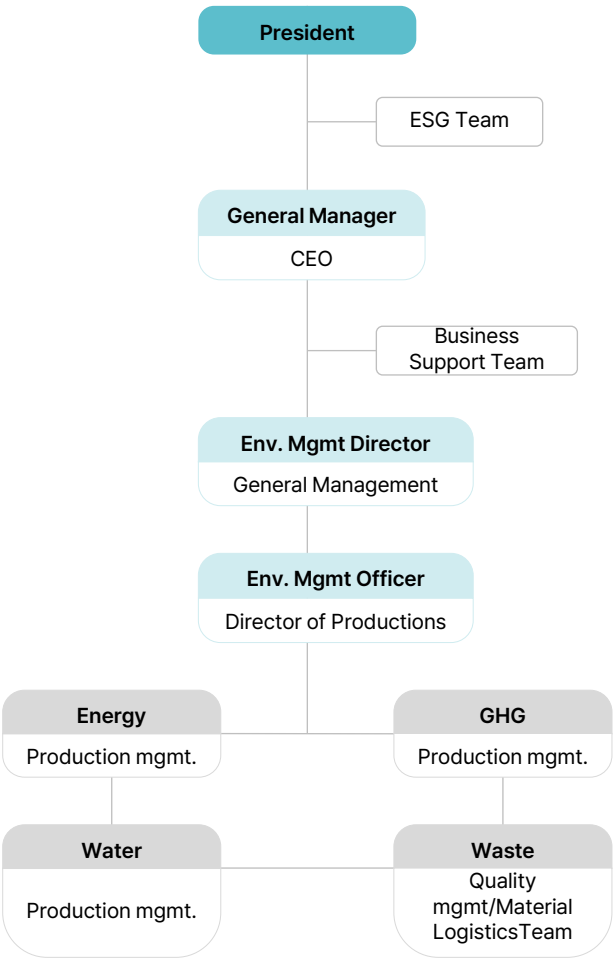
Energy Use Management

- Introduction of PC management programs & lighting control practices
- Replacement of factory lighting with LED lamps and automation via timers
- Continuous investment in high -efficiency equipment

Air Pollution Control

- Installation of adsorption facilities for air purification
- Installation of dust collection and capture devices to improve the work environment
- Self-measurement of adsorption and filtration devices and ongoing monitoring activities

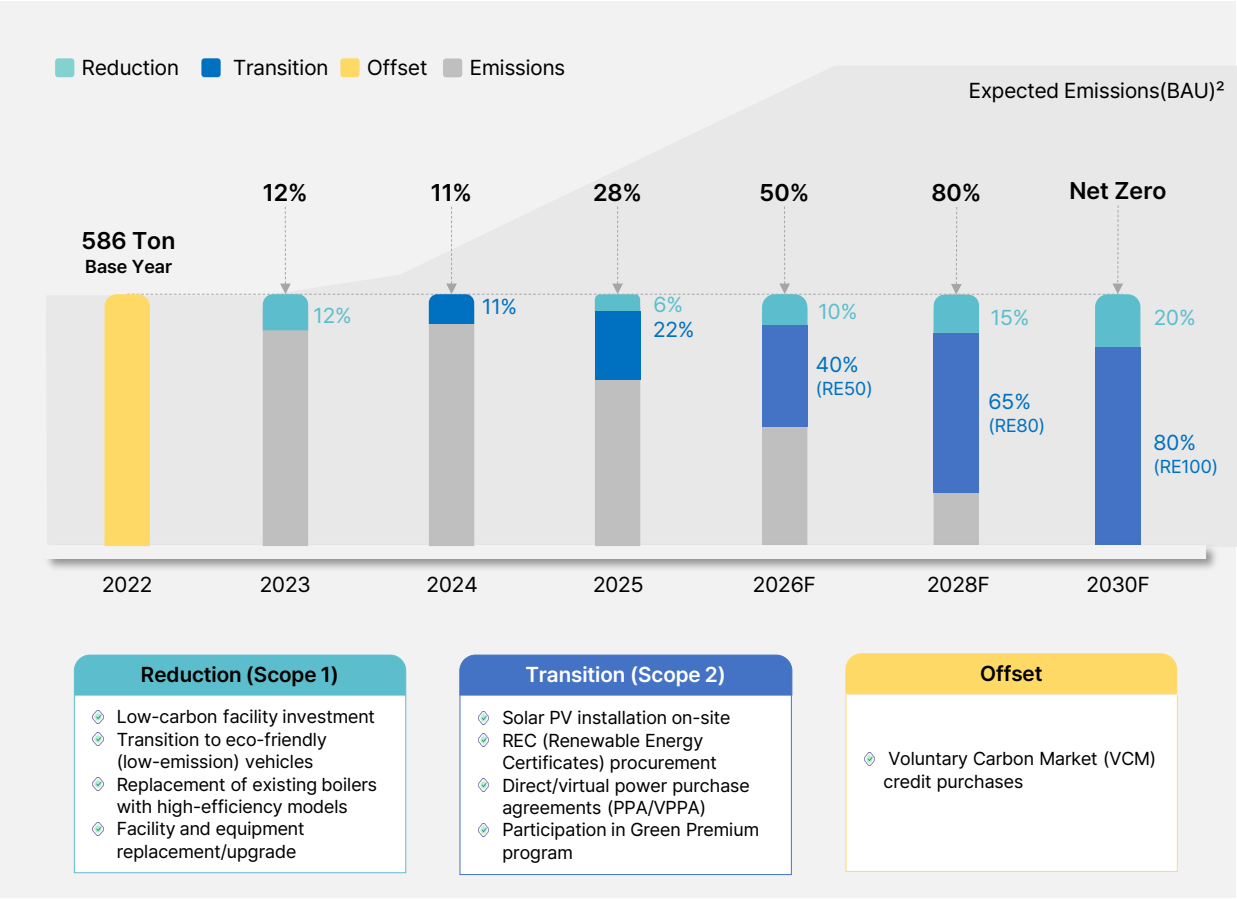
Environmental Management Governance



2040 Net Zero Roadmap

HLB aims to achieve Scope 1 and 2 Net Zero by 2030. In 2025, it generated 109 MWh of solar power and procured 150 MWh of Green Premium energy, raising renewable energy use to 9% and reducing emissions by 6% from the base year. HLB also targets company-wide carbon neutrality, including Scope 3, by 2040.

GHG Reduction Roadmap (Scope 1+2)[1]



Reduction (Scope 1)

- Low-carbon facility investment
- Transition to eco-friendly (low-emission) vehicles
- Replacement of existing boilers with high-efficiency models
- Facility and equipment replacement/upgrade

Transition (Scope 2)

- Solar PV installation on-site
- REC (Renewable Energy Certificates) procurement
- Direct/virtual power purchase agreements (PPA/VPPA)
- Participation in Green Premium program

Offset

- Voluntary Carbon Market (VCM) credit purchases

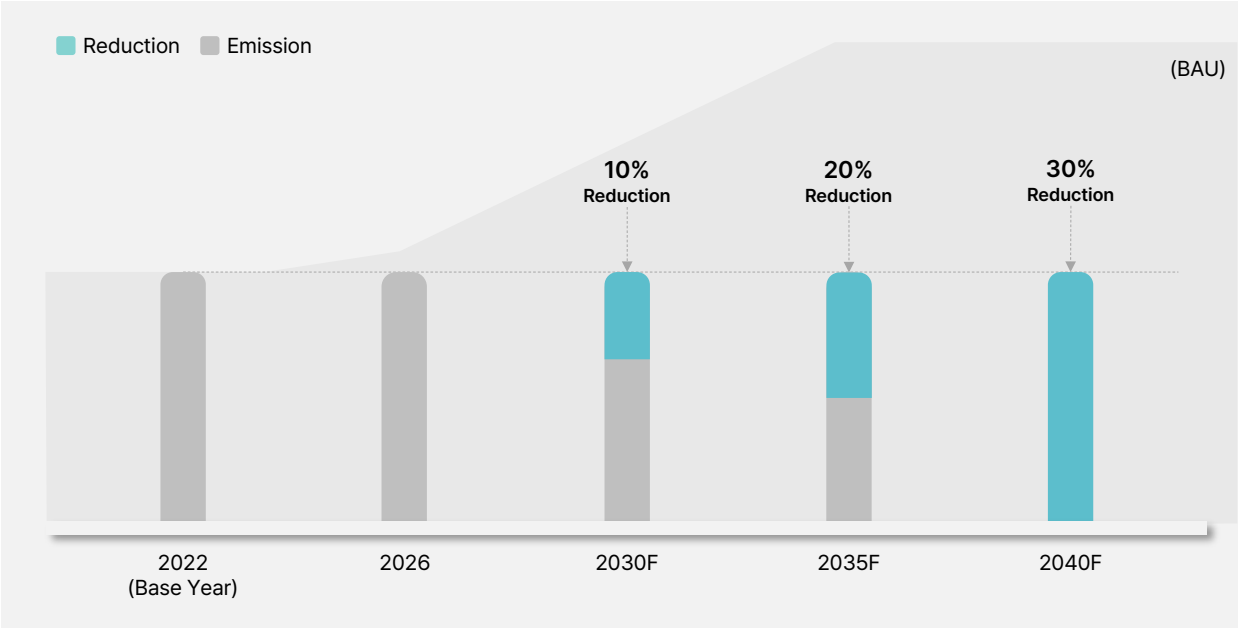
1) Organizational boundary: Based on domestic business sites (Seoul, Sejong)
2) Projected emissions (BAU) take into account the increase in emissions resulting from sales expansion

GHG Emissions Status (2025)

Type	Emission	Ratio	Detail
Scope 1 Emission	135 tCO_2e	25%	Stationary Combustion: 7%
			Mobile Combustion: 15%
			Diesel: 3%
Scope 2 Emission	483 tCO_2e	75%	Electricity: 75%
Green Premium	(68.912)		Deducted from Indirect Emissions
Total	**549 tCO_2e**	**100%**	

To support this goal, HLB plans to establish its Scope 3 greenhouse gas inventory by 2027 and build a collaboration framework by 2029 to support key suppliers in adopting RE100. The Company will manage carbon emissions and waste across its value chain and leverage an external environmental management platform to collect Scope 3 data and develop its carbon neutrality roadmap.

GHG Reduction Roadmap (Scope 3)



Mid-to-Long Term Carbon Neutrality Goals & Strategies

HLB has established a phased carbon neutrality roadmap and is implementing a systematic GHG reduction strategy. After building its carbon management framework by 2026, the Company aims to achieve Scope 1 and 2 Net Zero by 2030 and reduce Scope 3 emissions by 30% by 2040. To achieve these goals, HLB will continue expanding renewable energy, strengthening its GHG management platform, and collaborating with suppliers while monitoring progress at each stage.

	2022~2025	2026~2030	2030~2040
Goal	Establish carbon neutrality implementation framework	Achieve Scope 1·2 Net Zero	Reduce Scope 3 Emissions by 30%
Strategy	Install solar power facilities	Expand solar power generation	Securing long-term energy supply (direct PPA)
	Join K-RE100	Transition to EV vehicles (EV30)	Supporting key suppliers in achieving RE100
	Achieve RE20 for Scope 1·2	Product Carbon Footprint for key products	Achieve 30% resource circularity and recycling rate
	Secure green premium (RE)	Conduct life cycle assessment(LCA)	Achieve A grade for CDP

Climate Risk

Climate Risk Assessment

Category		Impact	Financial Risk	Opportunities
Physical	Heat stress	High / Medium / Low	Increased costs such as reduced productivity of employees and cooling costs	Sales rise due to pandemic
	Water Shortage	High / Medium / Low	Both Sejong and Seoul are classified as drought risk areas (grade 1), but HLB Healthcare Div. does not operate water-intensive business	-
	Sea level rise	High / Medium / Low	Sejong and Seoul are not affected by sea level rise	-
	Typhoons and floods	High / Medium / Low	Neither Sejong headquarters nor Seoul offices are in flood-affected areas in the event of a typhoon	-
Transition	Laws and regulations	High / Medium / Low	Introduction of climate-related mandatory disclosures and supply chain regulations by major exporting countries such as the EU/US	Securing export competitiveness through preemptive and voluntary responses
	Mandatory disclosure	High / Medium / Low	Introduction of mandatory disclosures related to climate in Korea and strengthening regulations related to greenwashing	Proactive and transparent ESG report disclosure Incorporation of the global ESG index and enhancement of corporate value
	Incorporation of Emissions Trading System	High / Medium / Low	Incorporation of companies subject to domestic emission trading system/target management system due to increased emissions	Revenues from the sale of surplus credits
	Transition to low -carbon energy	High / Medium / Low	Increased infrastructure investment costs due to the expansion of renewable energy use and the introduction of energy efficiency improvement facilities in production facilities	Revenues from sales of surplus renew able energy, reduces energy costs, and achieves RE100 and Net Zero
	Transition to low carbon products	High / Medium / Low	Increasing R&D and infrastructure investment costs for technology development and introduction to convert eco-friendly materials and enhance resource circulation rates	Increasing sales and diversifying global sales sources due to product competitiveness enhancement
	Production of low carbon products	High / Medium / Low	R&D and infrastructure investment costs to develop eco-friendly products rise	Enhance brand image and reduce carbon emissions
	Industry characteristics	High / Medium / Low	As it is an industry that directly affects the improvement of human health and quality of life, it is not significantly affected by changes in consumer preferences	-
	Investor demand	High / Medium / Low	Reputation decline and investment attraction failure due to failure of stakeholders such as investors to respond to climate change demands	Improve ESG ratings and incorporate global ESG indices by responding to evaluation agencies

Renewable Energy

Solar Power Generation Facility

HLB installed approximately 660 m² of rooftop solar facilities in 2023 to reduce production-related emissions and increase renewable energy use. In 2025, solar power replaced around 9% of annual electricity consumption and reduced total GHG emissions by approximately 9%. HLB plans to raise the share of solar energy to about 20% by 2030 through facility expansion and efficiency improvements.

RE Generation	Carbon Reduction
109MWh	42tCO_2e
2024 RE Generation: 60MWh	2024: 591tCO_2e →2025: 549tCO_2e
RE100 Transition Rate	**of total carbon emissions**
9%	9%
2025 Electricity Usage: 1,159MWh	2025 GHG Emissions: 549tCO_2e

Monthly Solar Power Generation (2025)

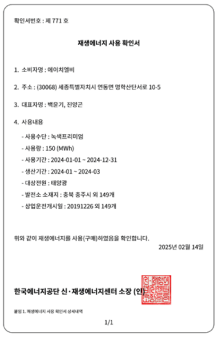
(kWh)

Jan	Feb	March	April	May	June
1,388	8,963	10,651	12,319	11,824	12,319

July	Aug	Sep	Oct	Nov	Dec
13,560	10,346	8,169	6,651	7,510	5,733

Green Premium

In 2025, HLB procured 150 MWh of renewable energy through Korea's Green Premium program, converting approximately 13% of Scope 2 emissions from electricity use to renewable energy. HLB also participated in the 2024 Green Premium bidding process and secured 900 MWh of renewable energy.



재생에너지 사용 확인서

1. 소비자명 : 에이치엘비

2. 주소 : (30064) 세종특별자치시 연동면 엄적산단서로 10-5

3. 대표자명 : 박윤기, 진양곤

4. 사용내용

- 사용수단 : 녹색프리미엄
- 사용량 : 150 (MWh)
- 사용기간 : 2024-01-01 ~ 2024-12-31
- 생산기간 : 2024-01 ~ 2024-03
- 대상전원 : 태양광
- 발전소 소재지 : 충북 충주시 외 149개
- 상업운전개시일 : 20191226 외 149개

위와 같이 재생에너지를 사용(구매)하였음을 확인합니다.

2025년 02월 14일

한국에너지공단 신·재생에너지센터 소장 (인)

1/1

Green Premium Usage	RE100 Transition Rate (Green Premium)
150MWh	13%

Practical Training

Benchmarking & Training

HLB conducted an energy benchmarking program to strengthen its energy transition strategy. The program reviewed domestic and global RE100 practices and renewable energy procurement options, including self-generation, Green Premiums, and PPAs. Based on site conditions and electricity use, HLB will continue improving solar efficiency and expanding renewable energy procurement.

Eco-friendly Activities

HLB is implementing internal eco-friendly programs such as the Run for Us community environmental conservation campaign and the Green Together everyday sustainability campaign. Run for Us focuses mainly on outdoor plogging activities, while Green Together emphasizes indoor, resource-saving initiatives. Now in its fourth year, HLB's eco-friendly activities are designed to be "beautiful and enjoyable," continually introducing new and creative ideas that have led to increasing employee participation rates every year.

Run for Us

Since 2022, HLB Group has operated Run for Earth, an eco-friendly plogging campaign that encourages employees to run for the planet and the community. Employees walk and run along nearby trails, parks, and hiking paths while collecting litter, contributing to cleaner local environments and promoting environmental awareness in everyday life. The campaign has become one of HLB Group's representative employee-participation programs, combining environmental action with community engagement and a healthy culture of giving.

In 2025, employees expanded these efforts by participating in a forest restoration planting activity at Bukhansan National Park. Together with local volunteers, they planted trees in damaged areas to support ecosystem recovery and increase green spaces. The activity also provided employees with an opportunity to experience the value of nature while strengthening teamwork and communication around a shared environmental goal.

HLB Group will continue to promote diverse Run for Earth activities, including plogging, forest restoration, and community clean-ups. Through these efforts, the Group aims to expand voluntary environmental participation and foster a healthy, inclusive organizational culture across gender, age, and position.

Total Distance	Total Waste Collected
1,973km	2,220ℓ
Total Time Spent	**Total Number of Activities Held**
737hr	11times

Green Together

HLB also runs semiannual resource-saving and eco-friendly challenges. Activities include joining the Carbon Neutrality Point Program, donating clothing, and using reusable tumblers, with rewards provided to outstanding participants. The program continued in the first half of 2026.

Biodiversity

LEAP-Based Natural Capital Risk Analysis

HLB conducted a TNFD LEAP framework assessment to evaluate nature-related risks across its operations. The assessment identified biodiversity conditions and the presence of endangered species around its sites in Seoul, Sejong, New Jersey, and Maryland, enabling the Company to assess the relationship between its operations and the natural environment and to continuously manage potential nature-related risks.

Natural Capital Risk Management Process

Locate

- Define the scope of assessment sites
- Identify biodiversity and ecosystem status near sites

Evaluate

- Understand the biodiversity and ecosystem status

Assess

- Identify sites with high nature-related risks
- Distinguish risks and opportunities regarding the dependency and impact on natural capital

Prepare

- Announce strategies, performance, and targets through ESG report

Locate

Defining the Scope of Assessment Sites

The assessment covered three domestic and two key overseas sites that met the connection criteria.

Scope of Assessed Sites

Site	Address
HLB Seoul Office	662 Nonhyeon-ro, Gangnam-gu. Seoul
HLB Investment	
HLB Healthcare Div.	10-5 Myeonghaksandanseo-ro, Yeon-dong-myeon, Sejong
Elevar Therapeutics	One Bridge Plaza North Suite 850 Fort Lee, NJ, USA
Immunomic Therapeutics	15010 Broschart Road Suite 250, Rockville, MD, USA

Identifying endangered Species near Sites

HLB has identified endangered species within a radius of up to 20 km in four domestic and international regions where its five business sites are located.
In Korea, the focus areas are set around the regions south of the Han River and the Miho River basin in Sejong.
Overseas, biodiversity and endangered species are being monitored mainly in New Jersey and Maryland in the northeastern United States.

Region	Species
Seoul (5km)	100 species – including Water Deer, Gold-spotted Pond Frog, Suwon Tree Frog, Black-headed Gull, Black-faced Spoonbill, Rustic Bunting, Greater White-fronted Goose, Falcated Duck, Oriental Stork, etc..
Sejong (20km)	72 species – including Water Deer, Gold-spotted Pond Frog, Suwon Tree Frog, Rustic Bunting, Black-headed Gull, Steller's Sea Eagle, Oriental Stork, Black-faced Spoonbill, Common Pochard, etc..
New Jersey (5km)	117 species – including White-tailed Deer, Raccoon Dog, Red Fox, Gray Fox, Eastern Chipmunk, Marmot, Striped Skunk, Virginia Opossum, American Black Bear, Bald Eagle, Osprey, Peregrine Falcon, etc..
Maryland (5km)	66 species – including Little Brown Bat, Eastern Spotted Skunk, Raccoon, White-tailed Deer, Coyote, American Black Bear, Chimney Swift, King Rail, Marbled Godwit, and Horned Grebe, etc..

Summary of Endangered Species near Sites

Region	VU	EN	CR	Total
Seoul	54	40	6	100
Sejong	39	31	2	72
New Jersey	72	32	13	117
Maryland	44	13	9	66

VU: Vulnerable / EN: Endangered / CR: Critically Endangered

Evaluate

Evaluating Natural Capital Dependence and Impact

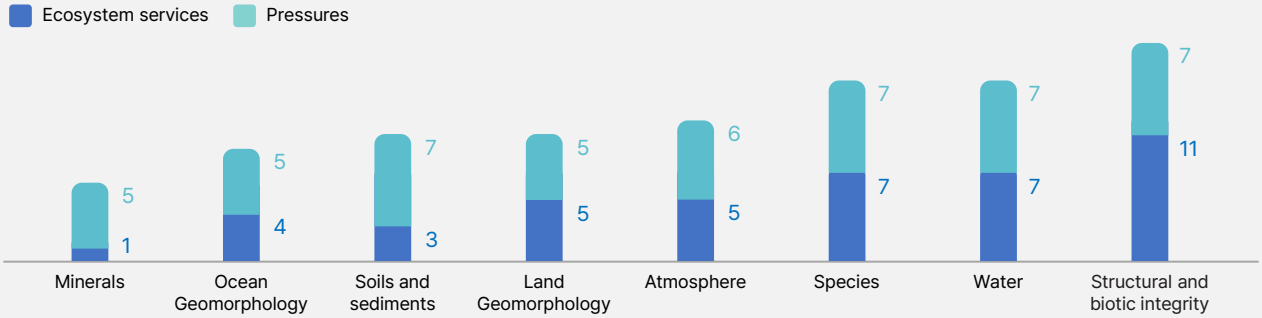
HLB develops novel anticancer drugs and assesses its nature-related dependencies and risks using the TNFD LEAP framework and ENCORE Tool. The analysis identified 13 ecosystem service dependencies relevant to the pharmaceutical and biotechnology industry, with significant reliance on five key areas: Education, Science & Research; Water Quality Regulation; Genetic Materials; Water Flow Regulation; and Water Supply.

Heatmap of the impact on the eco-system services (ENCORE)

Very Low | Low | Medium | High | Very High

Category	Index	Level
Material potential dependencies	Education, scientific and research	Very High
	Water purification	Very High
	Genetic materials	High
	Water flow regulation	High
	Water supply	High
	Flood mitigation	Medium
	Soil and sediment retention	Medium
	Storm mitigation	Medium
	Local climate regulation	Low
	Dilution by atmosphere and ecosystems	Low
	Solid waste remediation	Low
	Air filtration	Very Low
	Global climate regulation	Very Low
Material potential pressures	Disturbances	Medium
	GHG Emissions	Medium
	Non-GHG air pollutants	Medium
	Nutrient pollutants to water and soil	Medium
	Toxic pollutants to water and soil	Medium
	Soil waste	Medium
	Water use	Medium

Potential Dependencies and Pressures on Ecosystem Components



Assess

Natural Capital Regional Risk Assessment

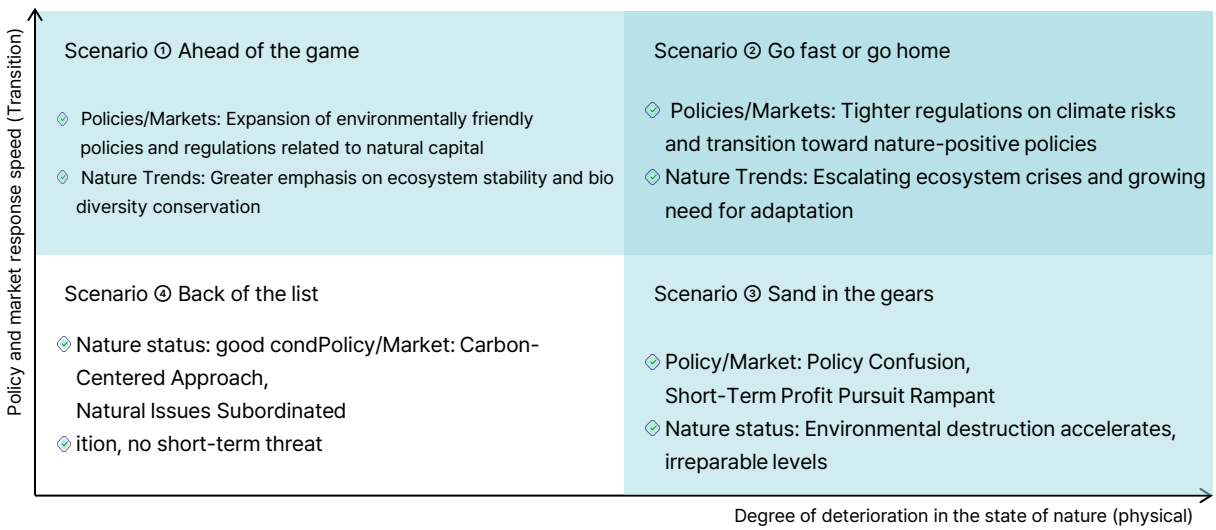
HLB assessed the dependency and impact of its business sites o n natural capital using global biodiversity datasets and the IBAT Tool, which is widely adopted for location-based biodiversity risk assessments. The analysis covered Key Biodiversity Areas (KBA) and Protected Areas (PA) within a 20 km radius of each site.
As a result, All five business sites were classified as being within Protected Areas (PA), and two domestic sites (Seoul) were found to be located within KBA boundaries. However, the actual impact level of HLB's operations on these areas was assessed as low.
For the two sites with a "high" PA impact rating (within 0.5 km of a protected area), HLB plans to strengthen employee training and management systems to prevent the release of pollutants such as waste.

Impact Assessment by Site

Site	PA	KBA
HLB Seoul Office	Low	Low
HLB Investment	Low	Low
HLB Healthcare Div.	Mid	-
Elevar Therapeutics	High	
Immunomic Therapeutics	High	

Natural Capital Scenario Analysis

HLB carried out a scenario analysis based on the 2×2 matrix recommended by the TNFD to assess the potential impacts on business sites and supply chains, taking into account not only policy and economic changes but also the deterioration of the natural environment.
Four scenarios were set, referring to natural capital–related reports from domestic and global sources. For each scenario, HLB identified: ① The degree of regulation ②Customer requirements ③Investment trends and ④State of natural ecosystems.
The scenarios were then adapted to fit HLB's business environment.
The analysis evaluated ecosystem services on which the assessed sites depend, and the primary environmental impact drivers, to identif y risks, opportunities, and business impacts.



Assess

Natural Capital Risk Management

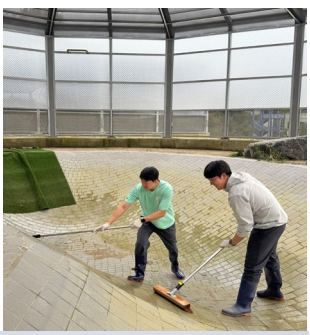
Scenario	Detail	Impact	Potential Risk	Response Strategy
Physical Risks Scenario ② Scenario ③	Water resource instability	High / Medium / Low	Reduced production volume and sales due to unstable water supply	Monthly monitoring of water intake volume
	Water pollution	High / Medium / Low	Water pollution caused by inadequate waste and chemical management increased quality-control costs due to raw material contamination or failure to meet standards	Establish waste-management targets Monthly monitoring of chemical use
	Loss of biodiversity	High / Medium / Low	Production disruption for products that rely on specific species asset acquisition costs for facility restoration	Establish natural-disaster response scenarios Strengthen eco-friendly product development and investment
Transition Risks Scenario ① Scenario ②	Regulatory tightening	High / Medium / Low	Increased operational costs for responding to nature-related assessments and higher compliance costs Potential loss of business opportunities and competitiveness if failing to participate in global initiatives	Continuous monitoring of global environmental regulations Enhanced ESG disclosures

Prepare

Biodiversity Campaign

In June 2025, HLB conducted an employee volunteer program at the Chungnam Wildlife Rescue Center as part of its efforts to conserve biodiversity and improve the local environment. The program was designed to support the center's mission of rescuing, rehabilitating, and returning injured and distressed wildlife to their natural habitats while raising awareness of wildlife conservation. Employees participated in cleaning and maintaining both indoor and outdoor facilities, helping create a safer and healthier environment for wildlife recovery.

Through this initiative, employees gained a deeper understanding of the connection between biodiversity conservation and sustainable communities. HLB remains committed to expanding collaborative environmental initiatives with local organizations, fostering a culture of employee volunteerism, and contributing to the protection of biodiversity and healthy ecosystems.



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Work-Family Balance / Response to Population Crisis 69

Employee Benefits Program 73

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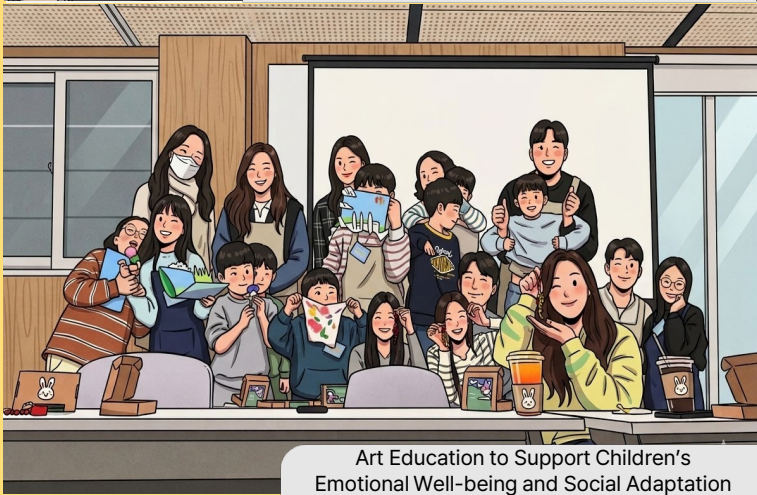
Supply Chain 79

Quality Management 80

ESG Ambassador Volunteer for Abandoned Dogs

2026 UNGC Ring the Bell for Gender Equality

Children's Home Donation for Family Month



Art Education to Support Children's Emotional Well-being and Social Adaptation

Safety and Health Management

Safety and Health Management System

HLB places occupational health and safety at the core of its business, implementing a systematic management framework to protect the health, safety, and well-being of its employees. The Company continuously strengthens its health and safety management system and delivers regular safety training to prevent workplace incidents. HLB also maintains a robust emergency response system based on its Serious Accident Response Manual, enabling timely and effective responses to potential emergencies.

Safety and Health Objectives

1	Build a voluntary safety culture where employees comply with basic safety rules.
2	Establish accident response plans and conduct regular preventive management and drills.
3	Develop mid-to-long-term safety and health activity plans.
4	Regularly monitor and evaluate safety and health systems and performance.
5	Make safety and health objectives a top priority for both company and employees.

Safety and Health Management Principles

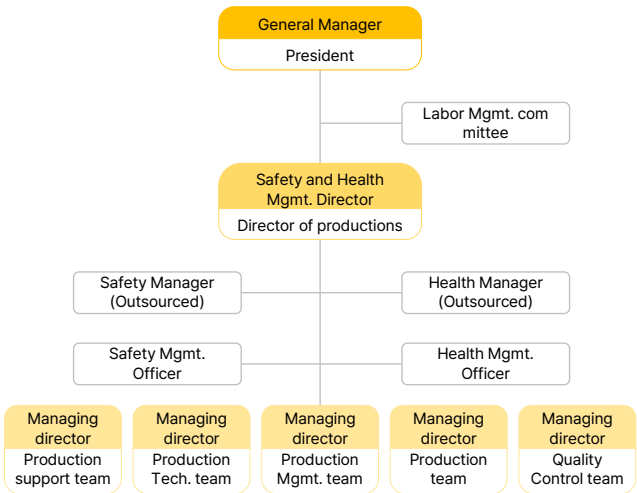
1	Treat safety and health as the highest management priority.
2	Strictly comply with safety and health laws and internal regulations.
3	Foster safety awareness and practical skills through training.
4	Managers are responsible for the safety and health performance of their departments.
5	All employees must participate in safety and health activities.
6	Regularly inspect and improve compliance with all standards.
7	Maintain an integrated safety management system with partner companies.
8	Encourage employees to raise safety issues and ensure consultation channels are available.

EHS Management System

HLB has established an EHS (Environment, Health & Safety) management system with the goal of building accident-free workplaces grounded in respect for human life.
We regard EHS management as a core corporate value and strive to foster a safe work environment, manage safety and health for employees and partner company staff and embed environmental management into operations

Safety and Health Governance

HLB is committed to enhancing safety and health management c apabilities across its entire value chain — including headquarters , business sites, and partner companies — and to increasing aw areness of a strong safety culture. We carry out safety accident prevention activities based on site-specific risk assessments.



Occupational Safety & Health Committee

HLB's Occupational Safety and Health Committee reviews improvement measures and monitors their implementation. Of 18 managed items, 12 have been completed and six are in progress, resulting in a 66.6% completion rate. Key actions address gas cylinder safety, forklift and pedestrian risks, machinery entanglement, and certified protective equipment, while an employee recognition program encourages voluntary participation.

Safety and Health System (ISO 45001)

HLB has obtained ISO 45001 certification, building a global-standard safety and health manage ment system to proactively prevent potential accidents.
Site inspections, compliance checks, and corrective measures ensure compliance with laws and strengthen weaknesses in existing systems.

Safety and Health Risk Management

HLB operates a systematic occupational safety and health risk m anagement process in accordance with ISO 45001 standards. Potential hazards in all work activities are identified, and regular risk assessments are conducted to register and manage significant risks. Based on the assessment results, improvement plans are established and implemented, with all departments collaborating to transparently document the entire process. Through these efforts, HLB strives to comply with the require ments of the Commercial Act, the Serious Accidents Punishment Act, and ISO certifications, while creating a safe working environ ment for all employees.

Safety and Health Grievance Handling Procedure

Safety & Health Grievance Handling (2025)

Category	Cases Received	Cases Handled	Resolution Rate
Safety	2	2	100%
Health	0	0	-
Total	2	2	100%

Reporting Channel

Risk Management Process

Stage	Details	Action
Collection of Evaluation Standards	◈ Assessment of risk and safety management levels ◈ Evaluation of safety and health management personnel	◈ Collection of evaluation standards ◈ Training for responsible persons
Risk Assessment	◈ Identification of potential hazards and risk factors ◈ Evaluation of likelihood and severity (5-step indicators)	◈ Regular and ad-hoc inspections and evaluations
Registration of Significant Risks	◈ Registration of significant risks by equipment, work environment, and working methods	◈ Selection of significant risk list ◈ Risk assessment on significant risks
Utilization of Evaluation Results	◈ Use of results for safety training and educational materials ◈ Setting safety targets and continuous improvement	◈ Reporting results to the Occupational Safety and Health Committee

Safety & Health Strategy

Step 1: Establish Preventive Systems

- Build safety and health Mgmt. system
- Conduct risk assessments
- Provide regular & ad-hoc safety and health training
- Create a Serious Accident emergency manual

Step 2: Targeted Support for High-Risk Areas

- Identify high-risk areas and implement focused controls
- Offer external expert-led safety Mgmt. training
- Conduct quantitative and qualitative safety assessments
- Provide tailored support for vulnerable workers

Step 3: Spread Safety Awareness and Culture

- Introduce tailored safety training programs
- Expand safety and health promotion campaigns
- Recognize outstanding cases and provide awards
- Offer safety and health consulting and technical support to affiliates

Serious Accident Management

HLB operates a Serious Accident Response Manual and continuously identifies and addresses workplace risks to prevent major incidents and create a safe working environment. In 2025, the Company provided 3,246 cumulative hours of occupational health and safety training and resolved all seven risks identified through its reporting channel.

Total Hours Trained	Improved Actions Taken
3,246	7 cases
# of Legal Violations	**# of Fire Safety Trainings**
0 cases	3 times

Mandatory Safety & Health Training

Category	Training Topic	# of Participants	Time
Legal	Prevention of Workplace Sexual Harassment (1h)	89	89
	Personal Information Protection (1h)	89	89
	Disability Awareness Training (1h)	89	89
	Prevention of Workplace Harassment (1h)	89	89
	Retirement Pension (1h)	89	89
Disaster Safety	Serious Accidents Punishment Act (2h)	107	214
	Understanding Risk Assessment Concepts and Methods (2h)	109	218
	Spring Safety Accident Prevention (2h)	109	218
	Workplace Organization & Pre-work Safety Inspection (2h)	109	218
	Understanding MSDS (Material Safety Data Sheets) (2h)	109	218
	Electrical Shock Prevention (2h)	108	216
	Three Key Rules for Heat Illness Prevention (2h)	99	198
	Employee Health Promotion Activities (2h)	99	198
	Collision Accident Prevention (2h)	101	202
	Personal Protective Equipment (PPE): Understanding & Management (2h)	93	186
	Winter Safety & Fire Prevention (2h)	92	184
	Three Essential Safety Rules & Three Major Accident Prevention Measures	90	180
Fire Safety	Emergency Response in Case of Fire (1h)	117	117
	Fire Extinguisher Hands-on Training (1h)	117	117
	Fire Evacuation Procedures (1h)	117	117
	Total		3,246

Fire Safety & Emergency Training

HLB conducts regular fire and emergency safety trainings and has installed automated external defibrillators (AEDs) at its workplaces to strengthen emergency preparedness. The Company will continue advancing prevention-focused safety management and complying with applicable health and safety regulations.

Employee Vaccination Support

HLB provides financial support for seasonal influenza vaccinations for approximately two weeks each October, when flu season begins. As part of the Company's employee wellness program, the initiative has consistently achieved a high vaccination rate each year and contributes to maintaining a healthy and comfortable working environment.

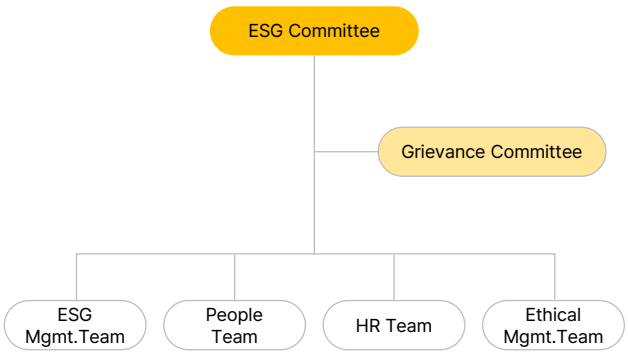
Workplace Hazard Identification & Corrective Actions

No.	Hazard Identified	Action Taken
1	Accident risk from mobile phone use	Installed anti-slip and accident warning signs
2	Accident risk due to cleaning machine safety cover	Installed OPEN sensor on safety cover
3	Fire risk in ethanol production area	Installed explosion-proof CCTV
4	Fall hazard from utility equipment ladders	Installed ladder guardrails and safety chains
5	Replacement of safety-certified PPE	Replaced all PPE with certified products
6	Fall hazard on stairs near waste storage boxes	Installed intermediate handrails and anti-slip plates
7	Trip hazard from damaged floor duct in production area	Replaced floor duct in production area

Human Rights Management

Human Rights Management System

HLB's ESG management focuses on collaboration and communication among internal members and stakeholders to proactively identify and prevent human rights risks that may arise from misunderstandings or conflicts. The company has established an organizational structure for human rights management to regularly monitor human rights issues through interdepartmental linkages. In addition, a grievance committee system is in place so that if an issue arises, it can immediately be addressed.



Key Indicators

Human rights training completion rate[1]	Female employee ratio
92% → 95%	60% → 61%
Special Employment Ratio[2]	**Female director ratio**
2% → 4%	30% → 42%

1) Prevention of sexual harassment, disability/sensitivity training, internal human rights training for executives/employees
2) Female managers / total managers

Human Rights Management Strategic Framework

Systematization

- Establish and operate company-wide grievance handling and reporting procedures
- Operate human rights management processes and training

Advancement

- Implement regular human rights impact assessments
- Identify human rights risks and track improvement tasks

Sophistication

- Manage human rights risks at the supplier level
- Operate preemptive risk management programs

External Engagements and Certifications

Family-friendly Certified Company

HLB has obtained the "Excellent Family-Friendly Company" certification from the Ministry of Gender Equality and Family as of 2022. To support work–life balance, HLB offers medical expense support for employees, shortened working hours for parents of young children, paid family care leave, applies extended paid parental leave, and expands secondary employment review for stability.
The company will continue to expand systems that promote stable employment and support for employees and their families.

Women's Empowerment Principles Declaration

WOMEN'S EMPOWERMENT PRINCIPLES

Since 2022, HLB's CEO has officially declared support for the UN Women's Empowerment Principles (WEPs). In addition to joining domestic and global organizations like GEK, TGE, and BHR, HLB is striving to create a corporate culture in which all employees can be "good colleagues."

UNGC Corporate Human Rights Accelerator

HLB participates in the global "Human Rights Accelerator" program, which supports companies in evaluating and resolving human rights issues in line with international standards.
Since 2024, pilot "Alumni" programs have been in place, sharing real-world operational experience and results—such as the introduction of grievance handling programs and related improvement systems—across the organization.

Human Rights Policy

HLB has established ten key human rights policies based on international human rights standards, including the UN Guiding Principles on Business and Human Rights (UNGPs), the Universal Declaration of Human Rights, and the conventions of the International Labor Organization (ILO). The company strives to prevent potential human rights violations in advance across its diverse stakeholders, include ing employees and business partners. In the event of a human rights issue, HLB takes proactive remediation measures and implements human rights improvement activities to ensure that secondary harm is avoided and similar incidents are thoroughly prevented in the future.

1

Section 1. No forced labor

We strictly prohibit any form of forced labor when hiring executives and employees. All work must be voluntary, and executives and employ ees have the freedom to resign at any point without facing any penalties, if reasonable notice is given according to the contract.

2

Section 2. No child labor

Employment of children under 15 years of age is strictly prohibited. When legally hiring young workers under the age of 18, we guarantee training opportunities for young employees and provide separate consideration for safety. Young employees are not assigned tasks that threaten their health or safety, which includes refraining from night shifts or overtime work.

3

Section 3. No discrimination

In our recruitment, promotion, wage and compensation policies, as well as in welfare benefits, etc. we strictly reject any form of discrimination based on factors such as gender, race, age, sexual orientation, gender identity, national origin or ethnicity, disability status, marital status, pregnancy status, religion, political orientation, union membership, and beyond. Unfair discrimination is strictly prohibited. Furthermore, we strive to build an organizational culture that values and embraces diversity, equity, and inclusion among all employees.

4

Section 4. No harassment, sexual harassment or sexual violence in the workplace

All acts of harassment, including sexual harassment, sexual violence, mental/physical coercion, bullying, public shaming, and verbal abuse, are strictly prohibited in the workplace. In particular, we actively strive to prevent sexual harassment and sexual violence in the workplace that exploit power dynamics or relationships. Should any employee experience such workplace misconduct, they are encouraged to report it through an anonymous grievance channel. An impartial investigation will promptly follow any report, and measures will be implemented to ensure the protection of the victim. Confidentiality of reporters is guaranteed, and any form of unfair treatment is strictly prohibited.

5

Section 5. Guarantee freedom of association and collective bargaining

We fully respect the rights granted by labor laws concerning employees' freedom of association and collective bargaining. We respect the freedom of our executives and employees to form and join labor unions, with a strict prohibition against unfair treatment or discrimination based on union affiliation. In addition, we guarantee the right to collective bargaining through employee representatives and pledge not to reject collective bargaining without valid reasons. We respect and faithfully implement the results of collective bargaining reached through m utual agreement.

6

Section 6. Guaranteed wages and benefits

We comply with all salary-related laws, including laws related to minimum wage, overtime pay, and statutory allowances. In addition, we actively implement necessary measures, such as support for competency development, to enhance the welfare of our executives and employees.

7

Section 7. Working time management

We carefully monitor our employees' working hours to ensure compliance with the Labor Act's maximum limits. Employees are limited to 52 hours per week, with any overtime being voluntary. We are committed to taking proactive steps to (We are committed to taking proactive steps to) manage and oversee working hours better.

8

Section 8. Ensuring a safe industrial and working environment

We provide a safe and hygienic working environment for our employees. This includes regular inspections and maintenance of our facilities and equipment. Employees in hazardous environments receive specialized safety gear and training. Additionally, we ensure that vulnerable workers, such as pregnant women and individuals with disabilities, receive the support and accommodations they need. We also pledge to promptly offer appropriate compensation and other measures in the event of occupational illnesses or workplace accidents.

9

Section 9. Responsible Supply Chain Management

To ensure our business partners uphold human rights standards, we have implemented a and require their compliance. We are developing and enforcing operating standards and agreements for our partners. We continuously monitor and support their human rights practices, and if significant violations occur, we will take necessary actions, such as requesting corrections. Additionally, we are committed to actively respecting and protecting the intellectual property rights of our business partners.

10

Section 10. Protection of Personal Information

We collect and store only the minimum necessary personal information from our users and strictly adhere to the obligation of notifying them i n advance about the storage of their information. Customers have the freedom to manage, modify, and delete their personal information as t hey wish. We have established a security system to prevent personal information leaks. Additionally, we are committed to advancing human r ights management through regular policy reviews and risk assessments. We will continue to uphold our corporate social responsibilities, adhere to human rights standards for all stakeholders, and implement human rights management.

Human Rights Impact Assessment

HLB conducted a human rights impact assessment in 2026 in accordance with the UN Guiding Principles on Business and Human Rights (UNGPs). The assessment identified actual and potential human rights risks that may arise throughout the Company's operations and value chain, while evaluating their severity and likelihood. Based on the results, HLB established improvement measures and response plans to strengthen its human rights management system.

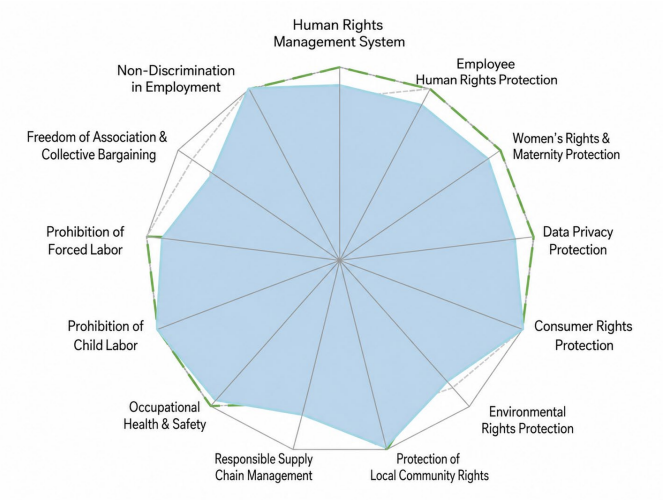
Process

Stage	Description
Planning	Collect internal and external environmental data; prepare checklists
Stakeholder Input	Interviews with stakeholders, human rights status surveys
Assessment	Conduct self-assessment surveys
Materiality Analysis	In-depth evaluation, issue prioritization analysis
Corrective actions & Monitoring	Take improvement measures, monitor and conduct education

Results

HLB scored 91.7 in its 2026 Human Rights Impact Assessment, up 1.7 points year-on-year, maintaining Grade 1. Freedom of Association and Collective Bargaining remained Grade 3 but improved by nearly 60 points. HLB will strengthen employee awareness of relevant policies and reduce gaps between institutional frameworks and employee experience.

No.	Assessment Item	Score
1	Establishment of human rights management system	90.4
2	Non-discrimination in employment	100.0
3	Guarantee of assembly and association rights	78.8
4	Prohibition of forced labor	91.6
5	Prohibition of child labor	100
6	Industrial safety	95.7
7	Responsible supply chain management	81.4
8	Protection of personal information	98.5
9	Environmental conservation	82.9
10	Consumer rights protection	100.0
11	Protection of digital rights	90.1
12	Women's rights / Maternity protection	91.9
13	Employee rights	90.2
	Total	**91.7**



Potential Human Rights Risks & Actions

Potential Risks	Improvement Measures
Freedom of Association and Collective Bargaining	Strengthen labor-management communication and promote collective bargaining
Responsible Supply Chain Management	Expand human rights due diligence and ESG assessments for suppliers
Environmental Rights	Minimize environmental impacts and strengthen eco-friendly management
Protection of Personal Information	Enhance the personal data protection system and improve information security
Employee Human Rights	Conduct regular human rights education and operate an employee grievance handling system
Human Rights Governance	Advance the human rights governance framework
Prohibition of Forced Labor	Strengthen inspections and monitoring to prevent forced labor
Prevention of Discrimination Against Women	Strengthen maternity protection and foster a family-friendly workplace

Human Rights Violation Remedy Procedures

Grievance Committee

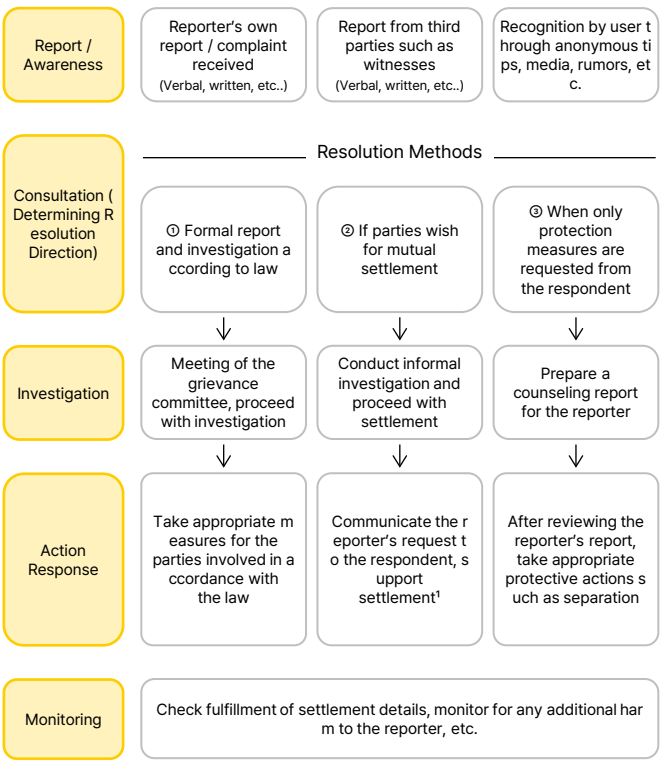
HLB operates a Grievance Committee for fair and prompt resolution of human rights violations or workplace grievances o ccurring to employees and other stakeholders.
The Grievance Committee investigates, reviews, and deliberates on various grievances and complaints raised by stakeholders in accordance with an established process.
Anyone can report a case via mobile or PC at any time. Once submitted, the Committee conducts an investigation and, when necessary, enlists external experts. The Committee is co mposed of at least three members, including at least one exter nal expert and, where possible, at least one female member.
Results are reported to HR for corrective actions, and confident iality is guaranteed throughout. A multi-layered internal reportin g and protection scheme ensures any employee can safely acc ess the system.

Ethical Management Committee

The Ethical Management Committee ensures transparent management activities within the organization through ethical management, while also serving as an audit body that prevents and detects misconduct or unethical behavior. To ensure trans parency, the Chair of the Committee is appointed from external auditors, and the Committee includes two executive directors to enable prompt corrective action and the establishment of preventive measures. The main role of the Committee is to review and improve violations within the organization based on the Code of Ethics, as well as to deliberate and approve the audit reports conducted by the Ethical Management Team on a semi-annual basis. Although HLB has established an Audit Committee composed entirely of independent directors under t he Board of Directors, it also operates the Ethical Management Committee separately to further enhance management transparency.

Reporting Process

HLB operates a structured human rights violation response process for all employ ees and stakeholders. Anyone can report incidents via online or offline channels, and the relevant department promptly initiates fact-finding. The Grievance Comm ittee deliberates and determines
necessary actions, reporting results individually to the reporter and responding victims.
After each resolution, follow-up is conducted to monitor the execution of action it ems and additional damage, with legal and psychological counseling provided if needed.



1) If settlement fails, resume counseling; if the victim wishes, proceed to formal investigation

Human Rights Violation Reporting Channels

HLB has set up multiple confidential reporting channels for employees and stakeholders.
A CPO hotline and separate channels are available for general grievances, human rights management, and sexual harassment/ violence counseling. All reports are handled strictly confidentially to protect the reporter and victim.

Category	Contact
Ethical Management	compliance@hlbbio.co.kr
Organizational Culture	hlb112@hlb-group.com

Talent Development

Talent Cultivation Program

HLB implements a systematic talent development strategy based on its job-grade training system. To foster future-ready talent capable of leading in a global business environment and pioneering innovative technologies through research, HLB analyzes necessary talent trends by sector, establishes tailored talent strategies, and provides a variety of education programs for individual growth and competitive advantage enhancement.

Vision

- Train future-oriented talents with a challenging spirit, creativity, and communication skills

Talent

- A person who is considerate of others, is not afraid of failure, and constantly practices learning

Strategy

- Improve leadership
- Establish Human Resources Development System Based on Job Competency
- Establish Ethical Management Education System

Key Focus Areas

Leadership enhancement

- Training to strengthen leadership by class (new employees, middle management, executives)
- Workshop training by position and job for consideration and communication

Establishment of Human Resources Development System Based on Job Competency

- Providing counseling and job change opportunities through mentoring system
- Enable in-house collaboration culture using TFTs

Establishment of Ethical Management Education System

- Ethical management and compliance with anti-corruption and exemplary standards
- education on the prevention of sexual harassment and workplace harassment
- In-house etiquette and etiquette training

Job Grade Training System

Category	Leadership Development	Job Specialization	Common Competency	Core Talent Development
Executives	• Executive induction workshop • Executive workshop • CEO / senior executive case sharing	• Strategic/management-related external conferences and training	• Group vision sharing & executive seminars	• CEO preliminary program
Team Leaders	• Team leader leadership training • Feedback/coaching education • Case workshops (financial/legal seminars, case studies, etc..)	• Training for team management roles (performance management, meeting facilitation, etc..)	• Communication & leadership • Reporting and meeting culture improvement	• Preliminary induction program
General Manager Deputy Manager Manager Assistant Manager Staff	• Workshop by position (organizational culture perspective) • Reflection training	• Job-based training (e-learning/on-site) • Job expert track	• Organizational culture workshops	• High potential talent development • Job & leadership development programs
New Employee	• Onboarding training (leadership)	• Onboarding training (organizational adaptation)		

HLB's Ideal Employee Profile

Person who is not afraid of failure and pioneers new territories

HLB Group supports its members for their uninterrupted growth. The reason why a small local company that used to make lifeboats became the HLB Group of today is that it constantly challenged new fields. Starting from the shipbuilding industry to cosmetics, beverages, leisure, travel, investment, and bio, we have been challenging many fields, and our challenges will continue in the future.

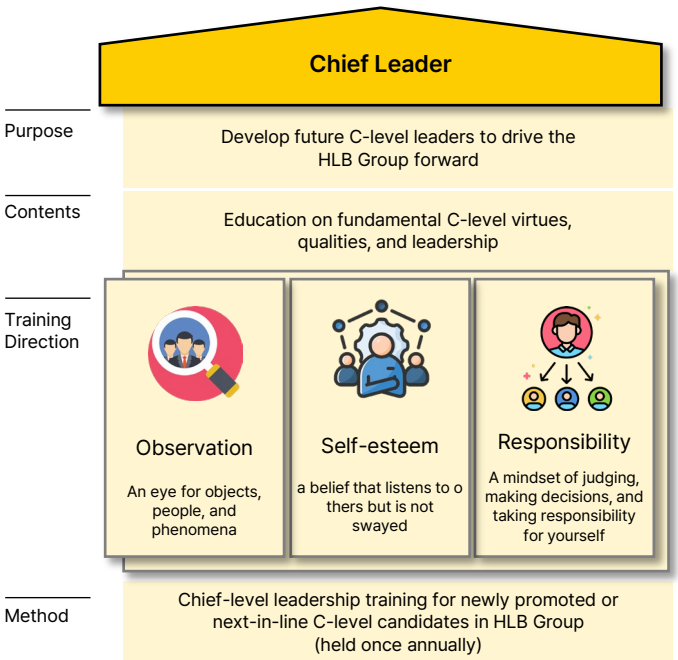
Person who grows on his own with constant learning and passion

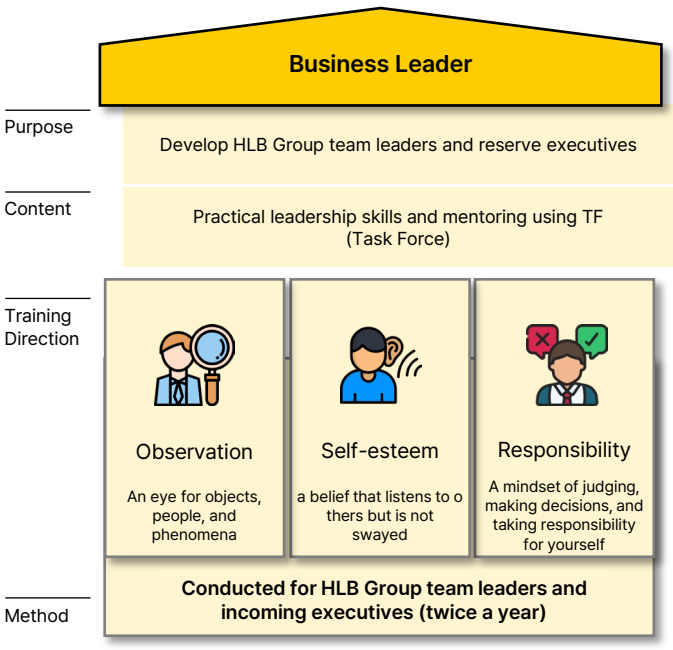
HLB Group believes that the company can grow through the growth of its members. And the company aims for a virtuous cycle structure in which its members grow again as much as the y have grown. In order for its members to learn and grow on their own, the company is ready to provide opportunities and support them. Please grow with your colleagues in HLB Group and feel a sense of accomplishment that your competence is a quantum jump beyond the tipping point of growth.

Person who creates synergy through communication and collaboration

One of the keywords that HLB Group emphasizes is 'people'. The most important thing in relationships with people will be 'communication'. Communication is not only conducted face-to-face, but also through online and offline systems such as docum ent reporting and e-mail. Collaboration must be achieved through communication, and synergy can be achieved through c ollaboration. HLB Group members aim for a talent image that communicates with colleagues through 'approaching first' and cr eates synergy through collaboration.

Fostering Next Generation Leaders





Job Creation

Social Responsibility

HLB believes that sustainable business growth should be achieved alongside the development of local communities and recognizes the creation of quality jobs and a stable employment environment as an important social responsibility. In 2025, the Company hired 37 new employees, all on permanent contracts, reinforcing its commitment to stable employment while fostering workforce diversity across multiple age groups. HLB is committed to maintaining fair and transparent recruitment practices, providing equal opportunities for growth, and promoting an inclusive workplace that respects diverse backgrounds. Looking ahead, the Company aims to increase the proportion of female managers at its domestic operations to at least 45% by 2026 while continuing to strengthen sustainable employment and balanced talent development.

Job Creation Key Indicators (Ratio)

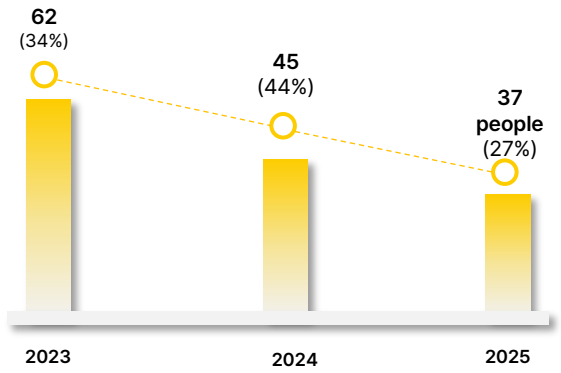
Female New Hire	Local Talent New Hire
46%	68%

Contract New Hire[1]	Senior New Hire[2]
0%	14%

1) New non-regular hires in 2025
2)New hires aged 50 and over

HLB hired a total of 144 new employees over the past three years, contributing to quality job creation and stronger local employment. Through fair and transparent recruitment practices, the Company selects diverse talent regardless of gender, age, or region. In 2025, all 37 new hires were employed on permanent contracts, reinforcing a stable employment structure. HLB also prioritizes talent from the Sejong region and provides equal opportunities across age groups to support shared growth with local communities and strengthen workforce diversity.

Job Creation Performance (# of new employees)



**Parentheses indicate the ratio of new hires to all employees

Category		Unit	2023	2024	2025
Gender	Male	# of ppl	20	23	20
	Female		42	22	17
Age	20's		12	10	6
	30's		33	19	10
	40's		9	8	16
	50+		8	8	5
Region	Seoul		22	17	12
	Sejong		40	28	25
Type	Full-time		61	45	37
	Contract		1	0	0
	Total New Hires		**62**	**45**	**37**

Diversity Indicators & Rewards

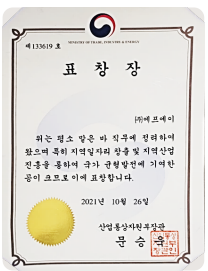


표 창 장

In 2021, HLB received a commendation from the Ministry of Trade, Industry and Energy for its contributions to job creation in Sejong and regional industrial development. The Company continues to prioritize local talent while promoting workforce diversity through the recruitment of women and international employees.

Category		Unit	2023	2024	2025
Diversity	Female Employees	# of ppl	63	60	92
	Female Managers		27	30	26
	Female Directors		2	2	3
	Foreigners		6	3	2

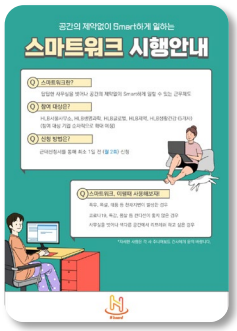
Organizational Culture

H Board (Junior Board)

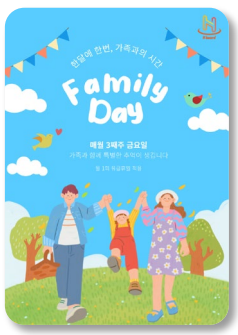
HLB Group established H-Board, its junior board, in 2022 to listen to junior employees' concerns and provide opportunities to participate directly and indirectly in management. Composed of talented employees from entry-level to manager positions across Group companies, H-Board promotes a brighter and more creative workplace by introducing leading practices in work environment improvement, internal communication, talent attraction and retention, and employee welfare.

H-Board is HLB Group's junior board, composed of young leaders with an average age of 33 who will help shape the Group's future. Mid-level managers from various affiliates share the Group's core values and propose bottom-up improvements to employee welfare, playing a central role in advancing HLB's corporate culture.

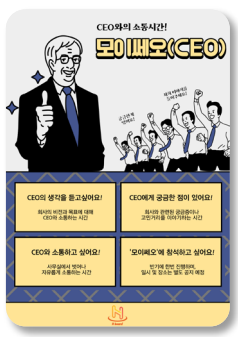
Remote Work System



Work-Family Balance Programs



Innovative Corporate Culture



H-Board Members

J. Kim | HLB

K. Song | HLB Group

D. Lim | HLB Group

J.Choi | HLB

S. Huh | HLB LS

M. Park | HLB

J. Jeong | HLB LS R&D

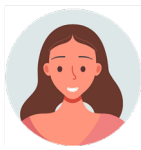
M.Park | HLB Pharm

S. Paik | HLB Therapeutics

S. Woo | HLB Global

K. Lee | HLB Investment

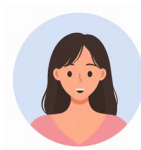
M. Choi | HLB Lifecare



S. Ha | Freshico

K. Kim | HLB Innovation

M. Park | HLB Biostep



H. Kim | HLB Phanagene

Company Club Activities

HLB places no restrictions on establishing employee clubs, allowing employees to freely create and operate groups based on shared interests. Since their launch in 2024, the number of clubs has grown to 10 within a year, covering sports such as trekking, road cycling, golf, and skiing, as well as book discussions, biotechnology research groups, one-day classes, movies, and DIY activities. By supporting open interaction and personal growth, HLB strengthens trust among employees and fosters a more horizontal and vibrant workplace culture.

Trekking Club

#Trekking #FreshAirTogether #WalkStepByStep

Pedalogue

#RoadCycling #ExploringBikeTrails #TrainingTogether

Readers

#BookDiscussion #TogetherWithColleagues #1Book1Challenge

Mijeong (美情)

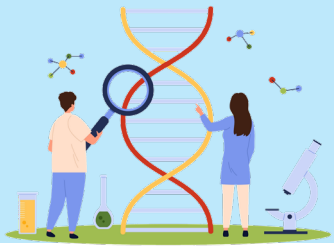
#OnedayClass #TheJoyofLearning #TheHappinessofMaking

Movie Nights

#MovieViewing #HealingTime #SharedFun

HBS

#BioResearch #UnderstandingBiotech #IndustryTrends



Dumpling

#DIY #TheJoyofMaking

Jexkis

#WinterSkiing #WaterSkiing #Snowboarding

Golfers

#Golf #FunGolfRounds #HappyWorkplace

Key Activities (1-2Q)

Kimchi Making Volunteer Program

HLB fosters a culture where employees practice the values of sharing and mutual growth while contributing to local communities. In partnership with the Gangnam Volunteer Center, employees participated in a community kimchi-making volunteer program. Together with approximately 200 volunteers, they prepared and delivered homemade kimchi to around 1,000 households of seniors living alone and people with disabilities in Gangnam-gu.

New Year Yut Nori Event

As the first event held after moving into the new headquarters, HLB hosted a traditional New Year Yut Nori game, bringing together everyone from the CEO to employees. The event strengthened connections across generations and fostered a sense of unity throughout the organization.

FIFA World Cup Viewing

HLB organized a group viewing of the FIFA World Cup, providing employees with an opportunity to cheer together and connect naturally. Sharing the excitement of the event strengthened teamwork, camaraderie, and employees' sense of belonging.

Anyangcheon Cherry Blossom Marathon

Employees from various departments participated in the Anyangcheon Cherry Blossom Marathon, embracing personal challenges while encouraging one another. Working toward a shared goal strengthened teamwork, organizational pride, and employee engagement.

Lotte World Cultural Event

HLB provides annual cultural outings, such as visits to Lotte World, to enhance employees' work-life balance and strengthen communication. These events offer opportunities for employees to relax, build stronger relationships with colleagues, and foster a positive and collaborative organizational culture.

Work-Family Balance / Response to Population Crisis

Work-Family Balance Programs

HLB actively operates a variety of systems and workplace cultures to help employees harmonize work and family, promoting healthy growth and wellbeing. Beyond supporting leave, childbirth, childcare, and life stages, HLB regularly introduces family-friendly and innovative work arrangements such as flexible work hours, remote work, and family care leave. This pursuit of organizational sustainability and individual wellbeing is reflected in programs that are continuously updated to meet employee needs. As a result, HLB has received recognition from external organizations for excellence in family-friendly culture and sustainability.

Main Programs

Category	Content	Features
Flexible Work Hours	Choice of start/end times, flexible working hours, etc..	100% application to office staff
Smart Work	Unrestricted remote work in a flexible form	Max. 2 times/month, up to 24 times/year (Survey: 89.5% satisfaction)
Family Day	Paid leave for work-life balance and family care	Implemented every 3rd Friday of each month
Workcation	Workation Program Supporting Employee Work-Life Balance and Rejuvenation	Workation Program in Jinan, Jeollabuk-do
Parental Leave Policy	Paid spousal leave, reduced hours during pregnancy, infertility leave, breastfeeding room, female rest area, etc..	Expansion being considered after 2026
H-Board	Seniority-based fringe benefits and workplace culture innovation	Operated by CEO-led structure since 2022
A new team dinner· conference culture	2-hour business meal limit, culture-shifting meetings, 30-min meetings, paperless meetings, etc..	Corporate culture centered on efficiency (Survey: 83% satisfaction)

Workcation

HLB operates a workation program that allows employees to work from anywhere in Korea or abroad for up to four days and three nights per month. By enabling employees to combine work and rest in settings ranging from mountains and coastal areas to rural communities and cities, the program supports work-life and family balance. It also strengthens a flexible culture based on autonomy and trust while helping attract key talent and foster a creative, family-friendly working environment.

Smart Work

HLB operates a Smart Work program to promote work-life balance and a flexible workplace culture. This autonomous remote-work system allows employees to work regardless of location up to twice a month, or 24 times per year. With high participation and positive feedback, it has become one of HLB's key flexible work arrangements, contributing to greater productivity and employee satisfaction. HLB will continue supporting diverse work styles so employees can perform at their best.

***Team Manager

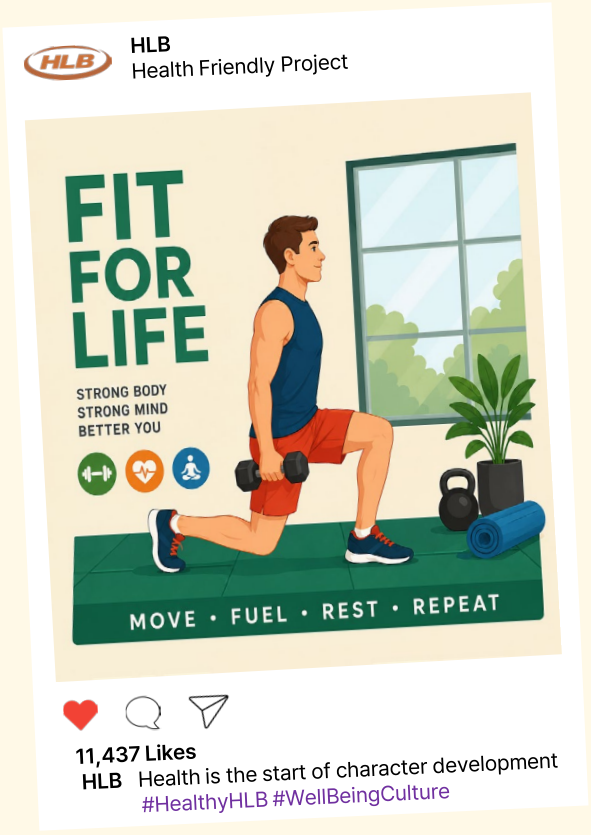
"Since using Smart Work, my way of working has become much more flexible. I can focus better while securing more personal time, which has greatly improved my overall work experience. Smart Work is the best!"

Family Day

HLB designates the third Friday of each month as Family Day to promote employee work-life balance. Employees receive paid leave and may use the day flexibly based on their individual needs, whether to spend time with family or take sufficient rest. Since its introduction, Family Day has received strong employee support and become an established benefit, contributing to improved quality of life and a family-friendly workplace culture. HLB continues to enhance its employee benefits by reflecting feedback gathered through regular satisfaction surveys.

***Team Associate Manager

"Family Day gives me more time to spend with my family and an additional opportunity each month to rest and recharge. I believe it has also improved employees' overall well-being and engagement at work."



Health Friendly Project

HLB operates a range of programs to help employees develop healthier lifestyles. The 365+ Walking Challenge encourages daily physical activity and offers rewards for achieving quarterly fitness goals, fostering a positive culture of healthy competition. HLB also supports participation in sporting events through the Move Together program and provides financial assistance for smoking cessation clinics through the Commit to Quit program. In addition, the Level Up Challenge recognizes employees who improve their health screening results, encouraging the continued management of health risks and strengthening a health-friendly workplace culture.

***Team Leader

"Participating in the Health Promotion Project has helped me develop a habit of walking and exercising more regularly. Working toward shared goals with my colleagues is enjoyable and keeps me motivated to take better care of my health."

Flexible Work Arrangements

HLB fosters a flexible and innovative corporate culture to support employee growth and the organization's sustainable development. Through its flexible work arrangements, employees can select working hours that suit their responsibilities and personal routines. HLB also operates a Junior Board to ensure that younger employees' perspectives are reflected in workplace policies and culture. In addition, the company continues to expand employee benefits tailored to different life stages, creating a more supportive and rewarding workplace.

***Team Senior Manager

"Flexible working hours have reduced the burden of commuting and made it much easier to balance work and personal life. I also appreciate the company's efforts to listen to and reflect employees' opinions."

Women Empowerment Program (HET)

HLB operates the HET program to strengthen women's leadership capabilities and expand career development opportunities. The program features interactive talks where female leaders share their experiences and insights. The inaugural session invited HLB Group's first female CEO to discuss her management experience and leadership expertise. HLB will continue supporting the growth of female talent and fostering an inclusive workplace culture.

***Team Analyst

"I used to feel uncertain about my career, but since joining EmpowHERment Talk, I have found greater enjoyment and energy in my work. Connecting with other women has helped me discover my strengths, and I look forward to future sessions."

Workcation

HLB operates a workation program to promote work-life balance and a flexible workplace culture. Employees can work and recharge in a natural setting in Jinan, Jeollabuk-do. Equipped with accommodation, workspaces, and meeting facilities, the program ensures business continuity while providing opportunities for rest and renewal. Through this initiative, HLB supports employee engagement, satisfaction, and a healthier workplace culture.

***Team Staff

"The workation program allows me to balance work and rest in nature while recharging. Working in a new environment helps me focus better and contributes to greater satisfaction and engagement."

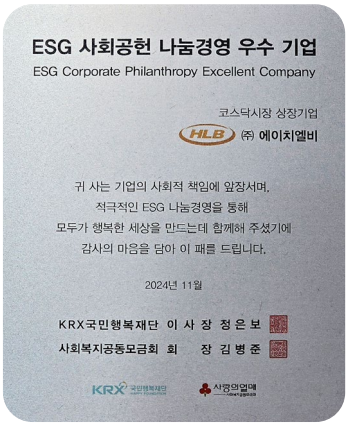
Employee Benefits Program

Category	Benefits	Detail
Financial Wellbeing	Student support for children	Full tuition for middle and high school children and up to 50% tuition for university (community college) children
	3·5·7 System	Reward mid- and long-term employees: 3 years (300,000 KRW), 5 years (500,000 KRW), and 7 years (700,000 KRW)
	Residential support for dispatched employees	Support settlement housing costs for dispatched employees (2 years)
Time & Refresh	Welfare points	360,000 won worth employee's welfare mall points per year
	Birthday gift card	30,000 won worth of mobile gift card
	Flexible work system	Employees choose their working hours freely to increase work productivity
	Half-Day Leave in Hourly Units	Support for reducing the burden of annual leave usage by allowing employees to take leave in two-hour increments.
	Casual day	Dress-down day every Friday
	Cultural get-together	Support cultural get-togethers once a quarter to promote fellowship among members (cultural performances, exhibitions, movies, sports, etc..)
	Refresh leave	At least 3 days of Rest-and-Recuperation (R&R) for employees who have worked 10 years or more
	Recreational facilities	Six premium resorts (Sono, Hanhwa, Kensington, Hoban Resom, Oak Valley, Lotte)
Workplace	Smart work	Support a work environment where employees can work creatively outside of the office
	Shared Office	Support for a work environment that enables creative working without spatial constraints, outside the traditional office setting
	Green office	An air purification system on the office walls to create a pleasant office environment
	Staff lounge	Separate rest areas for men and women to recover from fatigue (Seoul office)
		Parks and lounges utilizing the roof of the building (HLB Healthcare)
	Facilities for the visually impaired	Equip facilities such as spotted blocks and braille signs for the convenience of the visually impaired
Meals	Snacks & beverages	Free lounge accessible for 365 days
Growth	Education expenses	Freely purchase books necessary for work / Support education for growth
	External education	Fully support participation fee for attending seminars, conferences, forums, conferences, etc.
	Office equipment	Provide the latest-model laptop for smooth work performance
Wellness	Accident insurance	Separate accident insurance that can be compensated for areas that are not covered by the four major insurance
	Comprehensive medical checkup	Support comprehensive medical checkups for employees and direct family members (300,000 KRW/year)
	Club activities	Provide in-house club activity expenses for executives and employees with various interests
Family	Family Day	A paid holiday on the third Friday of the month
	Family events	Congratulations and condolences for important family events (e.g., marriage, childbirth, funeral, etc..) and provide congratulatory leave and aid

Social Contribution

Activities

From 2026 to 2030, HLB will expand its social contribution activities across five priority areas: NGOs and social welfare, children and youth education, healthcare, arts and culture, and disaster relief. In 2026, HLB plans to conduct at least four employee volunteer activities through its ESG Ambassadors and track key performance indicators, including the number of activities, participants, and beneficiaries. By 2028, HLB will expand partnerships with NGOs and social contribution organizations while continuing community support across the five priority areas. By 2030, the company will systematically manage social contribution expenditure, program performance, employee participation, and beneficiary numbers, and disclose annual progress through its Sustainability Report, fulfilling its responsibility as a corporate citizen that grows together with local communities.

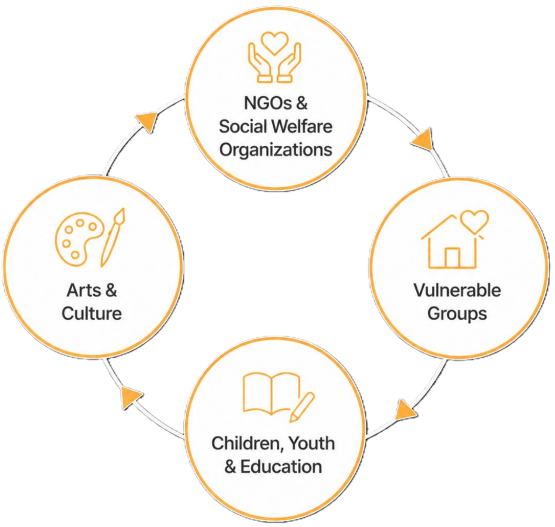


Social Contribution Strategy

Mission	**Human Life Better** Enriching Humanity Through Life-Saving Technology				
Core Values	**Practical Corporate Ethics, Mature Corporate Citizenship, Warm Capitalism**				
Key Focus Areas	**NGO & Social Welfare**	**Children, Youth & Education**	**Healthcare**	**Arts & Culture**	**Disaster Relief**
	Animal Rights Action Gangnam Volunteer Center Youngnak Borinwon G Foundation Namubyeol Small Library Sesang Ai Happy People OtCan Work and Welfare Community Chest of Korea Youth Together IBK Happy Sharing Fdn.	ChildFund Korea Good Influence Store Sangrok Child Welfare Ctr. Seondeokwon Cheongsol Night School Nowon-gu Lifelong Edu. Ctr. Seongdong-gu Day Care Ctr. Yeondong Sports Council Korea Child Center Assoc. Dongjak-gu Kium Center	Seoul Metropolitan Children's Hospital Korea Leukemia & Childhood Cancer Association Miral Welfare Foundation Sejong Chungnam National University Hospital	Sejong Seminar Association Gaenari Foundation Sejong Braille Library Sejong Cultural Foundation	Korean Red Cross Gangwon Provincial Government Fire Service Development Council

Donation Culture

In 2025, HLB donated to NGOs and social welfare organizations, vulnerable groups, children and youth education, and arts and culture, responding to the needs of neighbors and local communities. The funds supported the healthy growth of future generations, wider access to education, greater stability for vulnerable groups, and better community access to culture. HLB also pursued employee-led giving and in-kind support, delivering practical help beyond financial aid.



Social Contribution Channel

HLB operates a corporate fundraising channel through the Happybean Foundation to help ease the financial and emotional burden of underserved patients suffering from illness. Conducted together with online donors, the campaign shares patient stories and opens fundraising pages in partnership with Happybean and other domestic welfare foundations and associations. With patients, families, and healthcare professionals awaiting new treatment options and better medicines in mind, HLB will continue its efforts toward Human Life Better. The company will also expand its culture of giving in pursuit of compassionate capitalism, responsible corporate citizenship, and ethical business practices grounded in action.

Good Influence Store

Since 2023, HLB has served as a board member of Good Influence Store, a nonprofit organization supporting children experiencing food insecurity. HLB is committed to helping ensure that no child in the local community goes hungry due to gaps in the social safety net.

Support for Underprivileged Children

HLB has continued to support children from vulnerable backgrounds by donating household appliances and essential daily necessities. Through these efforts, the company seeks to improve living conditions and provide practical assistance to children and families in need.

Skill Donation / Volunteer

HLB carries out volunteer activities for local children in need by preparing healthy meals and delivering food through meal support programs. Employees also participate in educational volunteering and donation campaigns to help create a healthier and more supportive environment for children in the community.

Donation

HLB employees participated in a community mural painting volunteer program to improve neighborhood environments and create brighter, more welcoming public spaces. By working together with local residents, HLB contributes to building vibrant communities while strengthening meaningful engagement with the region.

Skills-Based Volunteering and Community Service

HLB promotes employee-led volunteer activities to build an inclusive community. In 2025, HLB supported a project part of the Seoul Youth Planning Volunteer Group, to help children with disabilities express themselves and participate in society. Employees also visited a welfare facility to deliver donated goods and engage with residents. Through writing workshops, experiential programs, and an essay publication, the project helped children share their thoughts and experiences. HLB will continue to use employees' skills and spirit of giving to create a sustainable community where no one is left behind.

① Self-Expression Through Sensory-Based Creative Activities

To encourage communication beyond language, participants expressed their emotions through sensory-based creative activities. They created personalized xylophones using a variety of materials and colors, allowing them to freely showcase their individuality. The activity helped strengthen participants' confidence and self-expression through a creative, hands-on experience.

② Building Self-Esteem Through One-on-One Dialogue

Volunteers engaged in one-on-one conversations with children, encouraging them to share their thoughts and feelings while creating a safe and supportive environment. Through attentive listening and meaningful interaction, participants were able to express themselves more confidently and strengthen their self-esteem.

③ 'Publication Ceremony for '*OnGirok*' Essay

CollectionThe program concluded with a small closing ceremony celebrating the participants' creativity, growth, and achievements throughout the project. HLB employees also presented handmade keyrings as commemorative gifts, recognizing each participant's efforts and creating a meaningful conclusion to the experience.

Clothing Donation Campaign

HLB ran an employee clothing donation campaign to practice resource circulation and spread a culture of sharing in the community. Employees voluntarily donated reusable clothing, collecting 689 items in 35 boxes, which will be delivered to vulnerable groups at home and abroad through NGOs. By linking everyday eco-friendly practice to social contribution, the campaign avoided about 620 kgCO_2 of emissions through clothing reuse. Employees experienced first-hand the need for resource circulation and the meaning of sharing, creating environmental and social value together.

Participants	Items donated
29	35 boxes
Emissions avoided	**Carbon reduction**
620kg	136 pine trees

DIY Kit Making and Feminine Product Donation

For Family Month in May, HLB visited Seondeokwon Social Welfare Foundation and donated feminine and household products to support healthy, safe daily life for local youth. Employees personally packed 290 items, including feminine hygiene products, sanitary pads, safety kits and cleansing goods. The donations will help young people access hygiene products more reliably and foster a healthy environment for growth. Support for hygiene products essential to adolescent girls eases hardship caused by financial pressure and helps protect personal health and a dignified daily life. Beyond simply delivering goods, employees joined the donation preparation process, understanding community needs and putting the value of sharing into practice

Donation Recipient List

To promote shared growth with local communities, HLB carried out donations and employee-participation activities across children and youth education, support for vulnerable groups, arts and culture, and community service. In 2025, support for chouseholdhildren facing food insecurity, ChildFund Korea sponsorship and Family Month donations of feminine and products contributed to children's healthy growth and better living conditions, alongside needs-based activities such as kimchi-making for vulnerable households in Gangnam-gu, art education at Youngnak Borinwon and abandoned-dog care volunteering. HLB also supported cultural access and local environmental improvement through sponsorship of the Daejeon Museum of Art and tile mural volunteering. Through these activities HLB spent a total of KRW 14,160,900 in social contribution funds, and will continue sharing activities in which employees and local communities take part together.

Program	Category	Amount	Organization
Yeondong-myeon Sports Council donation	Children, Youth & Education	KRW 1,000,000	Yeondong-myeon Sports Council, Sejong
Daejeon Museum of Art membership fee	Arts & Culture	KRW 300,000	Daejeon Museum of Art
Donation of Oh My Swab deep cleansing tissues, etc.	Children, Youth & Education	KRW 1,174,800	ChildFund Korea
ESG Ambassador tile mural volunteering, Dongjak-gu	Society	KRW 1,477,500	Namubyeol Small Library
Kimchi-making volunteering for vulnerable households, Gangnam-gu	Vulnerable groups	KRW 1,000,000	Gangnam-gu Volunteer Center
Support for children facing food insecurity	Children, Youth & Education	KRW 3,000,000	Korea Community Child Center Association
ESG Ambassador art education volunteering, Youngnak Borinwon	Society	KRW 1,551,300	Youngnak Borinwon
ESG Ambassador abandoned-dog care volunteering	Society	KRW 188,300	Korean Animal Welfare Association
ChildFund Korea donation	Children, Youth & Education	KRW 2,000,000	ChildFund Korea
Spring clothing donation campaign (Seoul + Sejong)	Society	KRW 350,000	OtCan
Family Month feminine and household product donation	Children, Youth & Education	KRW 2,119,000	Seondeokwon Social Welfare Foundation
	Total	**KRW 14,160,900**	

Supply Chain

Supplier Selection Process

HLB continues to receive ESG management requirements from a wide range of domestic and global stakeholders, including customers and investors. Accordingly, since 2023 we have operated a Supplier Selection Process to select new partners fairly and transparently in line with our business direction and requirements. A Competitive Evaluation assesses business competitiveness in technology, quality, cost, delivery, management and finance, while screening for partners whose practices in environment, ethics and human rights do not conflict with ESG principles and the UN SDGs.

New supplier registration / evaluation

- Procurement / management performance
- Financial information incl. credit ratings
- Human rights, environment, safety, ethics

Regular / competitiveness evaluation

- Procurement performance evaluation
- Corporate competitiveness evaluation
- Technology, price, quality, delivery
- Human rights, environment, safety, ethics

ESG assessment

- Selection of ESG assessment targets
- Online self-assessment
- Selection of on-site audit targets

Management of evaluation results

- Collection and management of results
- Improvement recommendations and monitoring

Supplier Code of Conduct

In January 2023, HLB established the HLB Group Code of Conduct with reference to the Responsible Business Alliance (RBA), encouraging all partners working with HLB to fulfill their corporate social responsibility. The Code comprises 12 clauses across five sections, covering human rights, health and safety, environment, ethics, fair trade and grievance reporting systems. HLB requires the CEO's signature on a compliance pledge from key suppliers and conducts an annual survey on supplier satisfaction, integrity and ethical management to review ESG progress.

EcoVadis

EcoVadis is a global sustainability ratings provider assessing four key areas: environment, labor, human rights, ethics and sustainable procurement. In its first assessment in 2023, HLB received the Bronze medal, awarded to companies in the top 50% of the global industry, and just one year later, in 2024, advanced significantly to the top 11% and received the Silver medal.

Code of Conduct Items

I. Human Rights & Labor

- Freely chosen employment
- Prohibition of child labor and discrimination
- Compliance with working hours
- Wages and benefits
- Humane treatment and non-discrimination
- Freedom of association

II. Ethical Management

- Business integrity
- No improper advantage
- Protection of intellectual property

III. Health & Safety

- Occupational safety
- Emergency preparedness
- Industrial hygiene and training

IV. Environmental Sustainability

- Environmental permits
- Pollution prevention and resource conservation
- Materials restrictions

V. Grievance System

- Operation of the grievance system

Quality Management

Quality Management System

HLB strictly complies with global regulations and standards, including domestic and overseas GMP certification for pharmaceuticals and medical devices and US FDA approval, and manages quality control, quality assurance and quality improvement activities to produce products with assured safety, stability and efficacy.

Cumulative training hours	Customer complaints
454hr	8

Training courses	Corrective actions
32	100%

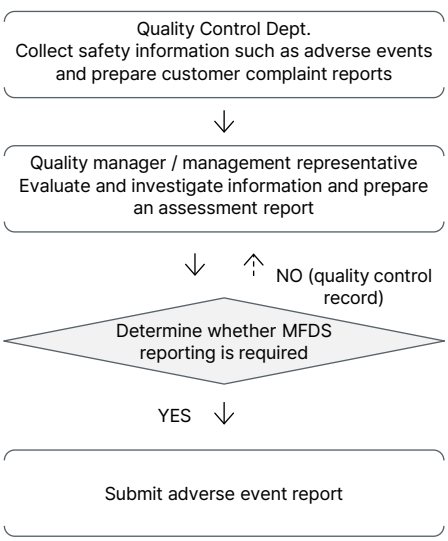
Quality Certifications

HLB has obtained quality management system certification based on ISO 13485 and ISO 22716. All processes are documented in standard operating procedures (SOPs) to maintain consistency, and the Quality Control Team monitors process yield and finished-product defect rates by item against annual quality targets.

Process Yield and Defect Rate

Category	Process yield	Finished-product defect rate
Quasi-drugs	97.85%	0%
Medical devices	98.87%	0%

Quality Management Process



Quality Training

Course	Participants	hours
Training on revised internal procedures	8	1
Refresher hygiene training for imported food sales businesses	1	3
Training on revised internal procedures	17	1
Sharing pest capture results, Jan-Mar 2025	26	1
Bioburden testing training	8	1
Medical device quality manager training	2	8
Medical device item standards - medical supplies	8	8
Cosmetics responsible distributor manager training	1	6
Cosmetics regulations and labeling requirements	8	1
Risk management training	8	1
Hygiene training for sanitary product manufacturers and importers	1	3
Internal audit procedure training	10	1
Product storage management procedure training	17	1
Recording production parameters in batch records	13	1
FDA incident reporting procedure training	8	1
2025 sanitary product policy direction and hygiene training	8	1
Sharing pest capture results, Apr-Jun 2025	26	1
Cleaning manual training for four-side sealing machines	23	1
FDA Medical Device Reporting procedure training	7	1
Mandatory refresher training for health functional food distributors	1	2
Hands-on GMP training on international quality standards for medical devices	3	8
Online training for pharmacists at manufacturers and importers	1	8
Online training for pharmacists at manufacturers and importers	1	8
Sharing pest capture results, Jul-Sep 2025	24	1
Training on revised internal procedures	13	1
Refresher cleaning training for single-sheet four-side sealing machines	26	1
Manufacturing supervisor training	1	8
Cosmetics responsible distributor manager training	1	6
Trends in quasi-drug regulations	5	1
KS Q ISO 17025 practical operation training	1	19
Sharing pest capture results, Oct-Dec 2025	24	1
Training on revised internal procedures	8	1

Customer Satisfaction

HLB has built ongoing communication channels with domestic and overseas customers to actively gather their requirements and feedback. The sales department conducts an annual customer satisfaction survey, analyzes the results by type and shares them with the quality control department. Based on this, corrective and preventive actions are taken to improve quality and product safety, and the findings are reflected in management review to drive continuous improvement across production and quality management.

Customer Satisfaction Survey (CSAT)

Category	2023	2024	2025
Satisfaction score	88%	92%	95%

Complaint Response

HLB operates a Customer Complaint Handling Process to systematically analyze the causes of complaints and prevent recurrence. The process has five stages: receipt and reporting, cause investigation, corrective action, preventive action, and effectiveness review with customer notification. When a complaint is received, the quality control department investigates and analyzes the cause. Based on the analysis, corrective action is taken to resolve the issue and preventive action such as training and system improvements is applied to prevent similar cases. After confirming the effectiveness of the actions and customer satisfaction, the results are communicated to the customer, and activities at each stage are systematically managed through documented reports and records under the responsibility of the relevant departments.

Customer Complaint Handling Process

Stage	Output/Document
Receipt and reporting	Complaint occurrence report
Cause investigation	Corrective action report
Corrective action (CA)	Corrective action result report
Preventive action (PA)	Training records and document revisions
Effectiveness review and customer notification	Complaint handling report

Eco-Friendly Packaging

Guided by an eco-friendly packaging policy that prioritizes environmental protection and consumer safety, HLB is building a more sustainable production system. Our packaging contains no animal-derived materials and incorporates plant-based and upcycled alternatives. We also use FSC-certified paper made from 100% biodegradable bamboo pulp to reduce environmental impact. Eco-friendly soy-based ink helps minimize pollution from printing, while Braille labeling improves product accessibility for visually impaired consumers and promotes greater inclusivity.

HLB manufactures its products at facilities certified to the ISO 22716 international standard and applies rigorous quality controls throughout the entire process, from raw material management and production to packaging and shipment. Through these efforts, we continue to strengthen product quality and safety and provide reliable products that consumers can use with confidence.

Going forward, HLB will expand the use of eco-friendly materials and advance sustainable packaging innovation to fulfill our environmental responsibilities and help promote a more sustainable culture of consumption.

100% biodegradable FSC-certified paper and soy ink

Complaint Actions Taken

Product	Details	Result
Sterile FA Eol Swab	Foreign matter found in swab	Corrective action completed
Sterile FA Eol Swab	Contamination inside case	Corrective action completed
Standard Alcohol Swab	Pink substance on some swabs	Corrective action completed

Governance

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2026 IR Day

Anti-bribery management system internal audit

HLB Annual General Meeting

HLB Shareholder Briefing

Governance

Board Composition

To balance independence and expertise, as of end-May 2026 HLB operates a nine-member Board comprising six executive directors and three independent directors. Five committees operate under the Board: the ESG Committee, Independent Director Nomination Committee, Audit Committee, Compensation Committee and Internal Transactions Committee. Each committee reviews agenda items in its field in depth in advance and provides independent opinions, strengthening the expertise and objectivity of the Board's decision-making.

Executive Directors

As of end-May 2026

Name	Yang-gon Jin	Tae-han Kim	Hong-Chul Kim	Dong-gun Kim	Jae-hyung Park	Do-guk Son
Position	Chair	Chairman	CEO	Executive Directors	Executive Directors	Executive Directors
Responsibilities	Chair of the Board	Head of Bio Division	Head of Management	Head of Global Operations	Management Advisor	Management Strategy
Key Experience	◈ CEO, HLB ◈ Director, HLB Life Science ◈ Director, HLB Pharmaceutical	◈ Samsung Biologics Chair of the Board ◈ Samsung Biologics founding CEO ◈ Samsung Electronics New Business Team Executive Vice President	◈ HLB Innovation CEO ◈ HLB External Relations Division Senior Vice President ◈ Executive Director, KOSDAQ Association	◈ Immunomic Therapeutics CEO ◈ CEO, HLB ◈ Vice Chairman, Danal	◈ CEO, HLB Pharmaceutical ◈ Haesong Law Firm partner attorney ◈ Seoul District Prosecutors' Office prosecutor	◈ HLB Future Strategy Team Senior Vice President ◈ HLB Biostep Senior Vice President ◈ COO, N-Line
Term	2029.03	2029.03	2029.03	2027.03	2027.03	2029.03

Independent Directors

Name	Yun-hee Lee	Dong-ki Shin	In-bai Seol
Position	Independent Directors	Independent Directors	Independent Directors
Responsibilities	Chair, Internal Transactions Committee	Chair, ESG Committee Chair, Compensation Committee	Chair, Audit Committee Chair, Independent Director Nomination Committee
Key Experience	◈ Seoul National University College of Pharmacy, professor ◈ SNU Environmental Safety Center head of safety management ◈ Independent Director, Cosmax	◈ Daeryook & Aju LLC, advisor ◈ Presidential Transition Committee advisor ◈ Managing Director, IB, Goldman Sachs Hong Kong	◈ HJ Heavy Industries Independent Directors ◈ Y& Insurance brokerage advisor ◈ Financial Supervisory Service assistant governor
Term	2029.03	2027.03	2027.03

Board Expertise and Diversity

Amid unstable international conditions, companies' financial and non-financial risks continue to expand. HLB has built an objective and transparent decision-making system through a Board grounded in expertise and diversity. Directors are appointed without discrimination as to gender, race, ethnicity or nationality, solely on the basis of expertise and fairness.

Board Skills Matrix (BSM)

Mapping the expertise of executive and independent directors in a Board Skills Matrix (BSM) shows the Board is most heavily weighted toward management and investment and risk management at 55%, followed by law and policy at 44%, pharmaceuticals/bio and M&A at 33% each, and communications and finance/accounting at 11% each. HLB's BSM indicators may be revised each year in line with the company's strategic direction, and an individual may hold expertise in multiple fields. On Board diversity indicators, one female independent director was newly appointed, and the average age was adjusted from 62 in 2025 to 61 in 2026. Foreign nationals account for 11% of all registered directors.

Name	Gender	Age	Nationality	Management & Investment	Pharmaceuticals & Bio	Finance & Accounting	Risk Management	Law & Policy	M&A	Communications
Yang-gon Jin	Male	60	Korea	●	●		●		●	●
Tae-han Kim		69			●				●	
Hong-chul Kim		61		●			●			
Dong-gun Kim		64	USA	●				●		
Jae-hyung Park		60	Korea	●				●		
Do-guk Son		51				●			●	
Dong-ki Shin		70		●			●	●		
In-bae Seol		63					●	●		
Yun-hee Lee	Female	49			●		●			
Category	**1 female director**	**Average age 61**	**11% foreign nationals**	**55%**	**33%**	**11%**	**55%**	**44%**	**33%**	**11%**

Board Training

To strengthen Board capabilities, HLB provides training on topics such as ESG issues, financial accounting and industry trends, together with information on key management matters. Internal and external training is also provided to deepen members' expertise in areas such as the internal accounting control system.

Independent Director Training

Date	Provider	Attendees	Topic
'26.03.31	Samjong KPMG	Seol In-bae, Shin Dong-ki, Lee Yun-hee	Audit Committee training (operations and activities)
'25.07.01	Samjong KPMG	Seol In-bae	Audit Committee ACI seminar
'25.06.22	KOSDAQ Association	Seol In-bae, Shin Dong-ki	Capital markets key issues training

Board Activities

In 2025 HLB's Board held 24 meetings, deliberating and resolving key management matters including acquisitions of shares in other companies, mergers and financial support, convertible bond issuance, revision of the internal accounting control system and the carbon neutrality roadmap. All agenda items were approved, with director attendance and approval rates both at 100%, reflecting responsible decision-making and active participation.

2025 Board Resolutions

No.	Date	Details	Result	Approval	Attendance
1	2025.02.06	1. Acquisition of shares in other companies (2) / 3. Establishment of a subsidiary / 4. Approval of concurrent officer positions / 5. Approval of revised HLB carbon neutrality roadmap	Approved	100%	100%
2	2025.02.26	1. Acquisition of convertible bonds issued by another company / 2. Approval of 40th consolidated and separate financial statements	Approved	100%	100%
3	2025.03.05	1. Convocation of the 40th annual general meeting / 2. Change and closure of br anches	Approved	100%	100%
4	2025.04.01	1. Execution of merger agreement / 2. Setting record date for small-scale merger	Approved	100%	100%
5	2025.04.09	Appointment of Board committee members	Approved	100%	100%
6	2025.04.10	Disposal of shares in another company	Approved	100%	100%
7	2025.04.29	Financial support agreement for a subsidiary	Approved	100%	100%
8	2025.05.19	Change of merger schedule	Approved	100%	100%
9	2025.05.29	1. Acquisition of shares in another company / 2. Acquisition of shares in another company	Approved	100%	100%
10	2025.07.10	Approval of merger	Approved	100%	100%
11	2025.08.01	Withdrawal of merger	Approved	100%	100%
12	2025.08.20	1. Issuance of 40th convertible bonds / 2. Acquisition of subsidiary shares / 4. Financial support for subsidiaries	Approved	100%	100%
13	2025.09.03	Amendment of stock option grant agreement	Approved	100%	100%
14	2025.09.17	1. Execution of merger agreement / 2. Setting record date for small-scale merger	Approved	100%	100%
15	2025.09.24	1. Issuance of 41st convertible bonds / 2. Pre-maturity acquisition of 38th convertible bonds	Approved	100%	100%
16	2025.09.26	Corporate working capital loan	Approved	100%	100%
17	2025.10.21	1. Acquisition of subsidiary shares / 2. Acquisition of subsidiary shares	Approved	100%	100%
18	2025.11.03	Issuance of 42nd registered unsecured private non-detachable bonds with warrants	Approved	100%	100%
19	2025.11.13	1. Approval of merger / 2. Fund investment / 3. Establishment of a Chinese entity	Approved	100%	100%
20	2025.11.26	1. Loan to a subsidiary / 2. Acquisition of shares in another company and conversion of class shares	Approved	100%	100%
21	2025.12.05	1. Relocation of a branch / 2. Resolution on carbon neutrality roadmap	Approved	100%	100%
22	2025.12.12	Acquisition of shares in another company	Approved	100%	100%
23	2025.12.15	Amendment of internal accounting control regulations and guidelines	Approved	100%	100%
24	2025.12.31	Report on completion of merger	Approved	100%	100%

Committee Activities

HLB, in accordance with the governance guidelines of global ESG rating agencies and the Korea Exchange, has established a total of five committees under the Board of Directors, including the ESG Committee. Each committee is composed entirely of independent directors, and the committee chairs are appointed based on the expertise of individual independent directors. Over the past year, five agenda items were reported through the ESG Committee, while the Audit Committee handled ten items, the Internal Transactions Committee handled seven items, and both the Nomination Committee and the Compensation Committee each addressed one item.

Committee Charters

- ESG Committee
- Independent Director Nomination Committee
- Audit Committee
- Compensation Committee
- Internal Transactions Committee

Audit Committee

No.	Date	Details	Approval
1	'25.02.10	Approval of 2025 Audit Committee annual activity plan	100%
2	'25.02.19	Report on FY2024 year-end financial statements	-
3	'25.03.05	Report on FY2024 internal accounting control system	-
4	'25.03.21	Resolution on FY2024 separate financial statements	100%
		Resolution on FY2024 consolidated financial statements	100%
		Report on 40th-term internal accounting control audit results	-
5	'25.05.29	Report on Q1 2025 financial statements	-
	'25.09.03	Report on H1 2025 financial statements	-
6	'25.12.15	Amendment of internal accounting control regulations and guidelines	100%
		Report on Q3 2025 financial statements	-

ESG Committee

No.	Date	Details	Approval
1	'25.04.10	Election of committee chair	100%

Independent Director Nomination Committee

No.	Date	Details	Approval
1	'25.03.05	Recommendation of independent director candidate	100%
2	'25.04.10	Election of committee chair	100%

Compensation Committee

No.	Date	Details	Approval
1	'25.03.05	Approval of director remuneration limit	100%
2	'25.04.10	Election of committee chair	100%

Internal Transactions Committee

No.	Date	Details	Approval
1	'25.04.10	Election of chair; disposal of shares in another company	100%

Board Evaluation

HLB conducts a Board evaluation to build a transparent, fair, Board-centered management system and an advanced governance culture. The evaluation comprises self-assessment (40%), corporate value enhancement (30%) and external assessment (30%). The self-assessment was designed with reference to Board operating guidelines, while corporate value enhancement applies the share price increase against the prior year-end closing price and the external assessment is based on Sustinvest's overall ESG rating.

Board Evaluation Components

Category	Details
Roles and responsibilities of the Board	Roles, responsibilities and duties
Board composition	Composition, independence, leadership
Board operations	Procedures, agenda, information gathering
Board committees	Structure, committee operations

Independent Director Evaluation

HLB evaluates the activities of its external independent directors to enhance the independence, transparency and expertise of Board operations. Evaluations are conducted by the heads and executives of the departments supporting independent directors, and the results inform decisions on Board operations and director reappointment.

Independent Director Evaluation Items

Integrity | Business acumen | Ethics | Leadership

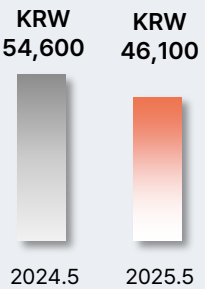
Expertise | Ownership | External relations | Shareholder orientation

2025 Board Evaluation Results

HLB's 2025 Board evaluation, combining self-assessment, corporate value enhancement and external assessment, scored 70 on a 100-point scale. The evaluation is conducted around March each year, and its method and results are reported to senior management and the Board.

Category	Criteria	Score
Self-assessment	Internal questionnaire	40/40
Corporate value enhancement	YoY share price increase	0/30
External Assessment	Overall ESG rating	30/30
Total		**70/100**

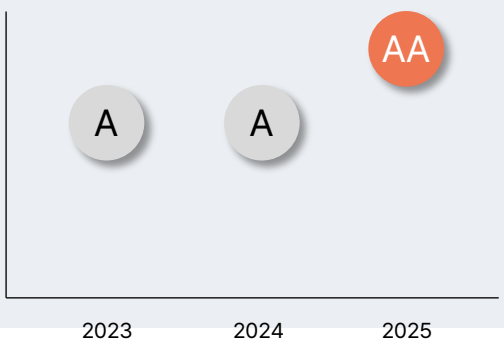
Corporate Value Enhancement



Corporate value enhancement is based on the year-on-year share price increase: the maximum score applies to a rise of 30% or more, and zero to a rise of 5% or less, or a decline. As of May 2025, HLB's share price fell about 15%, from KRW 54,600 to KRW 46,100.

External Assessment

HLB reflects Sustinvest's overall assessment results; its 2025 rating rose one notch from A in 2024 to AA, the highest grade.



Director Remuneration Policy

In accordance with the Commercial Act and our articles of incorporation, HLB pays director remuneration within the limit approved each year at the general meeting of shareholders, and discloses total annual remuneration for all directors in its business report and sustainability report. Base pay for registered directors reflects the expertise required for their duties and the company's business environment, while incentive pay is determined by considering quantitative results such as revenue and operating profit together with qualitative results such as strategic goal achievement and leadership.

CEO ESG KPI Structure

To strengthen the CEO's accountability for a sustainable future, HLB has reflected ESG in the CEO's KPIs from this year. Key ESG KPIs center on quantitative indicators such as ESG rating agency grades and the achievement rate of governance key indicators, together with the carbon neutrality roadmap implementation rate, employee satisfaction and the ESG internalization achievement rate. Deduction items for health and safety and human rights issues further emphasize the CEO's responsibility and efforts to prevent ESG risks.

Category	Key Indicator	Weight	Remarks
Common	ESG rating	3%	10%
	ESG internalization achievement rate[1]	1%	
Environment	Carbon neutrality roadmap implementation rate[1]	1%	
Society	Employee satisfaction and key employment indicator achievement[1]	2%	
Governance	Governance key indicator achievement rate[2]	3%	
Risk	ESG issues such as health and safety or human rights violations[3]	Deduction	

[1]Internal indicator / [2]Key indicator of the corporate governance report / [3]0.2% deduction per issue

ESG KPI Components by Position

Category	Weight	Key Indicator
CEO	10%	See 'CEO ESG KPI Structure' above
Senior Vice President	7%	ESG rating (3%), governance key indicators (3%), internalization (1%)
Vice President	5%	ESG rating (3%), key employment indicators (2%)
Department Head	3%	ESG rating (3%)

Director Remuneration

HLB's director remuneration limit approved at the general meeting is KRW 5.0 billion, of which KRW 750 million was paid in 2025. Executive directors receive base pay assessed against individual KPI achievement, with incentive pay under the Group's performance compensation rules where targets are exceeded. Independent directors receive base pay only, with no separate incentive pay. The obligation to disclose individual remuneration of KRW 500 million or more does not apply, so no separate disclosure is made.

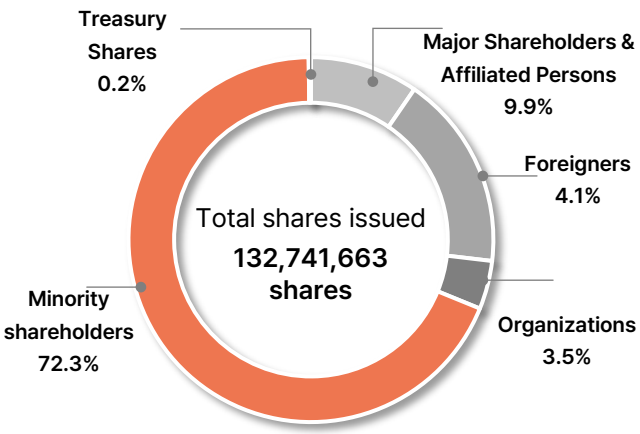
Category	Number	Total remuneration	Average per person
Registered directors	6	KRW 652 mn	KRW 108 mn
Independent Directors	3	KRW 99 mn	KRW 33 mn
Total	9	KRW 751 mn	KRW 83 mn

CEO Evaluation and Compensation Process

Category	Details
HR Team	Draft KPI revisions
People Team	Revise Group HR rules and hold briefings
ESG Management Team	Review ESG KPI application for CEO and management
ESG Committee	Review final draft and committee resolution
Compensation Committee	Determine CEO compensation based on KPI results
Board	Finalize draft and Board resolution

HLB Shareholder Composition

As a KOSDAQ-listed company, HLB's shareholder base as of end-2025 comprised 9.9% largest shareholder and related parties, 14.1% foreign investors, 3.5% institutions, 72.3% minority shareholders and 0.2% treasury shares. Total shares issued as of end-2025 were 132,741,663, up 1,346,814 shares (1.0%) from the start of the year.



2025 HLB Shareholder Composition

Category	Shares	Ownership
Largest shareholder and related parties	13,196,394	9.9%
Foreign investors	18,651,098	14.1%
Institutions and corporations	4,653,440	3.5%
Minority shareholders	95,981,381	72.3%
Treasury shares	259,350	0.2%
Total shares issued	**132,741,663**	**100.0%**

Shareholder Rights Protection

HLB works to gather shareholder views on management transparently and to protect shareholder rights. We recognize that the geographic location of our head office may create time and distance constraints on attending general meetings. To improve convenience and the efficiency of the voting process, we have offered electronic voting since 2020, improving turnout and reducing social costs. We also strive to deliver company news as transparently and promptly as possible through credible channels including our official website, blog and Telegram.

Stakeholder Engagement and Communication

General Meeting / Shareholder Briefing

To improve attendance, in 2026 as in 2025 HLB held its general meeting outside the concentrated meeting dates designated by the KOSDAQ Association. Declaring publicly that we will lead a new general meeting culture, we held a shareholder briefing immediately after the meeting to introduce the company's future strategy and sustainability and to communicate closely with shareholders.

IR Activities

HLB communicates regularly with institutional investors and shareholders through general meetings, shareholder briefings, domestic and overseas non-deal roadshows (NDRs) and IR meetings. We also respond promptly to key information and sensitive issues through diverse channels including our website, blog and Telegram. In April this year we held HLB Group IR Day for institutional investors and analysts, sharing the group's business status, core pipeline and mid- to long-term growth strategy, with a Q&A session involving around 100 investment professionals. We then held an integrated shareholder briefing for retail shareholders, explaining the group's key business progress and future vision and listening directly to shareholders. Notably, the CEOs of ten listed companies in the group, including HLB, took part to share each affiliate's growth strategy and plans for cross-business synergies, presenting an integrated group-level vision. HLB will continue to expand stakeholder communication through diverse online and offline channels, working toward transparent disclosure and governance built on trust.

2025 IR Activities

Category	Region	Details	2025	2026
NDR	Domestic	Regular/ad hoc institutional visits	0	73
	Hong Kong & Singapore		1	12
Conferences & Corporate Day	Domestic	Broker-hosted domestic and overseas conferences, corporate days and investor meetings	10	1
	Overseas		9	1
Single/group site visits	Domestic & overseas	Conference calls and site visit meetings	5	7
Total			**25**	**94**

Communication Channels by Stakeholder

HLB classifies its stakeholders as employees, customers, shareholders, suppliers, local communities and government, and reflects the protection of stakeholder rights in its Corporate Governance Charter. To support sustainable management, HLB encourages stakeholder participation to enhance the transparency and efficiency of its management. Our website operates a reporting channel for stakeholder grievances and anti-ESG issues relating to labor, human rights, ethics and the environment. Reports received are resolved through monitoring and due diligence by the responsible departments, and material matters are reported to the ESG Committee so that remedial action can be taken.

HLB pursues a Triple Bottom Line (TBL) management approach that creates economic as well as social and environmental value, and plans to progressively enhance its existing communication channels, shareholder return policies for greater shareholder value, and methods of engaging with stakeholders. We also plan to state in our articles of incorporation the pursuit of stakeholder happiness, reinforcing stakeholder-centered management.

Communications by Channel

HLB shares key management developments and business performance with stakeholders through diverse communication channels including press releases, feature articles, interviews, its blog, Telegram and YouTube. By tailoring content to the characteristics of each channel, we improve access to information and broaden the scope of communication so stakeholders can more easily understand our vision and activities.

Category	Channel	Category	Channel
Press releases	121 issued	Blog posts	40
Feature articles	34 issued	Telegram posts	40
Interviews	29 held	YouTube uploads	9

IR Day

Through regular IR Days, HLB Group shares its vision, business strategy, key R&D achievements and affiliate growth strategies with shareholders and investors. Another IR Day was held on 2 April 2026, where management took part directly in Q&A, listening to investor views and communicating actively on key management issues to strengthen trust-based IR.

Shareholder Briefing

To strengthen trust-based communication with shareholders and investors, HLB Group held an integrated shareholder briefing and IR Day involving ten listed affiliates — an industry first. CEOs of major affiliates shared core business status, pipeline progress and future growth strategies, and engaged actively on management issues and vision through Q&A with shareholders. Building on transparent disclosure and continuous communication, HLB Group works to strengthen shareholder trust, enhance corporate value and achieve sustainable growth.

External Audit

HLB undergoes regular audits by an external auditor and received an unqualified opinion for each of the last three fiscal years. Apart from tax adjustment work for the 2022 corporate income tax filing, HLB has entered into no non-audit service contracts with its external auditor, in the interest of fair and transparent audits. Our internal audit body and the external auditor also held a total of 12 meetings over the past three years to discuss audit procedures and key audit matters.

External Auditor and Audit Opinion

Fiscal year	Auditor	Audit opinion	Key audit matters
41st term	Samjong Accounting Corp.	Unqualified	◈ Impairment assessment of investments in subsidiaries ◈ Goodwill impairment assessment
40th term	Samjong Accounting Corp.	Unqualified	◈ Impairment assessment of investments in subsidiaries ◈ Goodwill impairment assessment
39th term	Hanyoung Accounting Corp.	Unqualified	◈ Goodwill impairment assessment

Non-Audit Services with the External Auditor

Fiscal year	Contract date	Service	Period	Fee
41st term	-	-	-	-
40th term	-	-	-	-
39th term	-	-	-	-

Audit Service Contracts

Fiscal year	Auditor	Details	Contracted		Actual	
			Fee	hours	Fee	hours
41st term	Samjong Accounting Corp.	◈ Review of quarterly and half-year financial statements ◈ Internal accounting audit ◈ Separate and consolidated audit	KRW 370 mn	3,800 hr	KRW 370 mn	4,124 hr
40th term	Samjong Accounting Corp.	◈ Review of quarterly and half-year financial statements ◈ Internal accounting audit ◈ Separate and consolidated audit	KRW 350 mn	3,433 hr	KRW 365 mn	4,693 hr
39th term	Hanyoung Accounting Corp.	◈ Review of quarterly and half-year financial statements ◈ Internal accounting audit ◈ Separate and consolidated audit	KRW 460 mn	3,510 hr	KRW 482 mn	3,724 hr

Discussions Between the Internal Audit Body and the External Auditor

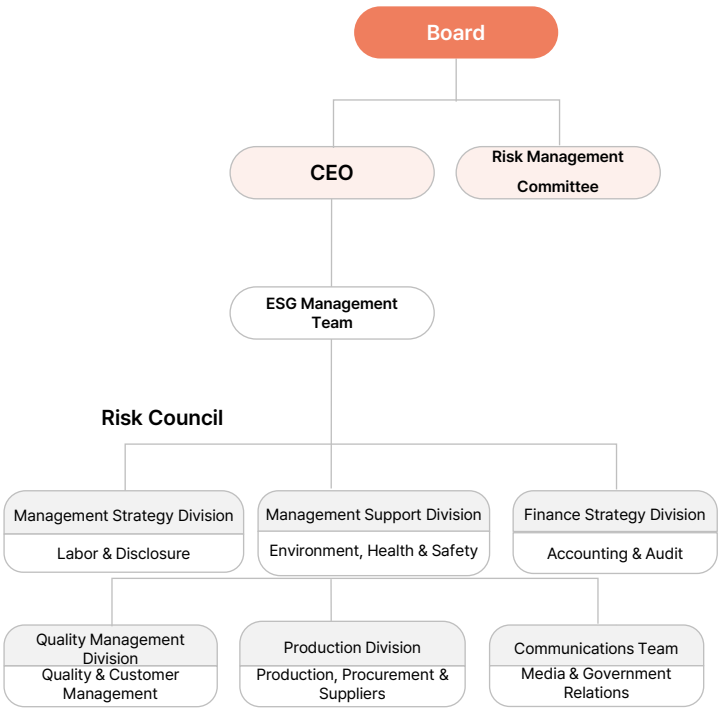
Category	Date	Attendees	Format	Key discussion points
1	'23.08.09	Audit, accounting responsible executives	Meeting	Half-year review results, responsibilities of management and auditor, auditor independence, audit plan
2	'23.11.13			Q3 review results, auditor independence, audit plan, selection of key audit matters
3	'24.03.18			Significant audit findings, key audit matters, audit results, auditor independence
4	'24.05.13			Q1 review results, responsibilities of management and auditor, auditor independence, audit plan
5	'24.08.13			Half-year review results, responsibilities of management and auditor, auditor independence, audit plan
6	'25.03.20			Key matters in the annual financial statement audit and internal accounting control audit results
7	'25.05.29			Q1 review results, responsibilities of management and auditor, auditor independence, audit plan
8	'25.09.03			Half-year review results and internal accounting control design evaluation results
9	'25.12.22			2025 work progress, Q3 review matters, audit plan, selection of key audit matters

Risk Management

Risk Management System

HLB operates a group-wide integrated risk management system through its Risk Management Committee, and has selected six core risk management areas reflecting our business characteristics and organizational structure. The risk management process is divided into stages based on a PDCA cycle, and internal audits each May and November assess risk management status by department and identify improvements.

Risk Management Organization



Risk Management PDCA Cycle

Plan

Business departments

- Appoint compliance officers by department; set risk items and inspection plans

Dedicated organization

- Select priority risk items by department
- Build the compliance organization and establish operating plans

Do

Business departments

- Compliance officer training and risk monitoring

Dedicated organization

- Departmental risk assessment and review of activity plans
- Internal training and improvement activities

Check

- Internal audit and identification of improvements by department (May/Nov)

Act

- Reflect improvements and support business departments

Six Core Risk Management Areas

- Fair Trade
- Ethical Management
- HR & Labor
- Health & Safety
- Compliance
- Anti-Corruption

Risk Management Process

Category	Details
Risk identification	Risk assessment based on stakeholder requirements (regular/ad hoc)
Analysis and assessment	Prioritize and grade each item considering frequency and severity of occurrence
Risk response	Establish improvement plans based on the risk management structure
Follow-up	Evaluate departmental activities and report results to the Board

Risk Management Areas – Financial Risks

To prevent financial risks that may arise in our business, HLB monitors departmental cash plans on a monthly basis. An MIS system enables monthly monitoring of company-wide financial status and key indicators, and an integrated treasury platform based on financial information enables real-time B2B transactions between group companies and financial institutions. We also track and manage potential risks such as non-performing receivables, inventory, litigation and claims, and have created a dedicated team to enable weekly reporting and continuous response.

Audit Committee

To eliminate potential risk factors arising from long-serving standing auditors and to enhance the independence and transparency of Board operations, HLB has proactively established an Audit Committee — unusual for a KOSDAQ-listed company — even though it is not required to do so. The Audit Committee is chaired by an independent director and composed entirely of independent directors, and oversees the company's control systems, including accounting audit, internal control and risk management.

Internal Transactions Committee

To conduct intra-group transactions strictly and transparently, HLB has established an Internal Transactions Committee under the Board. Like the Audit Committee, it is composed entirely of independent directors to ensure independent authority, and oversees all intra-group transactions, including funds and share dealings between affiliates, provision of tangible and intangible assets and collateral, and real estate lease transactions.

Risk Management Areas – Non-Financial Risks

Health & Safety

- Occupational health and safety management system (ISO 45001) certification
- Emergency response task force for serious accidents
- Serious accident response manual and employee health and safety training

Labor Relations

- CEO town hall meetings ('Moisseo')
- Listening to employee views through diverse channels (People Team, grievance channels, junior board, human rights impact assessment)
- Quarterly labor-management council meetings

Information security

- Privacy policy
- Document centralization system
- Regular security system inspections by external providers

Environment

- GHG inventory and environmental data management system
- Short- and mid-to-long-term net-zero roadmaps
- Transparent disclosure through multiple global rating agencies

Supply Chain

- Financial and ESG assessments of key suppliers
- Supplier Code of Conduct compliance pledges
- Plans to expand supplier support programs (assessment incentives, training for shared growth)

Anti-Corruption

- Anti-bribery management system (ISO 37001) certification
- Regular compliance training for the risk management organization

Risk Identification & Management

Category	Risk Type	Details	Risk Management Organization	Internal Policies	Response Strategy
Financial Risk	M&A Investment	Risk of favouring a target or manipulating due diligence findings in M&A decisions	Strategy Team	Capital Markets Act, Fair Trade Act	Investment committee and board review; dual due diligence Agency Selection
	Bond Issuance	Risk of setting CB conversion prices to favour an underwriter in exchange for benefits	Strategy Team	Capital Markets Act; Securities Issuance Disclosure Rules	Adjustment per underwriting agreement; external verification
	Advisor Selection	Risk of selecting a familiar legal advisor and overpaying fees	Strategy Team	Graft Act, Subcontracting Fairness Act	Competitive multiple quotes; contract review process
	Budget Management	Risk of favouring certain teams or vendors, or spending outside intended purpose	Strategy Team	Budget Management Rules	Compliance with budget rules; plan vs. actual monitoring
	Accounting Close	Risk of distorting financial statements through revenue timing, fictitious sales or asset overvaluation	Finance & Accounting Team	External Audit Act, Capital Markets Act	Internal accounting control system; external auditor review
	Tax Filing	Risk of manipulating tax filings via fictitious expenses or false invoices	Finance & Accounting Team	Corporate Tax Act, Punishment of Tax Offenses Act	Multi-level tax review; external tax firm verification
	Treasury Management	Risk of embezzlement through unapproved transfers or forged documents	Finance & Accounting Team	Criminal Act (embezzlement), Foreign Exchange Transactions Act	Stage-based approval lines; CMS system approval controls
	Corporate Card	Risk of personal or entertainment use of corporate cards and false expense claims	Finance & Accounting Team	Corporate Card Rules; Graft Act	Monthly expense approval; automatic blocking of prohibited merchants
	Valuation	Risk of manipulating valuation assumptions or concealing impairment at overseas entities	Global Finance Strategy Team	Capital Markets Act, K-IFRS	Multi-level review of assumptions; independent auditor verification
Non-Financial Risk	Vendor Management	Risk of overpriced orders to fixed vendors in return for rebates or entertainment	HR & General Affairs Team	Graft Act, Subcontracting Fairness Act	Competitive multiple quotes; contract review process
	Assurance Provider Selection	Risk of favouring a provider or accepting benefits for a favourable opinion	ESG Management Team	Graft Act, ESG Disclosure Rules	Documented selection process; independence pledges
	Investment Decisions	Risk of reporting biased financial information or manipulating investment scenarios	Global Finance Strategy Team	Commercial Act (fiduciary duty); Capital Markets Act	Approval line for agenda materials; multi-scenario reporting
	Recruitment	Risk of unfairly hiring relatives or acquaintances through solicitation or score manipulation	HR & General Affairs Team	Graft Act; Fair Hiring Procedure Act	Multiple interviewer evaluation; conflict-of-interest recusal
Financial & Non-Financial Risk	Clinical Trials & Approvals	Risk of bribing regulatory reviewers and manipulating or concealing trial data	ESG Management Team	Pharmaceutical Affairs Act, GCP standards	Clinical sample control and CRO oversight
	Disclosure Management	Risk of leaking undisclosed information or manipulating or delaying disclosures	Strategy Team	Capital Markets Act, Disclosure Rules	Insider trading monitoring; multi-level disclosure review
	Affiliate Transactions	Risk of setting affiliate brand royalties outside arm's-length standards	Strategy Team	Fair Trade Act	Internal transactions committee review; external transfer pricing verification
	Consolidated Close	Risk of manipulating overseas subsidiary closing data or withholding audit information	Global Finance Strategy Team	External Audit Act, K-IFRS	Consolidated internal accounting controls; subsidiary close verification
	Overseas Entity Support	Risk of undue support to overseas entities or transfer pricing manipulation	Global Finance Strategy Team	Fair Trade Act, International Tax Adjustment Act	Internal transactions committee review; external transfer pricing verification
	Performance Appraisal	Risk of manipulating appraisal scores or accepting solicitation for promotions	HR & General Affairs Team	Graft Act, Labor Standards Act	Compliance with appraisal rules; HR committee review

Ethical Management & Anti-Corruption

Ethical Management

Under the management philosophy that truly sustainable management begins with transparent practice, HLB has established its ethical management principles. Through our Ethics Charter and practice guidelines, we encourage all employees to internalize and uphold high standards of ethics and conduct. In line with ethical management, we fulfil our social, economic and legal responsibilities and enhance sustainability by strengthening internal controls.

HLB Ethical Management Direction

Through ethical management we aim to be a company customers and suppliers want to do business with, shareholders want to invest in, employees want to work for, and one that fulfils its responsibilities to the nation and society.

Shareholders
- Delivering corporate value
- Transparent management information
- Equal treatment of shareholders and appropriate dividends
- Sound trading practices (no bribery or improper demands)
- Protecting technology and trade secrets
- No improper poaching

Consumers
- Advancing consumer rights
- Technology development
- Quality improvement

Supply Chain

Employees
- Respect for the individual
- Improving working conditions
- No discriminatory treatment

Government
- Maintaining transparent relations
- Policy cooperation
- Faithful tax payment

Local Communities
- Environmentally friendly management
- Social contribution activities

Ethics Charter

1. We perform our duties honestly and fairly, grounded in high ethical standards and integrity.

2. We always place our customers' value first, with the best solutions and services.

3. We respect shareholder value by generating profit through efficient management.

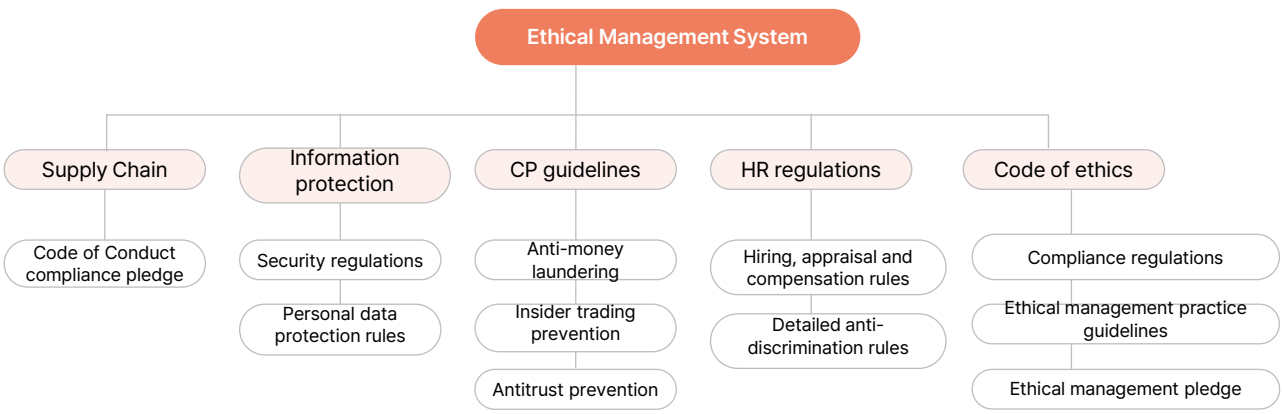
4. We deal with suppliers transparently and fairly on the principle of mutual benefit, striving for shared development.

5. We comply with national and local laws and contribute to community development through voluntary service.

6. We take pride in being HLB Group employees and become leading experts through continuous self-development.

7. We uphold honor and dignity, commit no misconduct, and put the company's interests first in our work.

Ethical Management Framework



Ethics Practice Activities

1. Ethics Pledge

Every year we obtain an ethics pledge from all employees and suppliers confirming that they understand our ethics rules and will comply with related policies. Signatories commit to observe the code of ethics and anti-corruption guidelines and to refrain from unfair trade, misconduct, improper solicitation and the provision of money or valuables prohibited by law.

2. Conflict-of-Interest Reporting

Where a conflict of interest may arise in performing duties, it must be reported in advance to prevent unfair outcomes and embed transparent practices. Conflict-of-interest declarations are obtained annually from employees of HLB and its suppliers.

3. Reporting Unethical Conduct and Whistleblower Protection

We operate reporting and reward systems to prevent work-related unethical conduct and embed an ethical culture. HLB guarantees confidentiality so that whistleblowers are not identified and protects them from any disadvantage.

4. Ethics Compliance Self-Assessment

Each year employees complete a survey-style checklist on compliance with ethics rules, deepening understanding of the rules and identifying improvements.

5. On-Site Listening

We conduct on-site listening with employees and suppliers to diagnose the level of ethical practice and gather views on needed improvements. We also check implementation of the findings and reflect them in our work.

6. Ethics Training and Communication

We provide classroom and online ethics training, and produce newsletters, animated videos and cartoons on ethical management to raise employees' understanding of and commitment to compliance.

Ethical Management Roadmap

2023

Goal | Adopt anti-bribery management system

Action | ISO 37001 certification

Internal auditor training by department and training for anti-corruption officers and managers

Risk pool established and internal audits performed

2025

Goal | Advance anti-bribery management system

Action | Renew ISO 37001 certification

Expand adoption to subsidiaries and overseas entities

2030

Goal | Adopt compliance management system

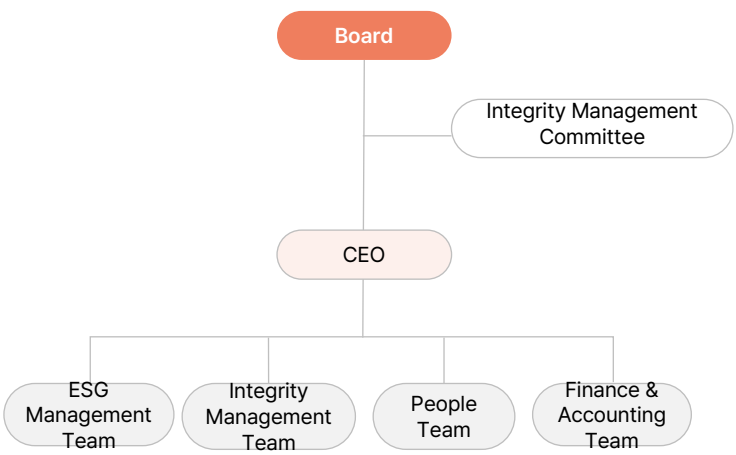
Action | ISO 37301 certification

Dedicated compliance organization created and compliance officer appointed

Selected as an outstanding CP company

Ethical Management Organization

To build a transparent and fair ethical management system, since 2024 HLB has operated an Integrity Management Committee composed of executive directors. In addition, since 2021 the ESG Management Team and Integrity Management Team under the CEO have reported directly to the CEO on matters that directly or indirectly affect corporate value, including non-financial risk, audit and compliance.



Ethics reporting system

HLB operates an online reporting channel to build a fair and transparent management environment. Under our regulations we strictly protect the identity of reporters and the content of reports, and reports received are handled by internal members of the Grievance Committee.
Where a report is made to a team or department head rather than through the online channel, that manager is required in principle to report it to the dedicated grievance body within 24 hours.

Ethics cyber reporting

Report Handling Process

Report received — Report registered

Receipt review — Review the report and determine who investigates
If out of scope, the case may be excluded or transferred to the responsible department, and the outcome is communicated to the reporter via the 'Report Results' menu

Initial inquiry — Initial inquiry launched based on the report
If the report lacks specifics or further information is needed, the reporter is contacted via the 'Report Results' menu

Full investigation — Where a detailed investigation is required, an investigation plan is prepared and carried out

Closure — The investigation closes once the facts are confirmed
Where follow-up is needed, HR measures and system improvements are implemented

2025 Grievance Reports

Through its internal People Team, HLB operates an online counselling channel and a Grievance Committee for stakeholders and employees. The Committee covers a broad range of issues, from workplace sexual harassment and bullying to working conditions and employee welfare.
An anonymous reporting system helps ensure that reporters suffer no disadvantage, and to date there has been no case of secondary harm arising from a reported incident.

Report/counselling type	Cases
Reports received	6
Resolved	6
Outstanding	0 cases

Reportable Conduct

- Accepting money or entertainment from internal or external stakeholders in connection with one's duties
- Obtaining improper benefits or abusing authority through one's position or duties
- Causing economic loss to the company through improper means or intent
- Providing economic benefits to a counterparty for the purpose of obtaining improper gain
- Violating applicable laws in transactions with the company
- Other unethical conduct inappropriate for a sound employee

Reporting Channels

Category	Details
Website	HLB ethical management
Email	compliance@hlbbio.co.kr

Anti-Bribery Management System (ISO 37001)

HLB obtained ISO 37001 (anti-bribery management system) certification in 2022 and periodically manages the history of departmental risk assessments and the regulatory requirements it must comply with. Following mitigation activities under the 2024 company-wide risk assessment, inherent risks of 0 critical, 0 high, 2 medium, 61 medium-low and 0 low were reduced after controls to residual risks of 0 critical, 0 high, 0 medium, 2 medium-low and 61 low, confirming the effectiveness of the mitigation measures. Building on an advanced legal risk management system, HLB continues to distribute company-wide training materials to raise effectiveness and strengthen its compliance framework.

Anti-Bribery Management System Process

By department Anti-Corruption target setting → Risk assessment sheet preparation → Internal audit / monitoring → audit / improvement identificatio

2025 Risk Mitigation Measures

Category	Details
Internal audit	Internal audit: 0 minor non-conformities, 0 recommendations
Anti-Corruption monitoring	Monitoring: 100% of all 47 targets achieved
Risk Assessment results	Inherent risks: 26 total (3 medium, 23 low) Risk remaining after mitigation by controls
Risk Control measures	Financial controls - Separation of contracting and treasury functions, internal accounting controls Non-financial controls - Training, monitoring, employee ethics pledges
Risk level Criteria	Inherent risk -

Level	Low	Medium-low	Medium	Medium-high	High
Score	1	2~4	5~12	13~20	21~25

Residual risk
- Inherent risk level x control effectiveness (1-5)

Inherent risk level	Control effectiveness				
	1	2	3	4	5
High	High	High	Medium-high	Medium-high	Medium
Medium-high	Medium-high	Medium-high	Medium	Medium	Medium-low
Medium	Medium	Medium	Medium-low	Medium-low	Low
Medium-low	Medium-low	Medium-low	Medium-low	Low	Low
Low	Low	Low	Low	Low	Low

June Compliance Month

To strengthen employees' ethics and compliance awareness, HLB again ran its 'June Compliance Month' campaign in 2026. Card news on compliance, ethics and prevention of workplace bullying was distributed regularly, and a compliance quiz event encouraged voluntary participation and interest. HLB will continue to treat compliance as a core value of its corporate culture and work to embed an ethical, transparent organizational culture.

Anti-Corruption Training

HLB provides anti-corruption training to all employees at least once a year to raise ethics and compliance awareness, and runs separate practical anti-corruption training for internal accounting managers and staff in corruption-prone roles. Training centers on anti-corruption laws, the code of conduct and real cases, helping employees recognize and prevent corruption risks in their work. HLB plans to further strengthen a transparent and ethical corporate culture through continuous training and awareness activities.

Anti-Corruption Training Structure

Participants	Details
Internal accounting managers	Internal accounting control system
Staff in corruption-prone roles	Job ethics by area
ISO 37001 internal auditors	Integrity and ethics trends
All employees	Graft Act, anti-corruption code of conduct
Promoted and new employees	Anti-corruption code of conduct

Anti-Corruption Management Policy

To practice anti-corruption and ethical management, HLB has established and declared an anti-corruption policy. Grounded in warm capitalism, mature corporate citizenship and practical business ethics, and aiming always to grow together with our stakeholders, HLB has established the following anti-corruption policy.

1

Chapter 1. General Provisions

HLB complies with domestic and international anti-corruption laws and internal regulations, and engages in no act of corruption, including receiving or demanding money or valuables from business stakeholders, offering bribes or making improper solicitations.

2

Chapter 2. Prohibition of Corruption Including Money and Bribes

HLB strictly prohibits all forms of corruption, including receiving or demanding money or valuables from business stakeholders, offering bribes and making improper solicitations.

3

Chapter 3. Establishment of an Anti-Corruption System

HLB establishes and operates an effective management system to prevent and minimize corruption, and will continue to improve it.

4

Chapter 4. Anti-Corruption and Compliance Pledge for All Members

All HLB members comply with every internal regulation operated under this anti-corruption policy, and regularly sign and strictly observe the anti-corruption and compliance pledge.

5

Chapter 5. Appointment of the Anti-Corruption Officer

For transparent and effective anti-corruption management, HLB appoints an anti-corruption compliance officer, guarantees the officer's independent status and grants the authority and responsibility required for anti-corruption.

6

Chapter 6. Role of the Anti-Corruption Officer

Led by the anti-corruption officer, HLB sets and implements anti-corruption targets to prevent and reduce corruption risk, and continuously improves its anti-corruption management system.

7

Chapter 7. Protection of Whistleblowers

HLB keeps the personal details of whistleblowers strictly confidential, thoroughly protects the identity of employee whistleblowers, and protects them from retaliation or any other adverse treatment.

8

Chapter 8. Discipline for Acts of Corruption

Where a member violates anti-corruption laws or related internal regulations including this policy, or becomes aware of a violation and fails to take reasonable measures to prevent it, HLB takes commensurate action including disciplinary measures.

Compliance

Ethical Management CEO Pledge

Ethical Competitiveness Is Shared Value Creation

Our Commitment

Recognizing that ethical management is a core corporate competitiveness and the starting point for a sustainable future and shared value creation,
we commit to growing together with society through ethical practice.

We make ethics the foremost value of our management and strengthen ethical competitiveness through honest, transparent practice.
We fulfil our corporate social responsibility and build ethical competitiveness for sustainable growth.
Based on trust with stakeholders, we foster a fair and accountable corporate culture that promotes shared value creation.
We realize shared value creation and build a sustainable future in which business and society grow together.

2026.06.08 **Hong-chul Kim, CEO**

CEO's Commitment to Compliance and Ethical Management

To all employees,
Under the ambitious goal of “Human Life Better,” HLB strives to build a transparent and fair compliance culture. Compliance means more than observing legal regulations — it means putting HLB's core values and ethical standards into practice.
HLB has always maintained the highest ethical standards and worked to establish itself as a trusted company in the pharmaceutical industry through fair and transparent business practices. These principles have been the pillars of our reputation and trust, and will continue to guide our conduct. To achieve an effective compliance culture, I set out the following principles.

First, every employee must strictly comply with applicable laws and company policies. This is a basic principle that must be upheld across all our business activities — for example, protecting customer information, complying with anti-corruption policies and practising fair trade. It is the most fundamental way
to earn our stakeholders' trust.

Second, the company will regularly provide and support compliance education and training so that every employee understands and applies the latest regulations and company policies. I ask you all to take an active part in this training. It will be the foundation for our growth into a more trusted global pharmaceutical company.

Third, compliance concerns must be reported immediately. The company encourages a transparent reporting culture and will not tolerate anyretaliation. Safeguards are in place so that you can report concerns with confidence. This is an important part of proving that we are a transparent and accountable company.
Finally, compliance is more than following rules — it is a key element shaping our corporate culture. Ethical and responsible conduct should arise naturally in our daily work. In this way we can grow into an even more trusted global pharmaceutical company.

I ask for your close attention and active participation.

Thank you.

Kim Hong-cheol, CEO

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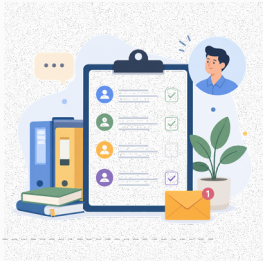

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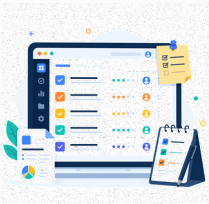

ESG Data

Financial Performance

Consolidated Statement of Financial Position

(Unit: KRW million)

	2023	2024	2025
Assets			
Current assets	**144,407**	**172,282**	**124,277**
Cash and cash equivalents	108,888	93,048	40,983
Trade receivables	7,225	8,919	9,520
Financial assets at fair value	3,915	38,235	35,468
Other current financial assets	6,890	13,902	17,820
Inventories	11,422	9,688	9,454
Other current assets	5,371	8,434	10,836
Current tax assets	695	56	196
Non-current assets	**602,608**	**715,143**	**805,900**
Financial assets at fair value	55,786	31,860	9,827
Other non-current financial assets	3,436	3,227	175,356
Investments in associates	211,915	282,780	202,583
Other non-current assets	897	578	101
Property, plant and equipment	48,755	72,640	68,678
Right-of-use assets	11,322	11,129	14,711
Investment property	6,137	19	19
Intangible assets	264,330	312,428	333,643
Net defined benefit assets	1	-	-
Deferred tax assets	29	480	982
Total assets	**747,014**	**887,425**	**930,178**
Liabilities			
Current liabilities	**86,332**	**160,718**	**347,662**
Trade payables	6,991	5,657	5,386
Short-term borrowings	28,703	99,364	207,043
Other current financial liabilities	38,309	40,853	119,945
Lease liabilities	2,164	1,858	3,251
Other current liabilities	10,161	12,669	11,003
Current tax liabilities	4	318	1,035
Non-current liabilities	**45,370**	**74,593**	**88,102**
Long-term borrowings	17,933	44,362	58,224
Other non-current financial liabilities	133	380	665
Non-current lease liabilities	13,861	14,426	16,428
Other non-current liabilities	565	25	35
Deferred tax liabilities	12,073	14,208	12,670
Net defined benefit liabilities	805	1,192	80
Total liabilities	**131,702**	**235,311**	**435,764**
Equity			
Owners of the parent	**550,030**	**576,572**	**418,457**
Share capital	65,071	65,697	66,371
Share premium	686,558	451,571	520,287
Other capital items	(225,821)	(217,565)	(217,040)
Accumulated other comprehensive income	26,835	64,935	45,914
Retained earnings (deficit)	(2,613)	211,934	2,925
Non-controlling interests	**65,282**	**75,542**	**75,957**
Total equity	**615,312**	**652,114**	**494,414**
Total liabilities and equity	**747,014**	**887,425**	**930,178**

Consolidated Statement of Comprehensive Income

(Unit: KRW million)

	2022	2023	2024	2025
Revenue	179,708	42,901	68,126	84,173
Cost of sales	(113,463)	(43,794)	(56,071)	(56,461)
Gross profit	66,245	(894)	12,055	27,712
Selling and administrative expenses	(140,910)	(124,131)	(130,571)	(131,929)
Operating profit (loss)	(74,665)	(125,025)	(118,516)	(104,217)
Finance income	20,514	20,951	33,522	9,328
Finance costs	(21,543)	(20,022)	(13,963)	(49,540)
Other income	726	11,972	1,937	7,556
Other expenses	(4,039)	(77,708)	(5,853)	(2,420)
Gain (loss) on investments in associates	(9,404)	(22,964)	(6,376)	(101,248)
Profit (loss) before income tax	(88,411)	(212,796)	(109,249)	(240,540)
Income tax benefit (expense)	(6,554)	10,493	1,222	5,125
Profit (loss) for the period	(94,965)	(202,303)	(108,027)	(235,415)
Attributable to				
Owners of the parent	(76,668)	(187,547)	(91,980)	(220,501)
Non-controlling interests	(18,298)	(14,757)	(16,047)	(14,914)
Other comprehensive income	22,983	6,107	42,814	(8,549)
Items that may be reclassified to profit or loss	15,225	4,035	30,364	(7,315)
Foreign currency translation differences	15,225	4,035	29,882	(7,161)
Share of changes in equity of associates	0	0	482	(154)
Items that will not be reclassified to profit or loss	7,758	2,073	12,450	(1,234)
Share of changes in equity of associates	7,800	619	3,468	(1,509)
Remeasurements of defined benefit plans	(71)	6	(193)	37
Gain (loss) on equity instruments at FVOCI	28	1,448	9,175	238
Total comprehensive income	(71,982)	(196,196)	(65,213)	(243,964)
Attributable to				
Owners of the parent	(57,703)	(182,424)	(54,074)	(228,030)
Non-controlling interests	(14,279)	(13,772)	(11,139)	(15,934)
Earnings per share				
Basic earnings (loss) per share (KRW)	(659)	(1,547)	(704)	(1,680)
Diluted earnings (loss) per share (KRW)	(659)	(1,547)	(704)	(1,680)

Environmental Performance

Energy Consumption

Category			Unit	2022	2023	2024	2025
HLB Healthcare	Direct energy	LNG, etc.	GJ	675	678	1,109	1,116
	Indirect energy	Electricity		10,122	8,334	9,751	10,393
	Total			10,797	9,012	10,860	11,509
HLB Seoul Office	Direct energy	Gasoline		851	769	955	995
	Indirect energy	Electricity		160	93	76	82
	Total			1,011	862	1,031	1,077
Total consumption				11,808	9,874	11,891	12,586
Energy intensity1				7.3	48.4	58.6	14.95

GHG Emissions

Category		Unit	2022	2023	2024	2025
HLB Healthcare	Direct emissions (Scope 1)	tCO_2e	37	41	67	68
	Indirect emissions (Scope 2)		484	391	456	410
	Total		521	432	523	478
HLB Seoul Office	Direct emissions (Scope 1)		57	52	64	67
	Indirect emissions (Scope 2)		8	4	4	4
	Total		65	56	68	71
Total emissions (Scope 1+2)			586	488	591	549
GHG intensity2			0.4	2.4	2.9	0.65

Air Pollutant Emissions

Category		Unit	2022	2023	2024	2025
HLB Healthcare	Dust	kg	0	0	0	0
	THC (hydrocarbons)		0	0	0	0
	Styrene		0	0	0	0
	Total3		0	0	0	0
HLB Seoul Office	Dust		0	0	0	0
	THC (hydrocarbons)		0	0	0	0
	Styrene		0	0	0	0
	Total		0	0	0	0
Total emissions			0	0	0	0

Water Withdrawal

Category	Unit	2022	2023	2024	2025
HLB Healthcare	tonnes	7,695	4,855	5,147	5,335
HLB Seoul Office[4]		1,050	1,082	1,097	1,097
	Total	7,745	5,937	6,244	6,432

Waste Discharge

Category			Unit	2022	2023	2024	2025
HLB Healthcare	Waste generated	General	Ton	132	106	119	100.4
		Designated		0.9	0.7	0.4	0.4
	Total			132.9	106.7	119.4	100.8
HLB Seoul Office5	Waste generated	General		2.36	2.55	2.55	2.36
		Designated		0	0	0	0
	Total			2.36	2.55	2.55	2.36
		Total		135.26	109.25	121.95	103.16

Environmental Investment

Category	Unit	2022	2023	2024	2025
Energy (solar PV)	KRW million	0	198	0	0

Environmental Violations

Category	Unit	2022	2023	2024	2025
Violations	cases	0	0	0	0
Fines for violations		0	0	0	0
Environmental lawsuits		0	0	0	0
Non-monetary sanctions		0	0	0	0

1) Total consumption divided by HLB Healthcare revenue (KRW 100 mn)

2) Total emissions divided by HLB Healthcare revenue (KRW 100 mn)

3) HLB Healthcare is not classified as an air pollutant emission facility, as no fuel combustion occurs in production

4) Based on the water and sewage share (1.75%) of HLB Seoul Office management fees

5) Based on the waste treatment share (1.21%) of HLB Seoul Office management fees

Social Performance

Employee Diversity

Category			Unit	2022	2023	2024	2025
Total employees[1]			persons	159	150	168	151
By age	Under 30			25	24	24	12
	30-49			96	88	103	97
	50 and over			38	38	41	42
By gender	Employees	Male		57	38	66	46
		Female		83	90	102	92
	Executives2	Male		11	9	9	12
		Female		0	0	0	3
By location	Healthcare			114	98	106	89
	Seoul Office			45	52	62	62
By employment type	Regular			135	149	167	145
	Non-regular3			1	1	1	6
By job group	Field			42	53	48	44
	Sales			11	0	0	0
	R&D			12	3	7	6
	Office			72	70	111	81
	Chauffeur			3	2	2	3
	Executives			19	22	23	17

Tenure & Leave

Category	Unit	2022	2023	2024	2025
Average tenure	yr	4.3	2.8	3.5	4.7
Departures	cases	54	35	37	33
Turnover rate[4]	%	29	23	22	22
New hires[5]	persons	51	62	45	37
New hire rat[6]	%	32	41	27	25

Flexible Work & Attendance

Category	Unit	Basis of calculation	2025
Flexible work users	persons	Employees eligible	49
Flexible work usage rate	%	Flexible work users / eligible employees	53.7
Smart work days used	times		273
Smart work days granted	times	All employees excl. field staff x 24 (max twice per month)	2,088
Smart work usage rate	%	Smart work days granted / days used	13.2
Half-days taken	days		287
Annual leave granted	days		1,901
Half-day usage rate	%		14.4
Quarter-days taken	days		94
Quarter-day usage rate	%		4.4
Annual leave taken	days		1,462
Annual leave usage rate	%		73.5

Employee Diversity Breakdown

Category		Unit	2022	2023	2024	2025
Female talent[7]	Share of women	%	55.7	63.4	60.1	66.7
	Female manager ratio[8]		20.7	27.1	29.6	42
	Female executive ratio		0	0	1	2
Special employment	Employees with disabilities[9]	persons	0	0	0	1
	Foreign nationals		3	6	3	2
	Veterans		0	0	0	1

Maternity Leave

Category		Unit	2022	2023	2024	2025
Maternity leave users[10]		persons	1	2	2	0
By gender	Male		1	2	2	0
	Female		0	0	0	0
Return rate after maternity leave		%	100	100	100	0

Parental Leave

Category		Unit	2022	2023	2024	2025
Eligible for parental leave	Male	persons	7	7	10	10
	Female		5	5	2	9
Parental leave users	Male		0	0	0	1
	Female		0	0	0	3
Returned from parental leave			0	0	0	0
Retained 12+ months after return			0	0	0	0
Return rate after parental leave		%	0	0	0	0
12-month retention rate after return			0	0	0	0

1) Domestic sites (Seoul Office + Healthcare Division)

2) Excluding registered directors

3) Contract staff (chauffeurs)

4) Departures / total employees

5) Restated due to prior-year data error

6) New hires / total employees

7) Restated due to prior-year data error

8) Female managers (manager level and above) / total managers

9) Based on the Act on Welfare of Persons with Disabilities

10) Based on employees completing maternity leave each year

Employee Compensation

Category		Unit	2022	2023	2024	2025
Average employee salary[1]	Total	KRW million	63	44	56	66
	Male		67	65	76	83
	Female		43	32	48	49
Retirement pension plan Defined contribution (DC)	Contributions (Seoul)		211	226	296	395
	Enrolled employees		25	23	42	50
Retirement pension plan Defined benefit (DB)	Plan assets (Healthcare)		1,162	1,065	1,012	1,241
	Enrolled employees		51	53	81	78

Employee Training

Category	Unit	2022	2023	2024	2025
Training expenses (total)	KRW million	32	43	47	106
Annual training hours (total)	hr	1,738	2,909	1,556	1,190
Annual training participants (total)	persons	78	98	127	166
Training cost per employee	KRW million	0.1	0.4	0.4	0.6
Average training hours per employee	hr	34.1	26.0	12.3	7.2

Accident Rate

Category		Unit	2022	2023	2024	2025
Workers covered by accident insurance[1]		persons	47	73	107	89
Serious industrial accidents		cases	0	0	0	0
Fatalities		persons	0	0	0	0
Injuries (excl. fatalities)		persons	0	1	0	1
Total working hours		hours	246,064	264,992	289,328	172,352
Lost-time injuries (LTI)		cases	0	1	0	1
Total recordable injuries (TRI)			0	1	0	1
Accident rate	Accident	%	0.00	1.37	0.00	0.99
	Illness		0.00	0.00	0.00	0.00
	Total		0.00	1.37	0.00	0.99

SV Measurement Formula

Category		Indicator	Measurement formula	Value (KRW)	Monetization proxy		
					Details	Value	Reference
Economy	Employment	Indirect economic contribution via employment	Salaries + retirement benefits + welfare costs	51,603,978,000	N/A		Current-year income statement
Environment	Process	Water	(Seoul Office management fees x water/sewage rate) + Healthcare Division water charges	(21,339,735)	Seoul Office water/sewage share of management fees	1.75%	Internal calculation
		GHG emissions	Total emissions x unit cost*	(148,154,874)	SCC(Social Cost of Carbon)	KRW 269,990	US EPA SC GHG Report 2023
		General waste		(143,937,742)	General waste incineration unit cost	KRW 1,207,562	TU Delft, 2022
		Designated waste		(563,112)	Designated waste incineration unit cost	KRW 1,564,200	TU Delft, 2022
	Products & Services	GHG reduction via energy generation	Monthly power output x (avg. SMP price + avg. REC price x REC weight*), total	23,864,655	REC weight	1.5	[KEPCO] Monthly SMP price [NUMIT] 2025 solar SMP & REC price trends [Korea Law Information Center] Weights by new energy source
		GHG offset via green premium	Green premium power purchased (150MWh) x winning bid*	1,575,000	Green premium winning bid	KRW 10.5/kWh	
Society	Labor & shared growth	Employment of persons with disabilities	Total disability employment costs	15,850,323		N/A	
		Disability employment levy	Total disability employment levy	53,590,800		N/A	
		Improving employee quality of life via training	Total training-related costs	10,400,200		N/A	
		Local spending via workation	[(HLB + HLB F&B contribution) x participants]	15,314,000			
		Employee safety via disease prevention and health management	Total costs for employee disease prevention and health & safety (health checkups + flu shots + marathon + in-house campaigns)	29,706,000	N/A		Internal calculation
	Society Contribution	Employee volunteering (general volunteering)	Total volunteer hours (250 hrs) x hourly wage	2,507,500	Hourly wage	KRW 10,030	[Ministry of Employment and Labor] 2025 minimum wage notice
		Employee volunteering (care work)	Total volunteer hours (250 hrs) x hourly wage	501,500	Hourly wage	KRW 10,030	[Ministry of Employment and Labor] 2025 minimum wage notice
		Cash and in-kind donations	Total cash and in-kind donations	183,906,200	Hourly wage		Internal calculation
Total				**51,627,198,715**			

Governance Performance

Director & Auditor Remuneration

Category		Unit	2022	2023	2024	2025
Number	Executive directors	persons	7	6	6	6
	Independent directors		3	3	3	3
	Auditor1		1	-	-	-
	Total	persons	11	9	9	9
Total remuneration	Executive directors	KRW million	1,251.4	1,220.2	1,015.6	1,091.8
	Independent directors		72.0	87.2	90.6	95.1
	Auditor		46.8	-	-	-
	Total	KRW million	1,370.2	1,307.4	1,106.1	1,186.9
Average per person	Executive directors	KRW million	156.4	203.4	145.1	182.0
	Independent directors		24.0	29.0	30.2	31.7
	Auditor		46.8	-	-	-

Board Composition

Category		Unit	2022	2023	2024	2025
Board members	Executive directors	persons	7	6	6	6
	Independent directors		3	3	3	3
	Total	persons	10	9	9	9
Executives aged 30-50	Male	persons	1	1	0	4
	Female		0	0	0	1
	Total	persons	1	1	0	5
Executives aged 50+	Male	persons	9	8	9	8
	Female		0	0	2	2
	Total	persons	9	8	11	10

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205-2	Communication and training about anti-corruption policies and procedures		
205-3	Confirmed incidents of corruption and actions taken	-	Not applicable

Environment Performance (GRI 300)

Indicator	Details	Page	Remarks
301-1	Materials used by weight or volume	-	To be disclosed
301-2	Input materials	-	Not applicable
301-3	Reclaimed products and their packaging materials	81	
302-1	Energy consumption within the organization	104	
302-2	Energy consumption outside of the organization	-	To be disclosed
302-3	Energy intensity	104	
302-4	Reduction of energy consumption	48	
302-5	Reductions in energy requirements of products and services	-	Not applicable
303-3	Water Withdrawal		
305-1	Direct (Scope 1) GHG emissions	106	
305-2	Energy indirect (Scope 2) GHG emissions		
305-3	Other indirect (Scope 3) GHG emissions	-	To be disclosed
305-4	GHG emissions intensity	105	
305-5	Reduction of GHG emissions	49-50	
305-6	Emissions of ozone-depleting substances (ODS)	105	
305-7	NOx, SOx and other significant air emissions		
306-1	Waste generation and significant waste-related impacts	-	Not applicable
306-2	Management of significant waste-related impacts	-	Not applicable
306-3	Waste generated	106	
306-4	Waste diverted from disposal	-	Not applicable
306-5	Waste directed to disposal	-	Not applicable

Social Performance (GRI 400)

Indicator	Details	Page	Remarks
401-1	New employee hires and employee turnover	65	
401-2	Benefits provided to full-time employees	73	
401-3	Parental Leave	107	
402-1	Minimum notice periods regarding operational changes	-	Not applicable
403-1	Occupational health and safety management system		
403-2	Hazard identification, risk assessment, and incident investigation	94	
403-3	Occupational health services		
403-4	Worker participation, consultation and communication on OHS	57	

Social Performance (GRI 400)

Indicator	Details	Page	Remarks
403-5	Worker training on occupational health and safety	58	
403-6	Promotion of worker health	73	
403-7	Prevention and mitigation of OHS impacts within business relationships	60	
403-8	Workers covered by an OHS management system	107	
403-9	Work-related injuries	108	
403-10	Work-related ill health		
404-1	Average hours of training per employee		
404-2	Programs for upgrading employee skills and transition assistance	63	
404-3	Percentage of employees receiving regular performance and career development reviews	-	To be disclosed
405-1	Diversity of governance bodies and employees	84	
405-2	Ratio of basic salary and remuneration of women to men	109	
406-1	Incidents of discrimination and corrective actions taken	-	0 cases
407-1	Operations and suppliers at risk regarding freedom of association and collective bargaining	-	Non-unionized workplace
408-1	Operations and suppliers at significant risk for incidents of child labor	-	Not applicable
409-1	Operations and suppliers at significant risk for forced or compulsory labor	-	Not applicable
410-1	Security personnel trained in human rights policies or procedures	-	Not applicable
411-1	Incidents of violations involving rights of indigenous peoples	-	Not applicable
413-1	Operations with local community engagement, impact assessments and development programs	77	
413-2	Operations with significant actual and potential negative impacts on local communities	-	Not applicable
414-1	New suppliers screened using social criteria	-	Not applicable
414-2	Negative social impacts in the supply chain and actions taken	-	0 cases
416-1	Assessment of the health and safety impacts of products and services	-	To be disclosed
416-2	Incidents of non-compliance concerning health and safety impacts of products and services	-	0 cases
417-1	Requirements for product and service information and labeling	-	To be disclosed
417-2	Incidents of non-compliance concerning product and service information and labeling	-	0 cases
417-3	Incidents of non-compliance concerning marketing communications	-	0 cases
418-1	Substantiated complaints concerning breaches of customer privacy and losses of customer data	-	0 cases

SASB Index

Topic	Code	Accounting Metric	Response
Pricing	HC-MS-240a.2	Description of how price information for each product is disclosed to customers or their agents	Price information for each product is disclosed to customers or their agents, but the pricing methodology is not described.
	HC-MS-240a.3	Percentage change in (1) weighted average list price and (2) weighted average net price vs. prior year	Pricing information is competitively sensitive and is not disclosed in this report.
Product Safety	HC-MS-250a.1	Number of recalls issued, total units recalled	Recalls: 0
	HC-MS-250a.2	List of products listed in the FDA MedWatch Safety Alerts for Human Medical Products database	None of our products are included in the FDA MedWatch list.
	HC-MS-250a.3	Number of product-related fatalities reported in the FDA Manufacturer and User Facility Device Experience, MAUDE) Experience (MAUDE) database	There were no product-related fatalities in 2024, and no disclosure was made to FDA MAUDE.
	HC-MS-250a.4	Number of FDA enforcement actions taken in response to violations of current Good Manufacturing Practices (cGMP), by type	FDA enforcement actions: 0
Ethics	HC-MS-270a.1	Total amount of monetary losses as a result of legal proceedings associated with false marketing claims	No monetary losses arose from legal proceedings related to false marketing in 2024.
	HC-MS-270a.2	Description of code of ethics governing promotion of off-label use of products	Our Code of Conduct declaring ethical and compliant management is permanently published on our website, and prohibits advertising the safety or efficacy of unapproved products.
Product Lifecycle	HC-MS-410a.1	Discussion of process to assess and manage environmental and human health considerations of chemicals in products, and to meet demand for sustainable products	To strengthen product competitiveness through sustainable, eco-friendly products and to respond to supply chain export regulations, we were selected for KEITI's environmental trade regulation response program and are discussing process improvements.
	HC-MS-410a.2	Total amount of products accepted for take-back and reused, recycled or donated, by (1) device and (2) supply	No such cases occurred.
Supply Chain	HC-MS-430a.1	Percentage of (1) entity's facilities and (2) tier I suppliers' facilities participating in third-party audit programs	We systematically manage supply chain ESG risks through regular ESG assessments of key suppliers, and require a pledge of compliance with ethics and conduct standards at contract renewal. For details, please see page 79 of this ESG report.
	HC-MS-430a.2	Description of efforts to maintain traceability within the distribution chain	We have established and operate systems for counterfeit prevention and safety management across all stages of development, production and logistics.
	HC-MS-430a.3	Description of the management of risks associated with the use of critical materials	We maintain chemical management rules to reduce risks arising from chemical use in production, and are establishing plans to advance risk management through an MSDS system and life cycle assessment (LCA) of core products.
Business Ethics	HC-MS-510a.1	Total amount of monetary losses as a result of legal proceedings associated with bribery or corruption	No such cases occurred.
	HC-MS-510a.2	Description of code of ethics governing interactions with healthcare professionals	No monetary losses arose from bribery or corruption proceedings. Each year we disclose the status of all material legal and regulatory proceedings in our annual business report.
Activity Indicator	HC-MS-000.A	Number of units sold by product category	Specimen collection tools: 64,070,525 / alcohol swabs: 838,704,614

TCFD Index

Category	Metric	Page
Governance	Board oversight of climate-related risks and opportunities	48
	Management's role in assessing and managing climate-related risks and opportunities	
Strategy	Climate-related risks and opportunities identified over the short, medium and long term	46,48
	Impact of climate-related risks and opportunities on business, strategy and financial planning	
	Resilience of the strategy, considering different climate-related scenarios, including a 2°C or lower scenario	-
Risk Management	Processes for identifying and assessing climate-related risks	39,48
	Processes for managing climate-related risks	
	How processes for identifying, assessing and managing climate-related risks are integrated into overall risk management	92-94
Metrics and Targets	Metrics used to assess climate-related risks and opportunities in line with strategy and risk management process	45-49
	Scope 1, Scope 2 and, if appropriate, Scope 3 GHG emissions and related risks	
	Targets used to manage climate-related risks and opportunities and performance against targets	

UN SDGs Performance

SDGs (Sustainable Development Goals)			Direction and Key Activities	Page
	Goal 1	End poverty in all its forms everywhere	Support for low-income children and youth Support for children facing food insecurity	74-78
	Goal 3	Ensure healthy lives and promote well-being for all ages	Employee sports support, 4-day work week, flexible work and health checkup support	69-78
	Goal 4	Ensure inclusive and equitable quality education and promote lifelong learning opportunities for all	Talent development strategy based on training by job level Education support for children in care	66-67, 79
	Goal 5	Achieve gender equality and empower all women and girls	50% female employees and 30% female managers achieved Work-life balance support	62, 70-71, 106-107
	Goal 6	Ensure availability and sustainable management of water and sanitation for all	Environmental target KPIs and action policies established	45, 105
	Goal 7	Ensure access to affordable, reliable, sustainable and modern energy for all	Energy generation and carbon reduction through solar power, and green premium procurement	49-52, 104
	Goal 8	Sustainable economic growth, decent work, stable working conditions, narrowing the gender pay gap, elimination of child labor	Disclosure of employment of persons with disabilities Disclosure of the women-to-men average pay ratio	71, 106-108
	Goal 9	Build resilient infrastructure, promote inclusive and sustainable industrialization and foster innovation	Expanding treatable areas including rare diseases Production facility upgrades and R&D investment	8-20, 26-28
	Goal 10	Reduce inequality within and among countries	Expanded employment of persons with disabilities Ten human rights policies and anti-corruption policy declared	62-65, 106-107
	Goal 11	Make cities and human settlements inclusive, safe, resilient and sustainable	Support for artists and cultural activities Support for public agencies and local child welfare facilities	77-81
	Goal 12	Ensure sustainable consumption and production patterns	ESG report published annually since 2021	2
	Goal 13	Take urgent action to combat climate change and its impacts	Solar PV installation and 2040 net-zero roadmap implementation CDP and RE100 response, GHG data platform operation	49-52, 104
	Goal 15	Protect, restore and promote terrestrial ecosystems, manage forests sustainably, combat desertification, halt and reverse land degradation and halt biodiversity loss	Bird-strike prevention and other biodiversity conservation activities Natural capital risk analysis based on the LEAP approach	53-57
	Goal 16	Promote peaceful and inclusive societies, provide access to justice for all, and build effective, accountable and inclusive institutions at all levels	Disclosure of Board and ESG Committee operations Anti-bribery management system (ISO 37001) adopted	86-94, 98-103
	Goal 17	Strengthen the means of implementation and revitalize the global partnership for sustainable development	Strategic partnerships (M&A) Joining and endorsing global initiatives	33-35

SDG-Linked Investments

SDGs (Sustainable Development Goals)	Item	Activity	Amount (KRW)
No Poverty	Support for low-income children and youth	ChildFund Korea	13,174,800
		G Foundation (feminine hygiene donation)	27,494,000
	Support for children facing food insecurity	Good Influence Store sponsorship	8,000,000
Good Health and Well-being	Vaccine and pharmaceutical development	R&D expenses	59,945,714,000
	Industrial safety infrastructure	ISO 45001	2,024,000
	Employee health support	Health support costs (flu shots, checkups, marathon)	36,694,000
Quality Education	Education support for children in care	Sangrok Community Child Center children's art education	1,551,300
	Employee training	Training expenses	106,000,000
Affordable and Clean Energy	Expanding renewable energy share	POS-EL solar PV installation (100kW)	23,864,655
Climate Action	Expanding renewable energy share	Green premium (150MWh)	1,575,000
Industry, Innovation and Infrastructure	Production facility upgrades	Total acquisition cost of production facilities	23,125,889,000
Reduced Inequalities	Expanding employment of persons with disabilities	Hiring of workers with disabilities	15,850,323
		Disability employment levy	53,590,800
Sustainable Cities and Communities	Arts and culture donations	Sejong Mecenat Association	12,300,000
	Community donations	Korean Red Cross donation	55,980,000
		Tile mural volunteering at a Dongjak-gu child welfare facility	1,727,800
		DIY kit production	1,665,000
	Public agency sponsorship	Daejeon Crime Victim Support Center	4,500,000
Responsible Consumption and Production	Sustainability reporting	ESG report publication	13,750,000
Climate Action	Net-zero roadmap implementation	CDP	4,235,949
		RE100 council	1,100,000
	Energy efficiency improvement	GHG data platform adoption	2,750,000
Life on Land	Biodiversity conservation	Bird-strike prevention campaign	188,300
Peace, Justice and Strong Institutions	Anti-corruption / transparent management	ISO 37001	2,937,000
		Korea Compliance Association	1,800,000
Total			**83,466,355,927**

KRX ESG Index

Category	Item	Indicator	Description	Page	Remarks
Organization	ESG Response	Role of management	Management's role in identifying and managing ESG issues	39,87	
	ESG Assessment	ESG risks and opportunities	Assessment of ESG-related risks and opportunities	93-95	
	Stakeholders	Stakeholder engagement	How stakeholders participate in ESG processes	90-91	
Environment	GHG emissions	Direct emissions (Scope 1)	GHG emissions released into the atmosphere from physical devices or plants owned and controlled by the company	104	
		Indirect emissions (Scope 2)	GHG emissions from purchased or acquired electricity, heating, cooling and steam consumed by the company		
		Emissions intensity	GHG emissions per unit of activity, output or other organizational metric		
	Energy use	Direct energy consumption	Energy consumed by entities owned or controlled by the organization		
		Indirect energy consumption	Energy consumed outside the organization, e.g. use and disposal of sold products		
		Energy intensity	Energy consumed per unit of activity, output or other organizational metric		
	Water use	Total water consumption	Total water consumed by the organization	105	
	Waste discharge	Total waste discharged	Total weight of waste by treatment method, e.g. landfill and recycling		
	Violations & incidents	Environmental violations and incidents	Number of environmental violations and incidents and actions taken		No violations
Society	Workforce	Equality and diversity	Workforce by gender and employment type; discrimination-related sanctions and actions taken	107	No sanctions
		New hires and turnover	Status of newly hired and departing employees		
		Youth internships	Youth intern hiring and conversion rate to regular employment	-	Not applicable
		Parental Leave	Employees taking parental leave	107	
	Safety & health	Industrial accidents	Number of work-related fatalities, injuries and illnesses and actions taken	108	
		Product safety	Number of product recalls (collection, destruction, retrieval, corrective action) and actions taken		No recalls
		Labeling & advertising	Number of labeling and advertising violations and actions taken		No violations
	Information security	Personal data protection	Number of personal data protection violations and actions taken		No violations
	Fair competition	Fair competition and abuse of market-dominant position	Number of violations related to internal, subcontracting, franchise and agency transactions, and actions taken		No violations

GHG & Energy Verification Statement

Verification Scope

Verification covered sites and emission facilities under the operational control of HLB Co., Ltd.

Verification Criteria

- ISO 14064-1:2018, ISO 14064-3:2019
  IPCC Guidelines for National Greenhouse Gas Inventories (2006)
  Guidelines for Reporting and Certification of Emissions under the Emissions Trading Scheme (Ministry of Environment, No. 2025-64)

Verification Procedure

Verification was performed through on-site review based on a risk analysis approach and data assessment, and the data and factors applied to the GHG emissions calculation were assessed for appropriateness on the basis of objective evidence. The verification team verified GHG emissions for the reporting period using reasonable methods in accordance with the verification guidelines.

Independence of Verification

KMR has no interest in the verified organization and does not conduct verification with biased opinions or perspectives. Independent and objective verification conclusions were drawn based on the verification criteria, and the entire verification process was reviewed through internal deliberation.

Limitations of Verification

The verification team reviewed the reports, information and data provided by the verified organization using sampling or full-population methods. Inherent limitations apply and differences in the interpretation of conformity may exist. While we endeavored to conduct a faithful verification in line with the verification criteria, undetected errors, omissions or misstatements may remain.

Verification Opinion

- The GHG emissions verification was performed to meet a limited assurance level under the verification criteria, and no material misstatements were identified in the verification results.
- Based on KMR's approach, nothing came to our attention to indicate that HLB Co., Ltd. did not disclose accurate and reliable data and information in all material respects.

GHG Emissions and Energy Consumption

Site	GHG emissions (tCO_2eq)					Energy consumption (TJ)			
	Direct (Scope 1)	Indirect (Scope 2)		**Total**		Fuel	Electricity	Steam	**Total**
		Location-based	Market-based	**Location-based**	**Market-based**				
Healthcare	68.187	478.673	409.761	546.859	477.947	1.116	10.393	0	11.509
Seoul Office	66.894	3.900	3.900	70.794	70.794	0.995	0.082	0	1.077
Total	135.081	482.573	413.662	618	549	2.110	10.475	0	13

- Emissions are rounded to three decimal places; totals are shown as integers.
- Scope 2 market-based figures reflect GHG deductions from the green premium purchase (150MWh).

Overall Opinion

We confirmed through verification that emissions from major emission facilities were calculated and reported without omission. In accordance with the verification criteria, we issue an unqualified (appropriate) opinion.

17 April 2026

KMR

대표이사 황은주

Independent Assurance Statement

To the Readers of the HLB 2026 ESG Report

Introduction

Korea Management Registrar (KMR) was engaged to provide third-party assurance of the HLB 2026 ESG Report for the fiscal year ended 31 December 2025. Responsibility for the report, its information and internal controls rests with HLB's management, while KMR's responsibility is to perform the agreed engagement and report independent assurance conclusions to HLB's management.

Subject Matter

The engagement covered the organization's sustainability performance and activities described in HLB's report, as follows.

- HLB 2026 ESG Report

Reporting Criteria

- GRI Standards 2021 : 2023 (GRI)

Assurance Standards

The assurance team applied the quality management systems of ISO 17029 and KMR EDV 01 and conducted the engagement in accordance with AA1000AS v3 and KMR's assurance standard SRV1000. Under AA1000AS v3, adherence to the principles of Inclusivity, Materiality, Responsiveness and Impact was evaluated together with the reliability and quality of information. Under SRV1000, we assessed whether GRI was applied as the reporting criteria and conducted a multi-dimensional review targeting zero data errors, applying professional judgment to materiality.

- ISO 17029 : 2019, ISO 14065 : 2020, AA1000AS v3 : 2020 (AccountAbility), AA1000AP : 2018 (AccountAbility), SRV1000 : 2022 (KMR), KMR EDV 01 : 2024 (KMR)
- Assurance / materiality level: AA1000AS v3 - Type 2/Moderate option, limited/not set

Assurance Scope

Confirmation of conformance with the reporting requirements of GRI Standards 2021 was included in the assurance scope, and the detailed indicators of the material topics identified through the materiality assessment were confirmed as follows.

- GRI Standards 2021 reporting principles
- Universal Standards
- Topic Specific Standards
- GRI 101 Biodiversity; 201 Economic Performance; 203 Indirect Economic Impacts; 205 Anti-corruption; 301 Materials; 302 Energy; 303 Water; 305 Emissions; 306 Waste; 401 Employment; 402 Labor/Management; 403 OHS; 404 Training; 405 Diversity; 406 Non-discrimination; 407 Freedom of Association; 408 Child Labor; 409 Forced Labor; 410 Security; 411 Indigenous Peoples; 413 Local Communities; 414 Supplier Assessment; 416 Customer H&S; 417 Marketing & Labeling; 418 Customer Privacy

Information outside the organization within the reporting boundary was excluded from the assurance scope.

Assurance Methodology

The KMR assurance team performed the following procedures in accordance with the standards described above.

- Evaluated the reporting criteria and the materiality assessment process and results
- Understood data management controls, processes and systems through inquiry
  (the effectiveness of control activities was not tested)
- Evaluated whether estimation methods were appropriate and consistent
- Visited the head office, selected on its contribution to sustainability information
  and the likelihood of unexpected changes since the prior period, and we then performed
  data sampling and inspected source records on site
- Interviewed personnel responsible for preparing the report
- Considered whether the presentation and disclosure of information
  was accurate and clearly bounded
- Identified potential errors via reconciliation, recalculation and analysis
- Assessed reliability against external sources and public databases

Limitations and Mitigation

As no generally accepted framework exists for evaluating and measuring non-financial data, comparability between companies may be affected and professional judgment was applied. We performed inquiry, analysis and limited sampling of HLB's data, referring to external sources and databases including DART.

Assurance Findings and Opinion

Based on document review and interviews, the assurance team discussed report revisions with HLB on several occasions and reviewed the final version of the report to confirm that
corrections and recommendations had been reflected. As a result, nothing came to our attention to indicate that HLB did not publish the report in accordance with the stated reporting criteria, or that the evidence obtained on the report's content was insufficient to provide a basis for our opinion. Our opinion on each principle is as follows.

Inclusivity

HLB has committed to its responsibility to stakeholders and has developed and operates stakeholder communication channels of various forms
and levels. We did not identify any key stakeholder group omitted from this process, and confirmed that HLB endeavors to reflect their views and expectations appropriately in its strategy.

Materiality

HLB determines the materiality of key issues affecting its sustainability performance through its own assessment process, and we did not identify
any material issue omitted from that process.

Responsiveness

HLB prioritizes the key issues identified and reports its performance, response cases
and future plans in a comprehensive and, as far as possible, balanced manner,
and we found no evidence that HLB's response activities were inappropriately stated in the report.

Impact

HLB prioritizes the key issues identified and reports its performance, response cases
and future plans in a comprehensive and, as far as possible, balanced manner,
and we found no evidence that its response activities were inappropriately stated in the report.

Reliability and Quality of Specified Sustainability Performance Information

In addition to compliance with the AA1000AP (2018) principles, we assured the reliability of economic, environmental and social performance information. We interviewed responsible personnel and confirmed
the reliability of the data through data sampling, supporting documents,
external sources and public databases. We did not identify any intentional error or misstatement in the sustainability performance information.

Competence, Independence and Quality Management System

KMR is accredited under ISO/IEC 17029:2019 (Conformity assessment — General
principles and requirements for validation and verification bodies: ISO 14067, additional criteria ISO 14065) and ISO/IEC 17021:2015 (Requirements for bodies providing audit and certification of management systems), and is a verification body for the Korean Emissions Trading Scheme. KMR also maintains a comprehensive quality management system, including the documented policies and procedures of KMR EDV 01:2024 (ESG disclosure verification system), which conforms to IAASB ISQM1:2022 and is based on
the requirements of ISO/IEC 17029.
KMR has also complied with the ethical requirements of integrity, objectivity, professional competence and due care, confidentiality and professional behavior in accordance with the IESBA Code:2023. Our team consists of sustainability specialists and maintains independence, holding no commercial interest in HLB's business activities other than providing third-party assurance services.

Restrictions on Use

This assurance statement has been prepared for HLB's management to assist understanding of the organization's sustainability performance and activities, and KMR accepts no responsibility for use by any third party other than HLB's management. This statement is valid as of the assurance date below. As it may be amended after that date,
we recommend confirming that you have the most recent version.

SRV1000 Sustainability Committee Assurance

AA1000 Licensed Report 000-129/V3-5MJ31

KMR

June 27 2026

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